

**GREEN
CLIMATE
FUND**

Meeting of the Board
4 – 7 October 2021
Virtual meeting
Provisional Agenda Item 11

GCF/B.30/02/Add.12/Rev.01

3 October 2021

Consideration of funding proposals – Addendum XII

Funding proposal package for FP180

Summary

This addendum contains the following six parts:

- a) A funding proposal summary titled “Global Fund for Coral Reefs Investment Window” submitted by Pegasus Capital Advisors (PCA);
- b) No-objection letters issued by the national designated authorities or focal point(s);
- c) Environmental and Social report(s) Disclosure;
- d) Independent Technical Advisory Panel’s assessment;
- e) Response from the accredited entity to the independent Technical Advisory Panel’s assessment; and
- f) Gender documentation of the funding proposal.

These documents are presented as submitted by the accredited entity and the national designated authority(ies) or focal point(s), respectively. Pursuant to the Comprehensive Information Disclosure Policy of the Fund, the funding proposal titled titled “Global Fund for Coral Reefs Investment Window” submitted by Pegasus Capital Advisors (PCA) is being circulated on a limited distribution basis only to Board Members and Alternate Board Members to ensure confidentiality of certain proprietary, legally privileged or commercially sensitive information of the entity.

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Funding Proposal

Project/Programme title:	Global Fund for Coral Reefs Investment Window <u>Africa</u> : Comoros; Mozambique; Seychelles <u>Asia-Pacific</u> : Fiji; Indonesia; Philippines; Sri Lanka;
Country(ies):	<u>Latin America and the Caribbean</u> : Bahamas; Belize; Brazil; Colombia; Ecuador; Guatemala; Jamaica; Mexico; Panama <u>Mediterranean</u> : Jordan
Accredited Entity:	Pegasus Capital Advisors LP (Pegasus)
Date of first submission:	2021/05/31
Date of current submission	2021/10/01
Version number	3.6



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Note to Accredited Entities on the use of the funding proposal template

- Accredited Entities should provide summary information in the proposal with cross-reference to annexes such as feasibility studies, gender action plan, term sheet, etc.
- Accredited Entities should ensure that annexes provided are consistent with the details provided in the funding proposal. Updates to the funding proposal and/or annexes must be reflected in all relevant documents.
- The total number of pages for the funding proposal (excluding annexes) **should not exceed 60**. Proposals exceeding the prescribed length will not be assessed within the usual service standard time.
- The recommended font is Arial, size 11.
- Under the [GCF Information Disclosure Policy](#), project and programme funding proposals will be disclosed on the GCF website, simultaneous with the submission to the Board, subject to the redaction of any information that may not be disclosed pursuant to the IDP. Accredited Entities are asked to fill out information on disclosure in section G.4.

Please submit the completed proposal to:

fundingproposal@gcfund.org

Please use the following name convention for the file name:

“FP-[Accredited Entity Short Name]-[Country/Region]-[YYYY/MM/DD]”

A. PROJECT/PROGRAMME SUMMARY																							
A.1. Project or programme	Programme	A.2. Public or private sector	Private																				
A.3. Request for Proposals (RFP)	If the funding proposal is being submitted in response to a specific GCF Request for Proposals, indicate which RFP it is targeted for. Please note that there is a separate template for the Simplified Approval Process and REDD+. Choose an item																						
A.4. Result area(s)	Check the applicable GCF result area(s) that the <u>overall</u> proposed project/programme targets. For each checked result area(s), indicate the estimated percentage of <u>GCF budget</u> devoted to it. The total of the percentages when summed should be 100%. <table border="1"> <thead> <tr> <th>Mitigation: Reduced emissions from:</th> <th>GCF contribution:</th> </tr> </thead> <tbody> <tr> <td>☐ Energy access and power generation:</td> <td><u>Enter number</u>%</td> </tr> <tr> <td>☐ Low-emission transport:</td> <td><u>Enter number</u>%</td> </tr> <tr> <td>☐ Buildings, cities, industries and appliances:</td> <td><u>Enter number</u>%</td> </tr> <tr> <td>☐ Forestry and land use:</td> <td><u>Enter number</u>%</td> </tr> <tr> <td colspan="2">Adaptation: Increased resilience of:¹</td> </tr> <tr> <td>☒ Most vulnerable people, communities and regions:</td> <td><u>45</u>%</td> </tr> <tr> <td>☒ Health and well-being, and food and water security:</td> <td><u>5</u>%</td> </tr> <tr> <td>☒ Infrastructure and built environment:</td> <td><u>5</u>%</td> </tr> <tr> <td>☒ Ecosystem and ecosystem services:</td> <td><u>45</u>%</td> </tr> </tbody> </table>			Mitigation: Reduced emissions from:	GCF contribution:	☐ Energy access and power generation:	<u>Enter number</u> %	☐ Low-emission transport:	<u>Enter number</u> %	☐ Buildings, cities, industries and appliances:	<u>Enter number</u> %	☐ Forestry and land use:	<u>Enter number</u> %	Adaptation: Increased resilience of: ¹		☒ Most vulnerable people, communities and regions:	<u>45</u> %	☒ Health and well-being, and food and water security:	<u>5</u> %	☒ Infrastructure and built environment:	<u>5</u> %	☒ Ecosystem and ecosystem services:	<u>45</u> %
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☒ Ecosystem and ecosystem services:	<u>45</u> %																						
A.5. Expected mitigation impact	Indicate t CO ₂ eq over lifespan	A.6. Expected adaptation impact	12,737 direct beneficiaries; 35,236,406 indirect beneficiaries² Indicate % of population																				
A.7. Total financing (GCF + co-finance)	<u>USD\$ 500 M</u> Choose an item.	A.9. Project size	Large (Over USD 250 million)																				
A.8. Total GCF funding requested	<u>USD\$ 125 M</u> Choose an item. For multi-country proposals, please fill out annex 17.																						
A.10. Financial instrument(s) requested for the GCF funding	Mark all that apply and provide total amounts. The sum of all total amounts should be consistent with A.8. <table border="0"> <tr> <td>☐ Grant <u>Enter number</u></td> <td>☒ Equity <u>USD\$ 125M</u></td> </tr> <tr> <td>☐ Loan <u>Enter number</u></td> <td>☐ Results-based payment <u>Enter number</u></td> </tr> <tr> <td>☐ Guarantee <u>Enter number</u></td> <td></td> </tr> </table>			☐ Grant <u>Enter number</u>	☒ Equity <u>USD\$ 125M</u>	☐ Loan <u>Enter number</u>	☐ Results-based payment <u>Enter number</u>	☐ Guarantee <u>Enter number</u>															
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☐ Loan <u>Enter number</u>	☐ Results-based payment <u>Enter number</u>																						
☐ Guarantee <u>Enter number</u>																							
A.11. Implementation period	a) disbursement period: \$25M first close (GCF sole first closer)³; 25% to final close b) repayment period: 12 + 3 years	A.12. Total lifespan	20+ years																				
A.13. Expected date of AE internal approval	June 17, 2021	A.14. ESS category	Refer to the AE's safeguard policy and GCF ESS Standards to assess your FP category. I-2																				

¹ The distribution of funding across outcomes cannot be determined in advance since sub-projects will be identified at a later date.

² Based on NoLs received. Potential indirect beneficiaries based on full initial country scope of 32 countries was 46,892,587

³ Will be increased to \$50mm if the GFCR Fund procures at least \$10mm of additional co-investment at the first closing.

A.15. Has this FP been submitted as a CN before?	Yes ☒ No ☐	A.16. Has Readiness or PPF support been used to prepare this FP?	Yes ☐ No ☒
A.17. Is this FP included in the entity work programme?	Yes ☐ No ☒	A.18. Is this FP included in the country programme?	Yes ☐ No ☒
A.19. Complementarity and coherence	<i>Does the project/programme complement other climate finance funding (e.g. GEF, AF, CIF, etc.)? If yes, please elaborate in section B.1.</i> Yes ☐ No ☐		
A.20. Executing Entity information	Executing Entities: ⁴ 1. Pegasus Capital Advisors, L.P. (" Pegasus "), a Delaware limited partnership and Accredited Entity by the GCF. 2. The " GFCR Fund " – a pooled investment vehicle to be formed by the Accredited Entity, which is expected to be a SCSp under Luxembourg law 3. The " General Partner " – an entity to be formed by the Accredited Entity, which is expected to be a S.a r.l. under Luxembourg law. The General Partner will be managed by employees of the Accredited Entity or its controlled affiliates, except to the extent one or more managers of the General Partner are required by law to be resident in Luxembourg. 4. The " Manager " – an entity to be formed by the Accredited Entity, which is expected to be a Delaware limited liability company. The Manager will be controlled by employees of the Accredited Entity or its controlled affiliates, except to the extent the Manager is required by law to have one or more employees, managers or directors in its jurisdiction of formation. The Manager will be owned, directly or indirectly, by the Accredited Entity 5. " GCF Reef Holdings " – an entity to be formed by the Accredited Entity, which is expected to be a Delaware limited partnership. GCF will be the sole limited partner and sole economic owner of GCF Reef Holdings. Holdings GP will be the general partner of GCF Reef Holdings. 6. " Holdings GP " – an entity to be formed by the Accredited Entity, which is expected to be a Delaware limited liability company. Holdings GP will be controlled by employees of the Accredited Entity or its controlled affiliates. Holdings GP will be owned, directly or indirectly, by the Accredited Entity		
A.21. Executive summary (max. 750 words, approximately 1.5 pages)			

⁴ NTD: Names of newly formed legal entities to be determined in consultation with the Secretariat prior to finalizing the FAA.

Provide an executive summary of the project/programme including:

1. *Climate change problem*
2. *Proposed interventions*
3. *Climate impacts/benefits*

Coral reef ecosystems are critical in providing safety, food security and livelihoods to more than 1 billion people worldwide through the ecosystem services, coastal protection and economic activities they generate.

Coral reefs contribute significantly to local economies, especially in LDCs and SIDS, with many of those directly impacted being women. Coral reefs attracted an estimated 70 million visitors annually with an associated expenditure of US \$36 billion (prior to COVID-19)⁵. This will be a key area of post-Covid recovery for many countries. Six million reef fishers⁶ (many of whom are small-scale, traditional subsistence fishers) depend on coastal-reef fisheries, with an estimated value of US \$6.8 billion in 2011⁷. Women represent about 50% of the workforce in the seafood sector and 80 – 90% in the post-harvest sector⁸. It is estimated that reefs protect 150,000 km of shoreline in more than 100 countries and territories, reducing wave energy and heights, erosion and storm damage; thus, protecting over 1 billion people (and their property) who live within 100 km of reefs around the world. This results in an estimated reduction of annual expected damages from storms of over \$4 billion globally⁹. As sea levels continue to rise, this protection becomes vital. Current funding levels, however, are estimated to be 3-7 times lower than what is needed.¹⁰

At the same time, coral reefs are among the world's most threatened ecosystems by climate change impacts. In parallel, multiple local pressures continue to influence the health and longer-term resilience of coral reefs, including destructive fishing techniques, overfishing and pollution.

Recent modelling exercises on coral reefs show that protecting areas of the ocean where conditions are most stable is a key tool for adaptation to climate change. These areas, or "climate refugia", retain a suitable habitat despite regional climate change and are likely to be critical in preventing further reef degradation and considerable loss of biodiversity. Their protection is becoming a commonly prioritized conservation target and they have been recommended by numerous authors as a key component of any climate change and biodiversity adaptation program¹¹. Studies also show that better management of local stressors can significantly reduce the impacts of climate change on coral systems, increasing the resilience of reefs and therefore of the communities that depend on them for food, protection, and livelihoods. By protecting the identified priority networks of climate refugia coral reefs and reducing local stressors, some ecosystems will survive the impacts of climate change and may help repopulate neighbouring reefs.

To enhance the resilience and adaptive capacity of the communities, productive systems and businesses that depend on coral reef ecosystems, the GFCR Investment Window (the "GFCR" or the "GFCR Fund") will unlock and de-risk private investment that enable activities that ameliorate or eliminate existing local stressors in the most resilient reefs and "climate refugia". Restoration efforts will also be supported to accelerate the recovery of reefs that have the highest chance of survival.

To drive better management of local stressors and accelerate restoration, investments will focus across the following sectors:

1. Sustainable ocean production to address overfishing, destructive fishing techniques and enhance food security :
 - a. Sustainable fisheries (e.g. by-catch reduction, ghost net reduction, monitoring control & surveillance, post-catch processing, supply chain traceability)
 - b. Sustainable mariculture (e.g. seaweed farming, finfish or shrimp mariculture)
 - c. Sustainable aquaculture (e.g. shrimp, alternative feed, etc.)
 - d. Coral farming (e.g. artificial reefs ventures, assisted evolution tech companies, coral gardening and sexual propagation ventures)
2. Ecotourism to address unsustainable tourism:
 - a. Sustainably-managed hotel resorts (which can include implementation of coral restoration practices and technologies in the surrounding reefs)
 - b. Tourist activities (surf, diving, snorkelling, cruises)
3. Sustainable infrastructure and waste management to address pollution:
 - a. Plastic waste management (e.g. alternative material, waste collection and sorting, plastic recycling, AI and digital sorting)
 - b. Sewage and waste-water treatment
 - c. Green transportation (including e.g. port reception facilities to address liquid waste emitted by ships)
 - d. Clean energy affecting reefs

- e. Offshore clean energy
- f. Sustainable agriculture to reduce nutrient run-off (e.g., alternative fertiliser use, organic farming, precision farming, nutrient recycling/capture).

The GFCR Fund expects to deploy its capital primarily in control equity positions in its investee companies, although it may invest in minority positions and/or debt or hybrid securities on a case-by-case basis. The GFCR Fund is targeting a \$500 million total fund size, with \$125 million being committed by the GCF in a first-loss position as an anchor investor.

Ultimately, the GFCR Fund expects to generate the following impacts¹²:

1. 29,000 ha of reef protected, equivalent to \$10bn per year of ecosystem services¹³
2. Over 12,737 direct employment opportunities in sustainable businesses for communities dependent on coral reef ecosystems
3. 2,990,048 fisherman households benefiting from investments aimed at the adoption of diversified, climate resilient livelihood options (including fisheries, agriculture, tourism, etc)¹⁴
4. 35,236,406 indirect beneficiaries, based on the population that is dependent on reefs for protection from climatic events and for economic outputs (e.g., fishing, tourism)¹⁵.

⁵ Spalding, M, Burke, L, Wood, S, Ashpole, J, Hutchison, J & Zu Ermgassen, P 2017, 'Mapping the global value and distribution of coral reef tourism', *Marine Policy*, vol. 82, pp. 104-113. <https://doi.org/10.1016/j.marpol.2017.05.014>

⁶ Teh LSL, Teh LCL, Sumaila UR (2013) A Global Estimate of the Number of Coral Reef Fishers. *PLoS ONE* 8(6): e65397. <https://doi.org/10.1371/journal.pone.0065397>

⁷ Burke, L., Reyter, K., Spalding, M., Perry, A. (2011) Reefs at Risk Revisited. WRI publication. Available at: <https://www.wri.org/publication/reefs-risk-revisited>.

⁸ Northrop, E., et al. 2020. "A Sustainable and Equitable Blue Recovery to the COVID-19 Crisis." Report. Washington, DC: World Resources Institute. Available online at <http://www.oceanpanel.org/bluerecovery>

⁹ Beck, M.W., Losada, I.J., Menéndez, P. *et al.* The global flood protection savings provided by coral reefs. *Nat Commun* 9, 2186 (2018). <https://doi.org/10.1038/s41467-018-04568-z>

¹⁰ Global Assessment Report on Biodiversity and Ecosystem Services

¹¹ Keppel G, Van Niel KP, Wardell-Johnson GW et al. (2012) Refugia: identifying and understanding safe havens for biodiversity under climate change. *Global Ecology and Biogeography*, 21, 393–404

Tzedakis, P.C., Lawson, I.T., Frogley, M.R., Hewitt, G.M., and Preece, R.C., 2002, Buffered tree population changes in a Quaternary refugium: Evolutionary implications: *Science*, v. 297, p. 2044–2047.;

C. D. Jones, P. Ciais, S. J. Davis, P. Friedlingstein, T. Gasser, G. P. Peters, J. Rogelj, D. P. Van Vuuren, J. G. Canadell, A. Cowie, R. B. Jackson, M. Jonas, E. Kriegler, E. Littleton, J. A. Lowe, J. Milne, G. Shrestha, P. Smith, A. Torvanger, A. Wiltshire (2016). Simulating the Earth system response to negative emissions. *Environmental Research Letters*, 11(9), doi: <http://dx.doi.org/10.1088/1748-9326/11/9/095012>

¹² Assuming the full \$500 million is raised and deployed.

¹³ Assumes Total Economic Value of ecosystem services at \$352.24k/ha/year - see [Global estimates of the value of ecosystems and their services in monetary units](#)

¹⁴ Based on NOLs received. The number of potential fisher household benefitting from the programme based on full initial country scope of 32 countries was 3,906,147.

¹⁵

See Annexes 17 and 23. Potential indirect beneficiaries based on full initial country scope of 32 countries was 46,892,587

B. PROJECT/PROGRAMME INFORMATION

B.1. Climate context (max. 1000 words, approximately 2 pages)

Climate change problem: Describe the climate change problem the proposal is expected to address. Describe the mitigation needs (GHG emissions profile) and/or adaptation needs (climate hazards and associated risks based on impacts, exposure, and vulnerabilities) that the proposed interventions are expected to address. Also describe the most likely scenario (prevailing conditions or other alternative) that would remain or continue in the absence of the proposed interventions. Include baseline information. The methodologies used to derive such information, including the mitigation and adaptation needs, should be included in the feasibility study.

Context: In describing the mitigation and/or adaptation needs, briefly describe the target region/area of the proposed interventions including information on the demographics, economy, topography, etc.

Related projects/interventions: Also describe any recent or ongoing projects/interventions that are related to the proposal from other domestic or international sources of funding, such as the Global Environment Facility, Adaptation Fund, Climate Investment Funds, etc., and how they will be complemented by this project/programme (e.g. scaling up, replication, etc.). Please identify current gaps and barriers regarding recent or ongoing projects and elaborate further how this project/programme complements or addresses these.

IMPACT OF CLIMATE CHANGE ON CORAL REEFS

Climate change is warming the oceans. The consequences of climate change are already significant and will intensify into the future with global temperature expected to increase by 1.5 – 4.8°C by 2100 and precipitation patterns predicted to undergo spatial and temporal alterations¹⁶. For the global marine environment, the average sea surface temperatures (SST) of the Indian, Atlantic, and Pacific Oceans have already increased by 0.65°C, 0.41°C, and 0.31°C respectively during 1950–2009¹⁷ (Figure 1). Average global sea levels are increasing by an average of 3.2 mm per year (over the period of 1993 to 2010). This is driven by the expansion of the warming ocean and the melting of land ice¹⁸. Under current climate trajectories (RCP 8.5) the increase in sea surface temperature (SST) across six major coral reef ocean provinces is expected to rise between 0.67°C to 0.83°C by 2040 and 2.66°C and 3.14°C by 2100. Even under moderate emissions scenarios (RCP 4.5) the SST in the major coral regions is expected to rise between 1.18 and 1.44°C by the end of the century.

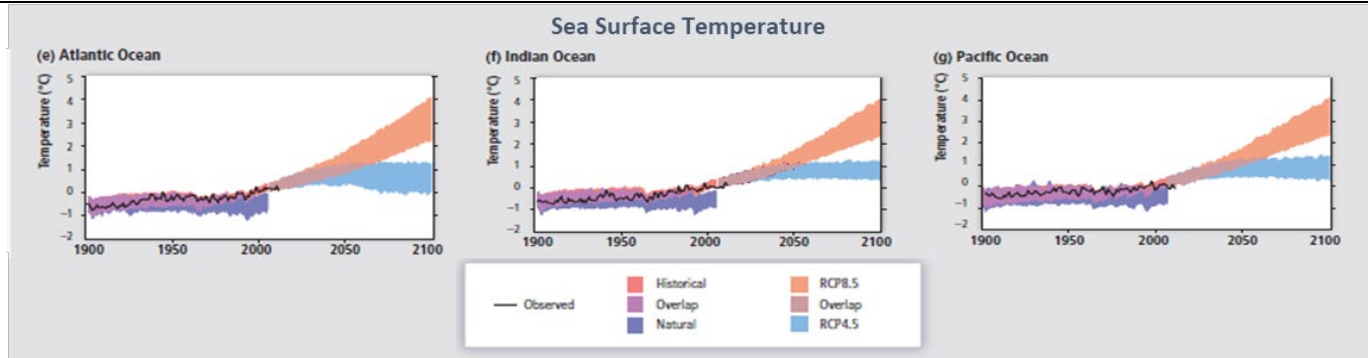
Figure 1: Sea Surface Temperature Projections¹⁹

¹⁶ IPCC, 2014: Climate Change 2014: Synthesis Report. Contribution of Working Groups I, II and III to the Fifth Assessment Report of the Intergovernmental Panel on Climate Change [Core Writing Team, R.K. Pachauri and L.A. Meyer (eds.)]. IPCC, Geneva, Switzerland, 151 pp.

¹⁷ Hoegh-Guldberg, O., R. Cai, E.S. Poloczanska, P.G. Brewer, S. Sundby, K. Hilmi, V.J. Fabry, and S. Jung, 2014: The Ocean. In: Climate Change 2014: Impacts, Adaptation, and Vulnerability. Part B: Regional Aspects. Contribution of Working Group II to the Fifth Assessment Report of the Intergovernmental Panel on Climate Change [Barros, V.R., C.B. Field, D.J. Dokken, M.D. Mastrandrea, K.J. Mach, T.E. Bilir, M. Chatterjee, K.L. Ebi, Y.O. Estrada, R.C. Genova, B. Girma, E.S. Kissel, A.N. Levy, S. MacCracken, P.R. Mastrandrea, and L.L. White (eds.)]. Cambridge University Press, Cambridge, United Kingdom and New York, NY, USA, pp. 1655-1731.

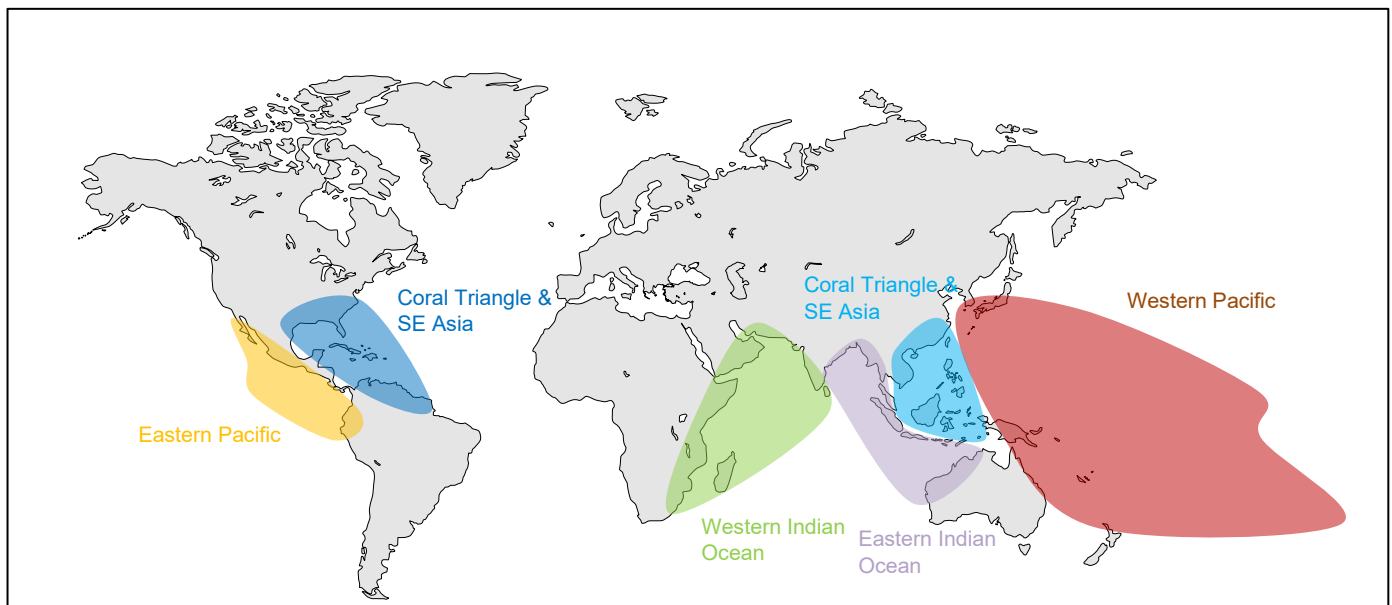
¹⁸ IPCC, 2013: Climate Change 2013: The Physical Science Basis. Contribution of Working Group I to the Fifth Assessment Report of the Intergovernmental Panel on Climate Change [Stocker, T.F., D. Qin, G.-K. Plattner, M. Tignor, S.K. Allen, J. Boschung, A. Nauels, Y. Xia, V. Bex and P.M. Midgley (eds.)]. Cambridge University Press, Cambridge, United Kingdom and New York, NY, USA, 1535 pp, doi:10.1017/CBO9781107415324.

¹⁹ Hoegh-Guldberg, O., R. Cai, E.S. Poloczanska, P.G. Brewer, S. Sundby, K. Hilmi, V.J. Fabry, and S. Jung, 2014: The Ocean. In: Climate Change 2014: Impacts, Adaptation, and Vulnerability. Part B: Regional Aspects. Contribution of Working Group II to the Fifth Assessment Report of the Intergovernmental Panel on Climate Change [Barros, V.R., C.B. Field, D.J. Dokken, M.D. Mastrandrea, K.J. Mach, T.E. Bilir, M. Chatterjee, K.L. Ebi, Y.O. Estrada, R.C. Genova, B. Girma, E.S. Kissel, A.N. Levy, S. MacCracken, P.R. Mastrandrea, and L.L. White (eds.)]. Cambridge University Press, Cambridge, United Kingdom and New York, NY, USA, pp. 1655-1731.



Corals die if they get too hot. Globalized and intensifying anthropogenic impacts on coral reefs, coupled with increasing seawater temperatures and changing ocean chemistry, have transformed coral and fish communities, reduced coral growth rates, diminished the capacity of coral reef ecosystems to be resilient to shocks, undermined the ability of coral reef ecosystems to maintain structures, and severely weakened their ability to continue providing valuable ecosystem goods and services to people. Increasing anthropogenic and climate pressures have caused the loss of half the live coral cover on coral reefs over the last 30–50 years. Local pressures have also severely impacted 60% of reefs and the combination of local anthropogenic disturbance and ocean warming means that up to 75% of reefs are already considered threatened²⁰. Of even greater concern is that even lower greenhouse gas emission scenarios (such as Representative Concentration Pathway RCP 4.5) are likely to drive the elimination of most warm-water coral reefs by 2040–2050. Coral reefs are projected to decline to 10-30 per cent of former cover at 1.5°C warming and to less than 1 per cent at 2°C warming (IPBES 2019). At current rate of warming (RCP 8.5) the coral biome could be effectively extinct (<1% live cover) by the middle of this century.

Figure 3: Coral Reef Provinces²¹

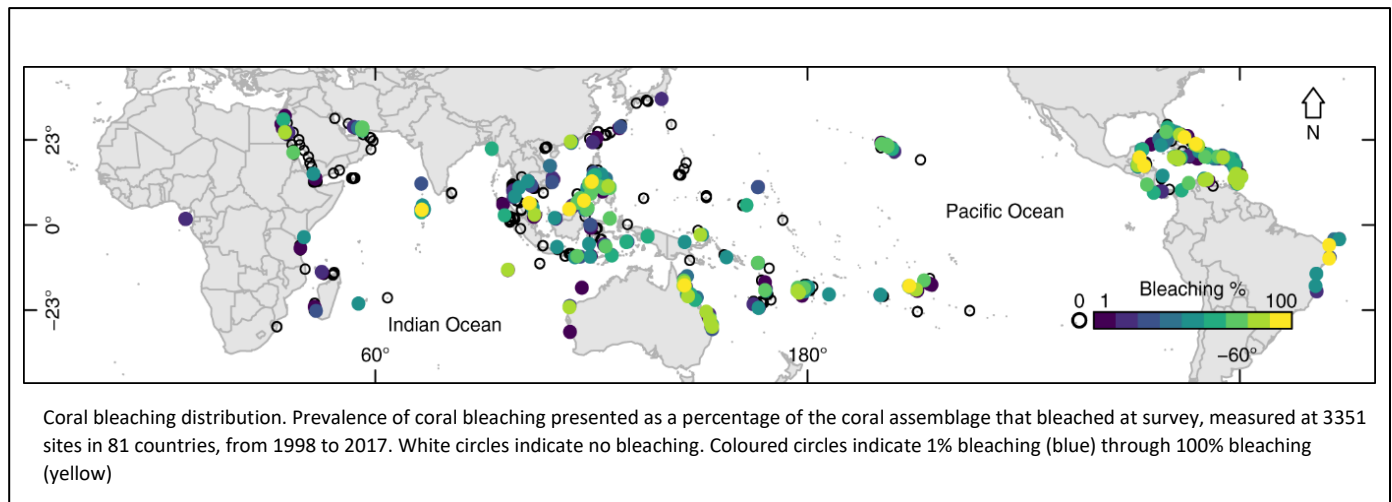


²⁰ L. Burke, K. Reyter, M. D. Spalding, A. L. Perry, Reefs at Risk Revisited (World Resources Institute, The Nature Conservancy, WorldFish Center, International Coral Reef Action Network, UNEP World Conservation Monitoring Centre, and Global Coral Reef Monitoring Network, Washington, DC, 2011).

²¹ Hoegh-Guldberg O and Poloczanska ES (2017) Editorial: The Effect of Climate Change across Ocean Regions. Front. Mar. Sci. 4:361. doi: 10.3389/fmars.2017.00361

Some reefs are more vulnerable than others. Although the decline in coral reefs is a globally consistent phenomenon (with all reefs showing some form of decline), the rate and extent of reef condition decline contains significant regional and localised variation due to both variation in global and regional ocean conditions and the intensity of local stressors. The western Atlantic appears to have warmed sooner than other areas and began to experience regular bleaching events sooner than most other locations. The abundance of reef building corals had already declined across the Caribbean by more than 80% by the turn of the millennia (1977–2001)²². This is in addition to the problems of intense local stressors on coral reefs in the region whereby the end of last century there had been dramatic phase shift from corals to seaweeds occurring on Jamaican reefs²³. At the same time within the Great Barrier Reef, the decline in coral cover was about 51%. A global study of bleaching over the last two decades reinforces this regional and localised variation with significant bleaching being more widespread and significant within the Caribbean reef areas (figure 4 below).

Figure 4: A global analysis of coral bleaching over the past two decades²⁴



IMPACT OF OTHER HUMAN ACTIVITIES ON CORAL REEFS

Climate change is not the only problem reefs have to contend with. Further to global warming and climate change, ambitions for economic development and a higher quality of life have led to unsustainable practices that degrade coral reef ecosystems. These include overfishing, destructive fishing (e.g., blast and cyanide fishing), nutrient loading from agricultural runoff, litter (e.g., plastics and derelict fishing gear), the drainage of coastal wetlands, discharge of sewage, fertilizers and other contaminants into coastal waters and the deforestation and reclamation of mangrove forests in particular for urban development and aquaculture, irresponsible tourism and poor waste management (e.g., untreated sewage effluent, chemical leaks). These local drivers of degradation are deteriorating the resilience of coral reef ecosystems to climate change and jeopardizing vital ecosystem services for which the reef-dependent communities in the targeted countries have few other alternatives for income, subsistence and coastal protection. Root causes of local degradation of coral reef ecosystems include:

- **Overfishing and poor management of reef resources.** A major driver of reef degradation is the impact of both artisanal and industrial fisheries. Excessive catch sizes coupled with destructive methods can decimate fish populations and damage the reef structure. The problem is often compounded by the absence of a coherent management strategy for reef resources. Interventions such as fishing licenses, marine protected areas and minimum size controls can all reduce the pressure on coral reefs. Most important is the need for adequate funding and enforcement of management policies. Greater funding and integration of relevant climate information into the MPA management structure is needed to ensure that MPA coverage is

²² Gardner, T.A.; Côté, I.M.; Gill, J.A.; Grant, A.; Watkinson, A.R. Long-Term Region-Wide Declines in Caribbean Corals. *Science* 2003, 301, 958–960.

²³ Hughes, T. P. 1994. Catastrophes, phase shifts, and large-scale degradation of a Caribbean coral reef. *Science* 265:1547–1551.

²⁴ Sully, S., Burkepile, D.E., Donovan, M.K. et al. A global analysis of coral bleaching over the past two decades. *Nat Commun* 10, 1264 (2019). <https://doi.org/10.1038/s41467-019-09238-2>

increased, climate-proofed and managed effectively to sustain ecosystem services and adaptation benefits provided by coral reefs and related ecosystems.

- **Poverty and the lack of economic opportunities.** Reef-dependent communities often consist of vulnerable populations, mostly women, girls and indigenous communities who are disproportionately affected by climate variabilities, with few opportunities to generate income. In the targeted countries more than 85 million people (17% of total) live on less than US\$1.90 per day and over 323 million people (63% of total) live on less than US\$5.50 per day²⁵. To support their families, individuals will resort to overfishing, destructive fishing, destruction of mangroves for timber and unsustainable aquaculture (such as intensive shrimp farming). These economic models deliver short-term benefits but have been shown to be ill suited to supporting wealth creation for the poorest and most marginalised²⁶. More sustainable models of aquaculture, fishing and tourism need to be adopted. In addition, diversified economic opportunities are needed for reef-dependent communities to reduce pressure on reefs.
- **Increasing coastal development.** Development of coastal areas, including large tourism and infrastructure projects, often fail to account for the detrimental effect they have on coral reefs and related ecosystems. Such activities impact reefs directly through both direct destruction and increased sedimentation from poorly managed construction. Coastal development must take into account the impact on coral reefs and associated ecosystems. In particular, we need to factor in the importance of the role reefs play in climate resilience.
- **Unsustainable or uncontrolled tourism.** Most tour operators and managers have limited knowledge about the impacts of climate change on coral reefs and its potential impact on tourism and their livelihoods. Furthermore, a lack of understanding of the impacts of irresponsible coral reef tourism means that reefs can be severely degraded by tourists touching, polluting or breaking off parts of the reef. Overcapacity of sites can lead to stressful conditions for marine and coastal species. Responsible or regenerative tourism practices must be integrated to transform the sector away from coral reef degradation in target countries.
- **Pollution & waste.** Communities in the targeted countries often have poor systems in place for the treatment of sewage, wastewater, floodwater and agricultural runoff including erosion and sedimentation. This can lead to increased algal growth, the smothering of reefs from sediments and compromised coral physiological and ecological functioning. Financing for renovations in water treatment, and stronger control of agricultural runoff are needed. The management of plastics and other waste can be severely lacking in some coral reef sites. Marine plastics cause untold damage to coral reefs and related ecosystems. Educational campaigns and waste management infrastructure are needed to reduce litter reaching coral reefs, which compromises the health of the entire ecosystem.
- **Limits to our ability to restore coral reefs.** Once degraded or destroyed, coral reefs are extremely hard to restore. Coral reef restoration is a dynamic space that is evolving as new advances emerge. At this stage, it is still difficult to scale-up and speed-up coral reef restoration efforts to keep pace with the rate of degradation. There is a need for greater investment into restoration efforts to identify climate change resilient coral species and techniques to maximize their growth and recolonization in degraded reef habitats.

Local impacts on coral reefs can compound the impact of climate change. Direct human-induced negative impacts on marine biodiversity and coastal habitats exacerbate the impact of ocean warming and acidification. Increasing global climate and local anthropogenic pressures have caused the loss of warm-water coral reefs by at least 50% over the past 30–50 years in large parts of the world's tropical regions. Warm-water coral reefs are largely dependent on the physical and chemical changes occurring in the surface layers of the ocean. Already weakened, coral reefs are more prone to suffer diseases and outbreaks of invasive alien species, which further degrade the ecosystem. Uncontrolled tourism, land reclamation and poorly managed coastal zone development also contributes to the demise of the ecosystem, which undermines the natural assets on which national and local economies are built. These pressures are observed in each of the target countries. From a reef management

²⁵ World Bank Database

²⁶ See for example, Amoako Johnson, F., Hutton, C.W., Hornby, D. et al. Is shrimp farming a successful adaptation to salinity intrusion? A geospatial associative analysis of poverty in the populous Ganges–Brahmaputra–Meghna Delta of Bangladesh. *Sustain Sci* 11, 423–439 (2016). <https://doi.org/10.1007/s11625-016-0356-6>

and policy perspective, climate change and ocean acidification increase the need to abate other stress factors on reefs.²⁷

Local action can help protect coral reefs from climate change. Although, the global outlook for corals is bleak there is evidence from a range of field studies and modelling exercises that suggest that efforts to manage local impacts on coral reefs can ameliorate the impact of rising temperatures and ocean acidification. For example, models suggest that the ability of coral reefs to maintain reef building capabilities and keep up with sea level rise is significantly enhanced if targeted management of local fishing and water quality are undertaken²⁸.

ECONOMIC VALUE OF CORAL REEFS

The global value of coral reefs as an ecosystem service or asset to the economy is well understood. There are several studies which collectively demonstrate that the value in terms of ecosystem services to the tourism and fisheries sectors, as well as coastal protection and safeguarding of coastal infrastructure is indeed very significant.

Reef fisheries provide incomes to the most vulnerable. Six million reef fishers (many of whom are small-scale, traditional subsistence fishers) depend on coastal-reef fisheries, with an estimated value of US \$6.8 billion in 2011²⁹. Women represent about 50% of the workforce in the seafood sector and 80 – 90% in the post-harvest sector³⁰. It is estimated that reefs protect 150,000 km of shoreline in more than 100 countries and territories, reducing wave energy and heights, erosion and storm damage; thus, protecting over 1 billion people (and their property) who live within 100 km of reefs around the world. This results in an estimated reduction of annual expected damages from storms of over \$4 billion globally³¹. As sea levels continue to rise, this protection becomes vital.

Coral reefs are a major tourist attraction. Coral reefs underpin the tourism proposition of many tropical countries. Globally speaking, according to ResourceWatch³², coral reefs attracted an estimated 70 million visitors annually with an associated expenditure of US \$36 billion (prior to COVID-19)³³. Researchers looked at how the value of coral reef tourism was spatially distributed³⁴. It concludes that that over 30% of the world's reefs are of value in the tourism sector with a total estimated value of \$36 billion; over 9% of all coastal tourism value in the world's reef countries.

Coral reefs are economically important across the world. UNEP, the Prince of Wales International Sustainability Unit (ISU) and ICRI conducted a study³⁵ which aims to make the business case for the private and public sectors to invest in protection, preservation and enhancement of coral reef health. The researchers developed a quantitative model of selected interactions between live coral cover and economic returns generated by three sectors: tourism, coastal development and commercial fisheries; in two regions: Coral Triangle and Mesoamerican Reef. More importantly, the study compares future returns between 2017 and 2030 under a “future healthy scenario” or a “degraded reef scenario”. ICRI has also estimated the value of coral reefs in the Indian Ocean and South East Asia regions. And The Nature Conservancy did a similar study for the Caribbean. Some key takeaways from these studies:

²⁷ Ove Hoegh-Guldberg, Elvira S. Poloczanska, William Skirving and Sophie Dove 2017, Coral Reef Ecosystems under Climate Change and Ocean Acidification Front. Mar. Sci., 29 May 2017 <https://doi.org/10.3389/fmars.2017.00158>

²⁸ Cacciapaglia, C.W. and van Woesik, R. (2020), Reduced carbon emissions and fishing pressure are both necessary for equatorial coral reefs to keep up with rising seas. *Ecography*, 43: 789-800. <https://doi.org/10.1111/ecog.04949>

²⁹ Burke, L., Reynter, K., Spalding, M., Perry, A. (2011) *Reefs at Risk Revisited*. WRI publication. Available at: <https://www.wri.org/publication/reefs-risk-revisited>.

³⁰ Northrop, E., et al. 2020. “A Sustainable and Equitable Blue Recovery to the COVID-19 Crisis.” Report. Washington, DC: World Resources Institute. Available online at <http://www.oceanpanel.org/bluerecovery>

³¹ Beck, M.W., Losada, I.J., Menéndez, P. et al. The global flood protection savings provided by coral reefs. *Nat Commun* 9, 2186 (2018). <https://doi.org/10.1038/s41467-018-04568-z>

³² [Coral Reefs | Resource Watch](#)

³³ Spalding, M., Burke, L., Wood, S., Ashpole, J., Hutchison, J. & Zu Ermgassen, P 2017, 'Mapping the global value and distribution of coral reef tourism', *Marine Policy*, vol. 82, pp. 104-113. <https://doi.org/10.1016/j.marpol.2017.05.014>

³⁴ Spalding, M., Burke, L., Wood, S., Ashpole, J., Hutchison, J. & Zu Ermgassen, P 2017, 'Mapping the global value and distribution of coral reef tourism', *Marine Policy*, vol. 82, pp. 104-113. <https://doi.org/10.1016/j.marpol.2017.05.014>

³⁵ “The Coral Reef Economy”, ICRI, UN Environment, ISU. October 2018.

- Mesoamerican Reef (Mexico, Belize, Guatemala and Honduras). Total economic returns between 2017 and 2030 under the healthy scenario are estimated at \$108 billion to 2030 under the healthy scenario, compared to \$73 billion to 2030 under the degraded scenario. This represents a net-benefit from healthy reefs of \$34.6 billion in the 14 years.³⁶
- Coral Triangle (Indonesia, Philippines, Malaysia, PNG, Solomon Islands, East Timor). Total economic returns between 2017 and 2030 under the healthy scenario are estimated at \$225 billion to 2030 under the healthy scenario, compared to \$188 billion to 2030 under the degraded scenario. This represents a net-benefit from healthy reefs of \$36.7 billion in the 14 years.³⁷
- Indian Ocean. It is estimated that 28,000 km² of reefs provide US \$2 billion annually to the economies of the countries bordering the Indian Ocean. 70% of the benefits are in the tourism sector, while fisheries represent the remainder. Almost 3,000 businesses depend on coral reef health and at least 1.5 million people rely on reef fisheries for their livelihood.³⁸
- Southeast Asia. Some 70,000 km² of reefs in the region provide tangible benefits of US \$10.6 billion annually to the economies of the countries. Tourism represents almost 55% of this value, while fisheries represents the remainder.³⁹
- Caribbean. Researchers reveal that the total value for all reef-associated tourism is estimated to be over \$7.9 billion of expenditure annually, from 11 million visitors⁴⁰.

ADAPTATION RATIONALE

Coral reefs will need all the help they can get in the coming decades. As explained above, widespread loss and degradation of coral reefs due to climate change is expected over the coming decades, however the impact of climate change and the resilience of coral reefs is greatly influenced by the presence and management of local stressors. Although mitigating the global increase in sea surface temperature and ocean acidification are widely out of the control of local efforts, protecting priority coral reef ecosystems and addressing local anthropogenic stressors makes reefs more resilient to the effects of climate change and better adapted to rebound from bleaching events.

Reef adaptation requires new economic models for coastal communities. To adapt to the threat of climate change, reef-dependent communities need to transform their relationship with coral reefs in a way that brings together the sustainability of the ecosystem and ecosystem services and dependent livelihoods. New sustainable business models and practices, particularly in the tourism, fisheries, and coastal industries are needed to eliminate drivers of degradation and galvanize the resilience of coral reefs and thus the communities that rely on them. For this to occur, additional investment, particularly from the private sector, needs to be mobilised.

Prioritise protecting the reefs with the greatest potential to survive. To increase the resilience of coral reefs and the ecosystem services they provide to climate change, significant global reductions in greenhouse gas emissions are urgently needed. At the same time and just as urgently, we need to focus on protecting those reefs that have the greatest potential to survive in a warming and acidifying ocean from local stressors, in order to significantly enhance their adaptive capacity to climate change. These reefs then have the potential to act as source reefs from which corals can regenerate in the future if climate conditions can be stabilised. Key strategies to include in these actions include identifying and protecting reef areas that are naturally resistant to climate change impacts, reducing sources of pollution that increase sensitivity of corals or increase their susceptibility to disease, preventing damage to reefs through poor boating practices or destructive fishing, preventing overfishing of herbivorous fish and restoring places of ecological priority following stress events.

³⁶ "The Coral Reef Economy", ICRI, UN Environment, ISU. October 2018.

³⁷ "The Coral Reef Economy", ICRI, UN Environment, ISU. October 2018.

³⁸ ICRI. Indian Ocean Fact Sheet. 2018. Available at: https://www.icriforum.org/wp-content/uploads/2019/12/ICRI%20Indian%20Ocean%20Factsheet_0.pdf

³⁹ ICRI. South East Asia Fact Sheet. 2018. Available at: https://www.icriforum.org/wp-content/uploads/2019/12/ICRI%20South%20East%20Asia%20Factsheet_0.pdf

⁴⁰ The Nature Conservancy. "Reef-Adjacent Tourism Value of Caribbean Coral Reefs". 2018.

Preventing reefs from transitioning away from corals. We recognise that the impacts of climate change are likely to be so pervasive that for most reefs there is little chance of effective system adaptation irrespective of which emissions scenario is followed. The reality is that, for many current reef ecosystems, there will likely be a localised forced transition to another ecological state such as an algal dominated community without the reef-associated fish assemblages which human communities rely for income and subsistence. The GFCR will focus on interventions that prevent this transition from happening and safeguarding the livelihoods of reef-dependent communities. In this basis, the adaptation pathway for coral reefs needs to attempt to avoid such systemic transformation of the basic ecosystem.

Identifying those reefs that can act as climate refugia. Identifying and protecting areas of the ocean where conditions are most stable is a key tool for adaptation to climate change. As was the case during historical periods of climate change, climate refugia — areas retaining suitable habitat despite regional climate change — are likely to be critical in preventing considerable loss of biodiversity. Climate refugia have been recommended by numerous authors as a key component of any climate change and biodiversity adaptation program⁴¹. Therefore, their protection is becoming a commonly prioritized conservation target. These climate refugia should be incorporated into Marine Protected Areas, which can provide a safe haven for species in a changing environment, buffering them against preventable habitat loss, fragmentation and localized-climate change.⁴² Ideally, for coral reefs, refugia should be selected to buffer regional changes in stressors related to climate change, in particular ocean temperature and acidity over decades or centuries. Specifically, for coral reefs these climate refugia need to be selected and managed to optimise six key criteria⁴³. These include long-term buffering, multistressor protection, accessibility, microclimatic heterogeneity, size and low exposure to other disturbances.

Deploying investments to ensure resilience Ultimately, for these refugia to be effective in maximising long term persistence they need to be incorporated into a coordinated program that integrates global and local threat management and adaptation. This broader approach relies on strong global climate action to reduce greenhouse gas emissions, prioritising investment to regions with greatest potential to ensure resilience, identification of regional threats and potential solutions and to implement strategies to reduce local co-stressors on coral reefs^{44, 45}. For the latter, key interventions include (1) targeted action to reduce non-climate impacts (2) protection of key ecosystem features (3) ensuring connectivity between reef systems (4) work to restore the structure and function of reefs (5) support for evolutionary potential (6) relocate organisms where possible and (7) prioritise the protection of refugia.

ADAPTATION BARRIERS

The following barriers have hindered the development of a robust pipeline and investment opportunities in coral reef protection and restoration as well as blue economy businesses, which are defined as the sustainable use of ocean resources for economic growth, improved livelihoods and jobs, and ocean ecosystem health. Investors are still unfamiliar with the promising opportunities of investing in businesses that safeguard or restore marine and coastal natural capital, which is accompanied by a perceived high level of risk that inhibits private finance from being funnelled towards effective protection and management of coral reef ecosystems on which so many depend for their lives and livelihoods.

- **Low awareness of the economic importance of coral reefs.** Many decision makers are unaware of the importance of coral reefs – both to today's economy and for future climate resilience. The consequence is unsustainable use of coral reef ecosystem resources for short-term gain and underestimation of the true economic value of coral reefs and related

⁴¹ Keppel G, Van Niel KP, Wardell-Johnson GW et al. (2012) Refugia: identifying and understanding safe havens for biodiversity under climate change. *Global Ecology and Biogeography*, 21, 393–404

Tzedakis, P.C., Lawson, I.T., Frogley, M.R., Hewitt, G.M., and Preece, R.C., 2002, Buffered tree population changes in a Quaternary refugium: Evolutionary implications: *Science*, v. 297, p. 2044–2047.

C. D. Jones, P. Ciais, S. J. Davis, P. Friedlingstein, T. Gasser, G. P. Peters, J. Rogelj, D. P. Van Vuuren, J. G. Canadell, A. Cowie, R. B. Jackson, M. Jonas, E. Kriegler, E. Littleton, J. A. Lowe, J. Milne, G. Shrestha, P. Smith, A. Torvanger, A. Wiltshire (2016). Simulating the Earth system response to negative emissions. *Environmental Research Letters*, 11(9), doi: <http://dx.doi.org/10.1088/1748-9326/11/9/095012>

⁴² UNEP-WCMC and IUCN. 2016.

⁴³ Kavousi, J., & Keppel, G. (2018). Clarifying the concept of climate change refugia for coral reefs. *ICES Journal of Marine Science*, 75(1), 43–49. <https://doi.org/10.1093/icesjms/fsx124>

⁴⁴ Hoegh-Guldberg O, Kennedy EV, Beyer HL, McClennen C, Possingham HP (2018) Securing a Long-term Future for Coral Reefs. *Trends in Ecology & Evolution*: 33(12) <https://doi.org/10.1016/j.tree.2018.09.006>.

⁴⁵ J West et al 2017. Climate-Smart Design for Ecosystem Management: A Test Application for Coral Reefs *Environmental Management* (2017) 59:102–117 DOI 10.1007/s00267-016-0774-3

ecosystems. There is inadequate information on climate vulnerabilities of coral reef ecosystems for medium- to long-term local level adaptation planning and investment. This undervaluation has led to a lack of public and private funding for initiatives that protect and enhance the health of coral reefs and associated ecosystems.

- **Policy, institutional and regulatory gaps.** International and national policies have not been ambitious or effective enough to address the impacts of climate change on coral reefs and prevent their degradation. Ministries and Authorities regularly fail to balance coastal and marine zone development with social or environmental imperatives or integrate climate change impacts into planning and management, and legal and regulatory frameworks are insufficient to prevent degradation or even destruction of coral reef ecosystems. Capacity development to improve awareness of (1) the drivers of community vulnerabilities and livelihoods and (2) the true value of coral reefs and related ecosystems as natural assets that underpin local economies and subsistence is required to upgrade protection and management of these ecosystems. Integration of natural capital accounting systems (for coral and related ecosystems) could help overcome this barrier. Equally, opportunities to link public and private sector investment in activities that incentivise and support effective coral reef protection and management to enhance their resilience must be encouraged.
- **Capacity constraints.** There is limited national and local financial and technical capacities to promote climate-adaptive livelihoods that bolster the resilience of coral reefs and related ecosystems. Communities require technical assistance and knowledge on the ecological impacts of degraded reefs. They would also benefit from technical assistance on good business practices to implement innovative financial mechanisms and benefit the community and the reef system. Women in particular require opportunities to lead initiatives that support coral restoration and revive marine/coastal ecosystems.
- **Limited private finance for reef adaptation and conservation.** Increasingly private investment capital and innovative finance tools are needed to efficiently scale-up initiatives to save coral reefs and build the resiliency of communities that depend on them. Additionally, the enabling financial ecosystem is often lacking to channel finance to coral reef climate resilience and adaptation. Loan borrowers are subjected to high interest rates that comprise the ability to get sustainable blue economy projects and business off the ground. Credit requirements can be so high that makes it impossible for local entrepreneurs to obtain a loan in the first place. Public investment, which provides an important platform for private sector growth and development, is also frequently limited.
- **The impact of the pandemic on tourism.** Coral reef tourism accounts for \$36 billion US dollars a year in coral reef countries. Of that, \$19 billion comes from “on-reef” tourism: Diving, snorkelling, glass-bottom boating, and reef-related wildlife watching. The other \$16 billion is from “reef-adjacent” tourism, which includes enjoying beaches, local seafood, paddle-boarding, and other activities afforded by sheltering adjacent reefs.¹³ The tourism industry has been devastated by the ongoing pandemic. International tourist arrivals decreased by more than half and some \$320 billion in exports from tourism were lost in the first 5 months of 2020. Millions of jobs are affected, many of which are in the informal economy or MSMEs.⁴⁶ While the economic recession is a barrier to boost conservation finance, there is also a once in a lifetime opportunity to make sure tourism is built back greener, safer, and in a climate-friendly and equitable manner.

Significant groundwork has been undertaken to identify the key threats to coral reef ecosystems and the communities who depend upon them. The learnings from which have been integrated throughout this document and its annexes, and which will inform implementation of the programme.

ADAPTATION PATHWAY FOR THE GFCR-IW

Climate change adaptation interventions focused on ecosystems generally attempts to achieve one more of three broad goals.

1. Maintenance of ecosystem services for a target population or region
2. Maximising the persistence of vulnerable ecological communities or species
3. Maximising biodiversity persistence across a region or geographical space

⁴⁶ UN. (2020, August 25). *COVID-19 Tourism Sector Collapse Requires Green, Equitable Rebuilding, Secretary-General Says at Policy Brief Launch* [Press release]. <https://www.un.org/press/en/2020/sqsm20218.doc.htm>

For the GFCR Investment Window the first and second goals are the priorities; to protect vulnerable coastal communities and vulnerable coral reef species. We believe that the third goal – maximising biodiversity – will follow in time if we are able to shepherd coastal communities and coral reef species through the difficult transition period. Therefore, the GFCR Investment Window intends to target the most resilient reefs (identifying climate refugia) by identifying those areas most likely to be either more resilient to climate change or those regions localities where the impacts of climate change will be less extreme, e.g. the “50 Reefs” project⁴⁷. Within this set of resilient reefs, priority should be focussed towards those refugia that provide important local ecosystem services and maximise ecological or conservation value .

We propose to locate the most resilient reefs to climate change and to enable activities that ameliorate or eliminate existing local stressors. It is believed that protecting the identified priority networks of climate refugia coral reefs and reducing local stressors, some ecosystems will survive the impacts of climate change and may help repopulate neighbouring reefs. In terms of which reefs to prioritise, we will select those which offer the maximum human development benefits and the best chance of safeguarding coral reef biodiversity for future repopulation..

1. Maximise support to the most resilient reefs (once identified) to support the most vulnerable populations reliant on those reefs.
2. To create mechanisms and mobilize resources to conserve low climate vulnerability reefs that have potential to reseed to other regions once the climate has stabilized. In selecting these climate refugia, we will also look to maximise biodiversity . Refuge areas with rich biodiversity or high ecological values should receive priority.

There are two risks here. The first is that the process due to inadequate knowledge or poor resolution of data means we do not identify all of the possible climate refugia. The second is that some of the areas classified as refugia are more at risk than assumed. In the first case, the scale of the problem is so vast that no one single program will be able to identify and secondly carry out adaptation activities on all suitable reefs. The assessment we have used is based on the best available data and information we have to date. If the second occurs it means that some of the effort will be spent in areas with limited ecological return. We will manage these risks by (1) using multiple data sources to identify climate refugia and (2) recognise that the resilience-status of the identified refugia remains under review while additional data is collected.

The 50 Reef Initiative. This GFCR’s approach is predicated on the findings of the 50 Reefs initiative, financed by Paul G. Allen Family Foundation, Tiffany & Co. and Bloomberg Philanthropies, which aims to protect 50 Reefs so they are resilient to climate change, promote adoption of science-based fisheries and marine protection policies in 10 countries, and support 20 countries in achieving fishing activity transparency. Importantly, the 50 Reefs initiative has identified an optimum global portfolio of reefs for targeting coral reef conservation that have the potential to survive the impacts of accelerating climate change. This is based on a peer reviewed global analysis of existing reefs against a range of climate and non-climatic existing and projected stressors⁴⁸ (see figure 7 for schematic of selection process). By making the identified coral reefs priority conservation sites, it is expected that these areas will also have the ability to repopulate neighbouring reefs that suffer degradation from climate change. In turn, the project will work with reef-dependent communities to adapt their activities to reduce local impacts on CRAEs to augment the resiliency of reefs. Taking action for the regeneration and protection of coral reefs constitutes a direct intervention to preserve exceptional biodiversity and reduce the exposure and vulnerability of reef-dependent populations and economies at the frontlines of climate change

Projections of Future Coral Bleaching Conditions using IPCC CMIP6 Models. This is a publication by the United Nations Environment Programme (which identifies Indonesia , western Australia, the Bahamas, Madagascar, India, and Malaysia as countries with the highest proportions of climate refugia) and Coral Reef Rescue by WWF: This approach builds on related work undertaken by UNEP’s Coral Reef Unit and WWF’s Coral Reef Rescue initiative (which focuses on building the resilience of coral reefs and the communities dependent on them by securing reefs in 7 main countries–Fiji, Solomon Islands, Indonesia, Philippines, Madagascar, Tanzania and Cuba–that account for 70% of the regeneration capacity of coral reefs globally). It is believed that protecting the identified priority networks of climate refugia coral reefs and reducing local stressors, some ecosystems will survive the impacts of climate change and may help repopulate neighbouring reefs.

⁴⁷ Hawthorne L. Beyer et al (2018) Risk-sensitive planning for conserving coral reefs under rapid climate change Conservation Letters. 2018;11:e12587

⁴⁸ Hawthorne L. Beyer et al (2018) Risk-sensitive planning for conserving coral reefs under rapid climate change Conservation Letters. 2018;11:e12587

These global studies assume that the biological response to thermal thresholds is consistent and that a rise in a metric such as the Degree Heating Weeks will have a similar impact across the coral reef biome. There is the case however, to consider additional potential coral refugia regions based on the existence of coral genotypes that are less susceptible to thermal stress. Recent studies in the Red Sea have postulated that the restriction of water flow at the southernmost section of the Red sea has established a natural thermal barrier which has led to a natural selection of coral genotypes that are less susceptible to thermal stress⁴⁹. Additional studies have shown that there are relatively high acclimatization potential in the northern populations particularly in the Gulf of Aqaba but limited ability to cope with ocean warming in southern populations that are already existing at the upper thermal margin for corals⁵⁰.

B.2. Theory of change (max. 1000 words, approximately 2 pages plus diagram)

Describe the theory of change and provide information on how it serves to shift the development pathway towards a low-emission and/or climate resilient direction. Provide the diagram of the theory of change (approximately 1 page).

The theory of change should include any barriers (social, gender, fiscal, regulatory, technological, financial, ecological, institutional, etc., as relevant) that need to be addressed. Use a results chain of inputs, activities, outputs, outcomes, and impact statements, and identify the how and why of causal relations to deliver the project's expected results.

The goal of the GFCR investment window is to enhance the resilience and adaptive capacity of coral reef ecosystems and the communities that are highly dependent upon them to climate change and biodiversity loss, through unlocking and de-risking private investment.

The ultimate beneficiaries of the GFCR are the men and women located in the regions where investments will be deployed, who depend on coral reefs for food, protection, and income. Coral reefs are a crucial ecosystem for life underwater, they protect coastal areas by reducing the power of waves hitting the coast and provide a crucial source of income for millions of people – in 2019, over 350 million jobs were estimated to be linked to ocean activities and global tourism revenues linked to coral reefs totalled US\$ 36 billion. Immediate beneficiaries will also include citizens who will be directly employed and local and national authorities where projects will be developed and companies deploy their services, benefitting from improved resilience of their economic and social, as well as ecological ecosystem. Beneficiaries of the GFCR will include all the project developers and entrepreneurs that will be supported financially. Compliance with the GFCR Fund's ESMS criteria, rigorous safeguarding, gender framework and climate impact design will also build their capacity to engage co-investors.

The programme is designed to deliver ecological, social, and economic resilience to coral reef ecosystems and the communities that depend on them, which are currently threatened by climate change and other drivers of degradation (e.g., pollution, overfishing, destructive fishing techniques, etc.) through a blended finance model that can unlock private capital and address current financing barriers. The GFCR Investment Window is the first at-scale solution focusing on addressing the degradation of coral reef ecosystems through enhanced adaptation, based on the latest science (see the previous section). This means not only supporting direct restoration activities on reefs that have the greatest chance of survival, but also creating new economic opportunities that address key drivers of degradation while sustaining livelihoods in the long-term. Given the dire outlook for coral reefs survival even in a 1.5-degree Celsius global warming scenario, implementing a strategy that can reduce current stressors while generating economic and social benefits is key.

The goal of the GFCR Fund is also to mobilise private capital, through an effective use of public capital, for this agenda. The political momentum and investor interest around ocean ecosystems is growing: 14 countries forming the High-Level Panel for a

⁴⁹ Fine, M., Gildor, H., & Genin, A. (2013). A coral reef refuge in the Red Sea. *Global change biology*, 19(12), 3640-3647.

⁵⁰ Sawall, Y., Al-Sofyani, A., Hohn, S. et al. Extensive phenotypic plasticity of a Red Sea coral over a strong latitudinal temperature gradient suggests limited acclimatization potential to warming. *Sci Rep* 5, 8940 (2015). <https://doi.org/10.1038/srep08940>

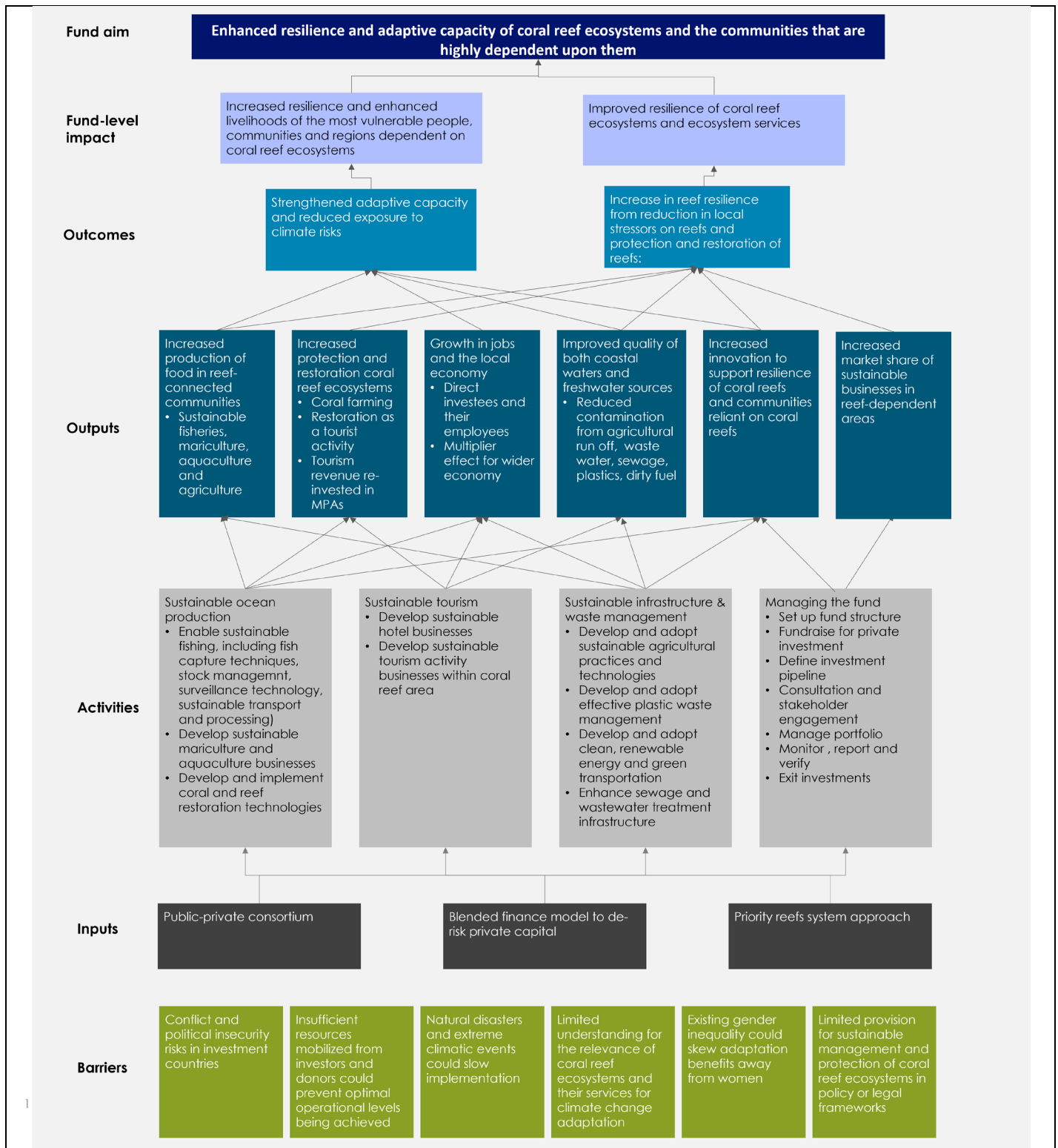
Sustainable Ocean Economy have committed to sustainably managing 100% of their waters. In a recent survey, 72% of investors have confirmed their interest in investing in a sustainable ocean economy⁵¹.

However, there are currently a handful of ocean-focused funds globally that usually target only one area of the ocean economy (e.g. waste infrastructure, food production, plastic pollution, fisheries), but there is no initiative at scale that can enable private investors to deploy capital in the conservation and restoration of coral reefs in developing countries. The \$500 million GFCR Investment Window seeks to bridge that gap, with the support of the Green Climate Fund's contribution to the junior tranche of the Investment Window that will enable greater private investment mobilisation.

The programme level Theory of Change for the GFCR Investment Window is shown in a diagram Figure 8, and an explanation is detailed below.

Figure 8: GFCR Investment Window Theory of Change

⁵¹ Responsible Investor Research and Credit Suisse. 2020. Investors and the Blue Economy. <https://www.esg-data.com/reports>.



Inputs of the programme include:

Public-private consortium: the programme will be delivered by Pegasus Capital Advisors as the executing entity, with the support of its extensive network of technical partners such as SYSTEMIQ, BNP Paribas and others. In addition, the Global Fund for Coral Reefs has the support of the UN Multi-Partner Trust Fund Office (UNDP, UNEP, UNCDF), the German and UK Government and

private foundations Vulcan and Prince Albert II of Monaco Foundation. These partners are designing a parallel window providing grants to support an enabling environment for investment in coral reef and reef-dependent community resilience (the “GFCR Grant Window”), with funding targeting technical assistance, capacity development, emergency grants, and monitoring and evaluation, as well as contributing to pipeline incubation and sourcing for the Investment Window. While the GFCR Grant Window is expected to be a potential source of investments for the GFCR Fund, its remit includes purely philanthropic endeavours and is therefore distinct from the Investment Window’s commercial goals. Both Pegasus and representatives of the Grant Window will assume roles on a Fund-Level Advisory Board, to be convened once a year, to provide strategic guidance to both the Investment and Grant Windows. Section B4. Implementation Arrangements elaborates further on the details of the relationship between the Grant Window and the Investment Window.

Blended finance model to de-risk private capital: the GFCR Fund is being designed as a blended finance fund, with a junior and senior tranche. The junior tranche commitment is intended to unlock capital from both public investors (multilateral development banks, sovereign wealth funds, public pension providers, etc.) and more importantly private investors (private banks, private pension funds, insurance funds, etc.) who are willing to invest into climate adaptation and coral reef ecosystems but have limited access to attractive opportunities.

Priority reefs systems approach: As explained in the previous section, the GFCR Investment Window will target those sites that best fit the “climate refugia” scientific rationale and which can attract and absorb a range of tailored public and private investments for coral reef protection in developing countries. For each site identified, the GFCR Investment Window will adopt a reef-to-coast systems approach to investing, focusing its efforts on investments that (i) restore coral reefs through existing and new technologies and adaptive approaches (e.g. ecotourism activities, innovative restoration technologies); (ii) address key drivers of degradation by (a) improving the productivity of sustainable ocean resources (e.g. sustainable fisheries, sustainable mariculture, sustainable aquaculture, seaweed production, etc.); (b) reducing or eliminating land-based pollution (e.g. plastic waste management, coastal agriculture to reduce nutrient run-off, sewage and waste-water infrastructure, clean energy and transportation). Businesses and activities will be located on the reef as well as on the coastal area surrounding the reef.

Activities of the programme

Four main categories of activities are identified in the programme TOC.

These include three categories related to three target investment sectors that have been identified: Sustainable ocean production, Sustainable Tourism, and Sustainable Infrastructure and Waste Management. Further details of how these three sectors contribute directly to climate change adaptation pathways can be found in the Annex 25, Theories of Change for Investment Sectors. Additionally, an explanation of the rationale for the choice of these sectors is provided in section B3.

The fourth category relates to the activities required to set up the GFCR investment window. These activities and sub-activities are elaborated in section B3.

The Investment Window of the GFCR will seek to deliver the following high-level outputs:

Increased sustainable production of food: Investment could encompass supporting fishers to adopt more sustainable fish capture techniques (such as baited traps in lieu of blast fishing), helping fishers manage stocks more sustainably, developing surveillance and fishing gear from technological advances or improving the sustainability of transport and processing. Sustainable ocean production can also be achieved through growth in mariculture and aquaculture in a range of markets including seaweed, finfish and shrimp.

Increased protection and restoration coral reef ecosystems: Interventions may enable degraded coral reefs to be restored, for instance through robotic coral farming or artificial reef ventures. Alternatively, tourism investments may improve reef health, such as through enhancing the safety of reef tourism for coral reef ecosystems, or creating revenue streams to reinvest in MPAs.

Growth in jobs and the local economy: Investment and the resulting expansion in local businesses will increase employment rates. Expansion in industries serving investees (e.g. the food sector for Sustainable Tourism, the construction sector for Sustainable Infrastructure etc.) will generate employment creation opportunities. Multiplier effects from additional spending within the local economy – both by tourists and the local employed population – will drive local economic growth.

Improved quality of both coastal waters and freshwater sources: Water quality in coral reef ecosystems and the that depend on them may be improved through multiple avenues. These include improved plastic waste management from new business models and technologies that could contribute to improved plastic use, collection, monitoring, sorting and recycling, improved treatment of sewage and wastewater, the development and adoption of clean, renewable energy and green transportation, and the adoption of organic fertilizers, bio-stimulants or precision agriculture in lieu of conventional inorganic fertilizer use. Together, these can reduce ocean acidity, eutrophication and turbidity, as well as the contamination of drinking water sources used by communities.

Increased innovation to support resilience of coral reefs and communities dependent on coral reef ecosystems: The portfolio may include investments in outside of the country program to allow technology from another country to be imported and implemented in local communities so that the impact can occur in target reefs. In other cases, investment may be directly into businesses in coral reef-dependent communities where the object will be to develop, commercialise and scale technologies and innovations. These innovations could include solutions to enhance coral reef farming, such as micro fragmentation based commercial coral farming, to improve the sustainability of fishing, for instance drone surveillance technologies, or innovations to improve infrastructure and waste management such as digital or artificial intelligence-enabled sorting of plastic waste.

Increased market share of sustainable businesses in reef-dependent areas: by adopting a systems approach in target reefs, the Investment Window will contribute to building sustainable coastal economies and regional capacity in climate-vulnerable countries.

The GFCR will seek to deliver two main outcomes:

Strengthened adaptive capacity and reduced exposure to climate risks: The outputs of the programme will together generate improved food security, reduced exposure to water-borne disease, increased income and diversification of household income, and empowerment – especially of women. These will improve communities' adaptive capacities and reduce the impact of climate shocks.

Increase in reef resilience from reduction in local stressors on reefs and protection and restoration of reefs: The outcomes identified will together contribute to the maintenance and growth in coverage of coral reefs through conservation and rehabilitation of degraded reefs. They will also seek to limit the key local stressors that negatively impact or constrain reef resilience.

The GFCR will ultimately create two main impacts:

Increased resilience and enhanced livelihoods of the most vulnerable people, communities and regions dependent on coral reef ecosystems to climate change.

Improved resilience of coral reef ecosystems and ecosystem services to climate change.

Together, these impacts contribute to the fund aim of enhanced resilience and adaptive capacity of coral reef ecosystems and the communities that are highly dependent upon them to the effects of climate change.

B.3. Project/programme description (max. 2000 words, approximately 4 pages)

Define the project/programme. Describe the proposed set of components, outputs and activities that lead to the expected Fund-level impact and outcome results. Components should reflect the project/programme level outcomes.

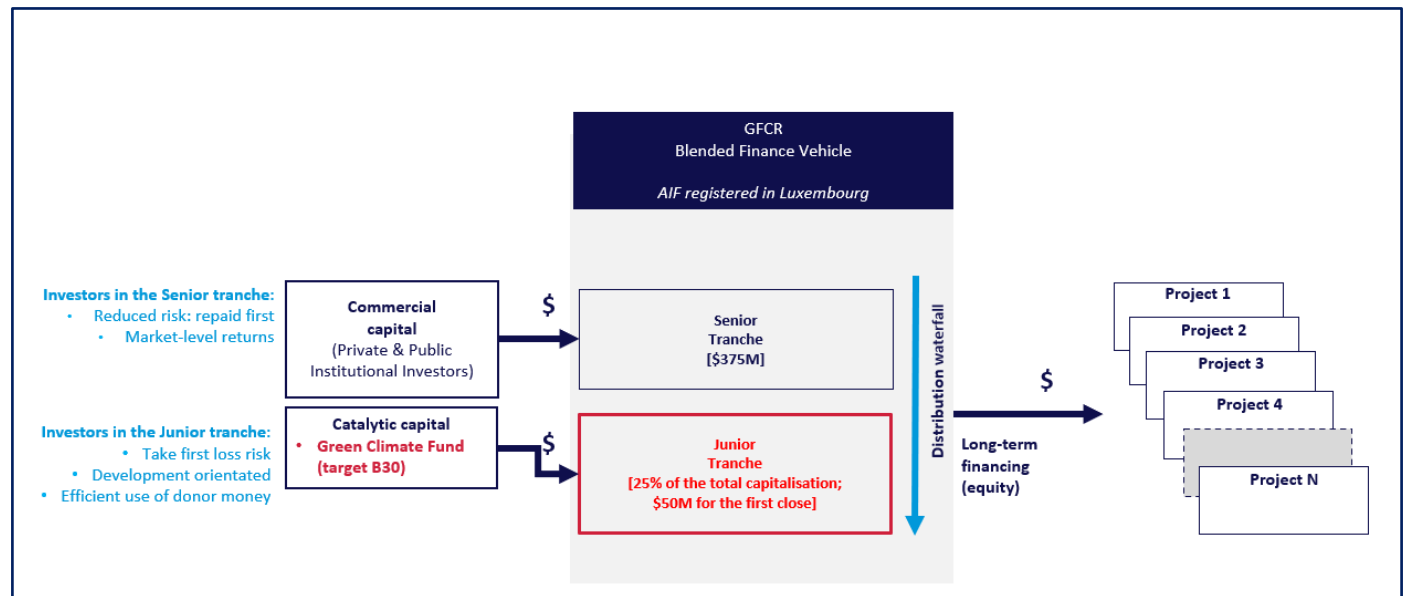
This should be consistent with the financing by component in section C.2, the results and performance indicators provided in section E.5, and the implementation timetable in annex 5.

Referring to the feasibility study, describe why this set of interventions was selected instead of alternative solutions and how the project/programme can help unlock the needed support in a sustainable manner. Also identify trade-offs of the selected interventions, if applicable.

For Enhanced Direct Access (EDA) proposals and projects/programmes with financial intermediation (loans or on-granting), describe the selection criteria of the sub-project and types.

The programme's primary aim is to strengthen the adaptive capacity of resilient reefs and the communities that depend on them. The programme seeks to achieve this goal by raising a US\$ 500 million fund, the GFCR Investment Window, that will enable the financing of 20-30 companies, projects and platforms across three target sectors (i) sustainable ocean production to address overfishing, destructive fishing techniques, and accelerate restoration, (ii) ecotourism to address unsustainable tourism and accelerate restoration and (iii) sustainable infrastructure addressing pollution. The GFCR Fund will be structured as a blended finance vehicle with a junior and senior tranche (see figure 9). The public contribution to the junior tranche will seek to leverage up to 3x private capital in the senior tranche.

Figure 9: GFCR Investment Window structure



Programme Activities

Four main categories of activities are identified in the programme TOC. These include three categories related to three target investment sectors: Sustainable Ocean Production, Sustainable Tourism, and Sustainable Infrastructure and Waste Management. Further details of how these three sectors contribute directly to climate change adaptation pathways can be found in the Annex 25, Theories of Change for Investment Sectors, which provides Theories of Change at the level of each of these individual sectors, and how they function synergistically to create systemic change.

The fourth category relates to the activities required to set up the GFCR investment window. These activities and sub-activities are elaborated here.

The Accredited Entity will oversee and be responsible for implementing the activities of the programme with support as needed from its network of advisors and service providers such as BNP Paribas and the UN agencies (UNDP, UNCDF and UNEP). Details of the relationship between the Accredited Entity and the Grant Window will be further detailed in the Term Sheet.

Activity E1: Implement the legal structure of, and form, the GFCR Fund and related entities. Consummate first closing with the GCF.

Sub-Activity E1.1: Procure legal services to prepare underlying documentation – It is expected that Kirkland & Ellis LLP will be the primary outside counsel for structuring the GFCR Fund and preparing the related documentation. Pegasus does not expect to engage Kirkland in any material capacity until the Funding Proposal is approved by the Board.

Sub-Activity E1.2: Implement legal structure for GFCR Fund and related entities – See Section B.4 of this Funding Proposal for a description of the legal structure for the GFCR Fund.

Sub-Activity E1.3: Draft formation documents and related Agreements for GFCR entities – See Section B.4 of this Funding Proposal for a description of the legal structure for the GFCR Fund.

Sub-Activity E1.4: Consummate Initial Closing of the GFCR Fund with GCF as anchor investor – The GCF (via GCF Reef Holdings as described in Section B.4 below) will make a capital commitment to the GFCR Fund of \$125 million at the initial closing of the GFCR Fund. Of this commitment, \$25 million will be unconditional at the initial closing, although this amount will be increased to \$50 million so long as the GFCR Fund procures at least \$10 million of additional co-investment at the first closing. The remainder of the commitment will become unconditional at subsequent closings with third-party investors in an amount such that, after giving effect to such closing, the GCF commitment represents no more than 25% of aggregate commitments to the GFCR Fund. Also at the initial closing, the Accredited Entity or one or more of its affiliates will make a capital commitment to the GFCR Fund in an amount equal to 1% of the total commitments to the GFCR Fund.

Activity E2: Fundraise \$375mm of additional capital for the senior tranche.

Sub-Activity E2.1: Prepare fundraising material; evaluate GFCR Fund suitability – The Accredited Entity has extensive fundraising experience, having raised five prior funds and is currently fundraising for the Global Subnational Climate Fund (approved by the Board at B.27). The Accredited Entity may cause the GFCR Fund to engage one or more placement agents to assist in the fundraise.

Sub-Activity E2.2: Draft Private Placement Memorandum and Other Marketing Materials. Market Fund to other investors. The Private Placement Memorandum and other marketing materials will be prepared by the Accredited Entity.

Sub-Activity E2.3: Negotiate with potential investors and close on additional commitments to the GFCR Fund – It is expected that the GFCR Fund would hold several closings over the course of up to 15 months after the initial closing with GCF (subject to extension for up to an additional six months). See the Summary of Principal Terms attached to Annex 14 to this Funding Proposal.

Activity E3: Identify and maintain a pipeline of potential investments

- Sub-Activity E3.1: Early-stage sourcing – Pegasus has extensive experience sourcing and maintaining a pipeline of potential transactions. Unlike most private equity sponsors who rely heavily on auction processes for deal flow, Pegasus has historically sourced the vast majority of its investments outside of an auction process. In fact, every transaction in Pegasus' most recent fund was sourced on a proprietary basis. As a result, Pegasus has, over the course of its 25-year history, built an expansive network of current and former advisors and contacts that it can leverage for potential

transactions (e.g. corporate contacts, incubators, etc.). Furthermore, the Grant Window, in coordination with Convening Agents and key stakeholders will help incubate, source and mature a pipeline of investible projects to be considered by Pegasus for the fund portfolio. In addition, on the ground networks of the GW will be activated to source additional promising deals for the IW in target geographies.⁵² Details of this synergistic arrangement are further outlined in Section B.4.

Sub-Activity E3.2: Develop the pipeline – As the investment period of the GFCR Fund is up to five years after the final closing of the GFCR Fund, Pegasus will regularly evaluate and update the pipeline. Potential transactions will be screened against minimum eligibility criteria, which will be detailed in the Term Sheet. Those opportunities that the Manager determines, in its business judgment, are the most promising will be selected for further due diligence.

Activity E4: Manage the investment activities of the GFCR Fund, perform due diligence on potential opportunities and execute transactions

Sub-Activity E4.1: Perform Due Diligence on proposed deals. The GFCR Fund team seeks to conduct comprehensive due diligence of prospective investments. The due diligence evaluation typically consists of multiple in-person meetings, teleconferences and written questionnaires with members of the potential investment's management. A financial model is typically built using management's projections and key assumptions are subjected to sensitivity analysis. Assuming the GFCR Fund team wishes to proceed, the team will typically enter into a non-binding term sheet with the target company/project that outlines the key terms on which the GFCR Fund team would be willing to make an investment. Throughout the initial evaluation process, the GFCR Fund team is in frequent communication with members of the GFCR Fund's Investment Committee to gauge overall interest in the opportunity and discuss the opportunities and risks associated with the potential investment.

After a term sheet is executed and the GFCR Fund team is granted exclusivity, the team will conduct a full due diligence review of the opportunity, including by engaging third-party advisors as appropriate, including legal, tax, accounting and regulatory, as needed. The GFCR Fund team also conducts due diligence on ESG risks and opportunities in accordance with the ESMS, its ESG Management System, and will engage an ESG Specialist, as appropriate. The depth of the due diligence procedures is based upon the categorization of the investment opportunity and guided, as stated in the ESMS, by the IFC Performance Standards, Equator Principles and CDC ESG Toolkit. Depending on the circumstances, technical consultants may be engaged for additional expertise.

Sub-Activity E4.2: Prepare documentation for Investment Committee. The investment team prepares an investment memo for formal presentation and review by the Investment Committee, which summarizes the investment opportunity and key deal terms. Often times at this point there are several additional iterations of diligence or structure before the Investment Committee is prepared to make a final decision on the proposed transaction. The Investment Committee will then make a formal determination whether or not to proceed with the transaction. Once the Investment Committee has determined to proceed with the transaction, any material changes relating to the transaction will need to be further approved by the Investment Committee.

Activity E4.3: Consummate transactions approved by the Investment Committee. Working with external counsel, the investment team prepares and negotiates final investment agreements. The investment is approved by the AIFM and the transaction is consummated.

Activity E5: Manage the Investment Portfolio

Sub-Activity E5.1: Provide ad-hoc support to Portfolio Companies. From the time of the initial investment, Pegasus seeks to be integrally involved with the growth and development of the its portfolio companies. Most often, this is accomplished through one or more seats on a company's board of directors or similar governing body. In situations where Pegasus holds a minority interest, Pegasus will typically seek to negotiate appropriate contractual rights and

⁵² The GW is not expected to be the sole source of potential transactions for the IW, as the IW expects to also source potential transactions through its own networks.

minority protections. Pegasus seeks to play active role in value creation and portfolio company management post-investment, often working with management teams to establish new strategic initiatives, relationships and distribution channels. When opportunities arise, the Pegasus team and the applicable portfolio company management team work as a unit to drive forward towards a positive result. Pegasus representatives regularly meet with management teams to create and assess progress on growth initiatives.

Activity E5.2: Perform regular evaluation of Portfolio Companies.

Activity E6: Report to the Limited Partners

Sub-Activity E6.1: Collect information of investees, implement verification mechanisms, implement data collection tools

Sub-Activity E6.2: Organize annual audit of the GFCR Fund

Sub-Activity E6.3: Report to LPs on financial results, impacts and beneficiaries. Definitive reporting requirements will be specified in the GFCR Fund's limited partnership agreement. Historically, Pegasus has provided unaudited financial information on a quarterly basis, audited year-end financial statements, and a narrative update on each portfolio company on a quarterly basis.

Activity E7: Exit assets, return capital plus profit to Limited Partners, close out the Fund

Sub-Activity E7.1: Evaluate exit opportunities. The Investment Committee regularly evaluates potential exit opportunities for the portfolio companies. Pegasus also maintains a robust network of financial advisors who can be engaged to assist in the marketing and sale of the GFCR Fund's investments. Members of the GFCR Fund team have extensive experience exiting assets through IPOs, sales to both strategic and financial acquirers and recapitalizations. Due diligence information provided to prospective buyers typically includes information outlining the business case for ESG and any impact investing approaches. This information may include how value was created from ESG.

Sub-Activity E7.2: Negotiate sales transactions

Sub-Activity E7.3: Execute Exit and Distribute Proceeds. "Exit" refers to the GFCR Fund monetizing its interest in an investee company. It is expected that the significant majority of exit transactions will consist of a sale for cash proceeds which are distributed by the GFCR Fund to its limited partners (including GCF), subject to reserves for expenses and contingent liabilities. The GFCR Fund may also seek to structure an exit that allows the GFCR Fund to generate interim cash flows – e.g., annual payments from the project as a percent of revenue or net income.

Sub-Activity E7.4: Liquidate the GFCR Fund after all Portfolio Companies have been fully disposed

Target geographies

As explained in section A, the GFCR Investment Window will target those sites that best fit the "climate refugia" scientific rationale and which can attract and absorb a range of tailored public and private investments for coral reef protection in developing countries.

To identify potential sites for investment, potential countries were screened against three key factors:

1. Climate Change Resilience - based primarily on 50 Reefs Bioclimatic Units (BCUs) presence/absence - only countries with priority BCUs for climate resilience. Climate resilience remains the guiding principle of the fund, and therefore countries with climate resilience references from peer-reviewed studies should be prioritized.
2. UNFCCC Non-annex I Status - Only countries with UNFCCC Non-Annex I Status are eligible due to the grant and concessional financing approach of the GFCR.
3. Investment and Trade Restrictions - Target investors cannot invest in, nor will a custodian/depositary permit investment into, countries with UN, US, and EU sanctions, or other trade restrictions.

For the countries meeting these requirements, additional criteria including ecological reef value, investment risk profile, and reef dependence (% of GDP dependent on reefs) were subsequently applied. Finally, the decision was taken to retain 6 countries as exceptions to this filtering process, either on the basis that they expressed strong interest in involvement in the programme, or that they are countries that form part of a wider multi-country reef system of which some countries were in scope. Ultimately, 32 countries were selected and included in the proposal. The market study (Annex II) gathers more details and information about the sites selected.

The Investment Window will seek to invest in the 17 countries which have provided NOLs, with up to a maximum of 33% of the value of the Investment Window allocated to a single country. The allocation of financing across countries within the program will be commensurate to the number of coral reef refugia, the strength of the pipeline, and the size of the reef-dependent population.

Target Sectors

The GFCR Fund expects to target the following sectors:

1. Sustainable ocean production to address overfishing, destructive fishing techniques, and accelerate restoration
2. Ecotourism to address unsustainable tourism and accelerate restoration
3. Sustainable infrastructure addressing pollution

These have been selected based on (1) **impact**: each investment will be enhancing the resilience of priority reef sites by supporting direct restoration activities, or indirect ones by addressing drivers of degradation; (2) **market sizing**: including analysis on market trends, growth areas, and latest investment rounds; (3) **potential pipeline** scoped. A potential pipeline of [\$US 1 billion] has been identified to be deployed in target sites. More detail can be found in the feasibility study in Annex II (*forthcoming*).

Within these sectors, the GFCR Fund will target investments that:

A. restore coral reefs through existing and new technologies and adaptive approaches (e.g. ecotourism activities, innovative restoration technologies - e.g. artificial reefs ventures, assisted evolution tech companies, coral gardening and sexual propagation ventures); and/or

B. reduce or eliminate key drivers of coral reef degradation such as overfishing, destructive fishing techniques, nutrient loading from agricultural run-off, pollution from litter, discharge of sewage and other contaminants in coastal water, deforestation of mangroves for urban development and aquaculture, non-sustainable tourism and poor waste management.

Structurally, the GFCR Fund expects to primarily take control equity positions in its investee companies, though investments may be made in debt and/or hybrid securities or in minority positions on a case by case basis. Where an investment is not a control position, the GFCR Fund will seek to negotiate appropriate minority protections. Individual investments will be structured on a case-by-case basis in consultation with outside legal and tax advisors, though it is expected that each investment will be structured through one or more newly created special purpose vehicles controlled by the GFCR Fund. Investments may be made at the project level or the corporate level. For investments at the corporate level, the GFCR Fund will ensure that the company deploys an amount of funding in the host countries at least equal to GCF's pro rata portion of the invested capital. In addition, the GFCR Fund may invest in one or more platform companies that serves to aggregate multiple smaller projects in order to leverage and scale project technology and design.⁵³

B.4. Implementation arrangements (max. 1500 words, approximately 3 pages plus diagrams)

⁵³ These platform companies would not have investment discretion, but rather refers to the GFCR Fund aggregating multiple related projects/companies under a single SPV.

Provide a description of the project/programme implementation structure, outlining legal, contractual, institutional and financial arrangements from and between the GCF, the Accredited Entity (AE) and/or the Executing Entity(ies) (EE) or any third parties (if applicable) and beneficiaries.

- *Provide information on governance arrangements (supervisory boards, consultative groups among others) set to oversee and guide project implementation. Provide a composition of the decision-making body and oversight function, particularly for Enhanced Direct Access (EDA) proposals.*
- *Provide information on the financial flows and implementation arrangements (legal and contractual) between the AE and the EE, between the EE or any third party and beneficiaries. For EEs that will administer GCF funds, indicate if a Capacity Assessment has been carried out. Where applicable, summarize the results of the assessment.*
- *Describe the experience and track record of the AE and EEs with respect to the activities (sector and country/region) that they are expected to undertake in the proposed project/programme.*

Provide a diagram(s) or organogram(s) that maps such arrangements including the governance structure, legal arrangements, and the flow and reflow of funds between entities.

Governance of the GFCR Fund:

The investment activities of the GFCR Fund will be overseen by the Accredited Entity, via the GFCR Investment Committee. The Investment Committee will be comprised of a majority of members appointed by the Accredited Entity and will act by majority vote. Pegasus has 25+ years of experience in private equity investment, having deployed five equity funds with an impact-driven approach to investment focused on sustainability, health, and wellness. Senior advisers also retain experience in government engagement and ocean-related investments.

Relationship between the Grant Window and Investment Window

The Grant Window ("GW") and Investment Window ("IW") will perform independent but complementary and coordinated roles to seek to maximise impact of the GFCR. The GW aims to establish an enabling environment for the IW, more broadly to financing coral reef resilience initiatives, and ultimately to de-risk private sector involvement in the sustainable blue economy. Grant funding from the GW targets technical assistance, capacity development, emergency grants, and monitoring and evaluation, and contributes to pipeline incubation and sourcing for the IW. The GW also has a philanthropic mandate such that not all of the projects funded by the GW will be appropriate for the IW. The GW delivers its mission with the support of the UN Multi-Partner Trust Fund Office (UNDP, UNEP, UNCDF), the German, French and UK Governments, and private foundations Paul G. Allen Family Foundation and Prince Albert II of Monaco Foundation. Support will also be provided by The Nature Conservancy, Wildlife Conservation Society, WWF, Conservation International, MAR Fund and Blue Finance (collectively, the "Convening Agents"). Although the remit of each Window is distinct, their mandate is the same: to enhance the resilience of coral reefs and reef-dependent communities. To this end, the objectives for each Window and the governance structure of the overall fund have been designed to ensure that the IW and GW work in tandem to deliver key synergies that will maximise the impact of the GFCR.

The integrated dual Window model enables the GFCR to build on the respective strengths and remits of the two Windows, and ultimately to mobilize finance from prospective partners on a global scale to support countries in improving their progress to achieving adaptation to climate change. This collaboration materialises in an iterative, reinforcing dialogue that includes:

- **IW sharing inputs to help identifying GW priorities.** While sourcing its pipeline and engaging with Grant Window Convening Agents and key stakeholders in target geographies, the IW will identify and raise to GW's attention the pipeline gaps (sectors, technologies, infrastructure, etc.), needs for capacity building, or need for support in policy reforms and enforcement, that can then be addressed through disbursement of targeted grants by the GW.
- **GW supporting development of pipeline for the IW.** The GW, in coordination with Convening Agents and key stakeholders will help incubate, source and mature a pipeline of investible projects to be considered by the IW for the fund portfolio, working for instance with local accelerators and incubators, providing financial support to small and medium enterprises (SMEs), start-up companies and NGOs to develop their commercial activities, and undertaking site-based studies to identify drivers of degradation and potential business models that could address these drivers. In

addition, on the ground networks of the GW will be activated to source additional promising deals for the IW in target geographies.⁵⁴ The IW can also source potential investees independently of the GW. In these cases, the GW will be able to jointly review the investment proposal and Due Diligence as observers in the Investment Committee.

- **GW supporting the IW in the Due Diligence process.** GW capabilities (including technical and scientific expertise), methodologies, local knowledge, and on-the-ground networks can be mobilised to reduce transaction costs and support ex-ante risk measurement and feasibility studies in relation to due diligence work (see Figure 10) as it relates to the impact on coral reef ecosystems and local communities.
- **GW improving and de-risking the business environment.** GW support in target geographies (e.g., increased local capacity, technical assistance, facilitation of dialogue with local policy-makers) is expected to support the sustainable development and growth of IW portfolio companies.
- **GW and IW collaborating on impact methodologies and measurement.** The two Windows will collaborate to ensure the impact of the GFCR is defined, tracked and reported in the most science-based, systematic and transparent way through monitoring by Convening Agents and supported by UNEP.

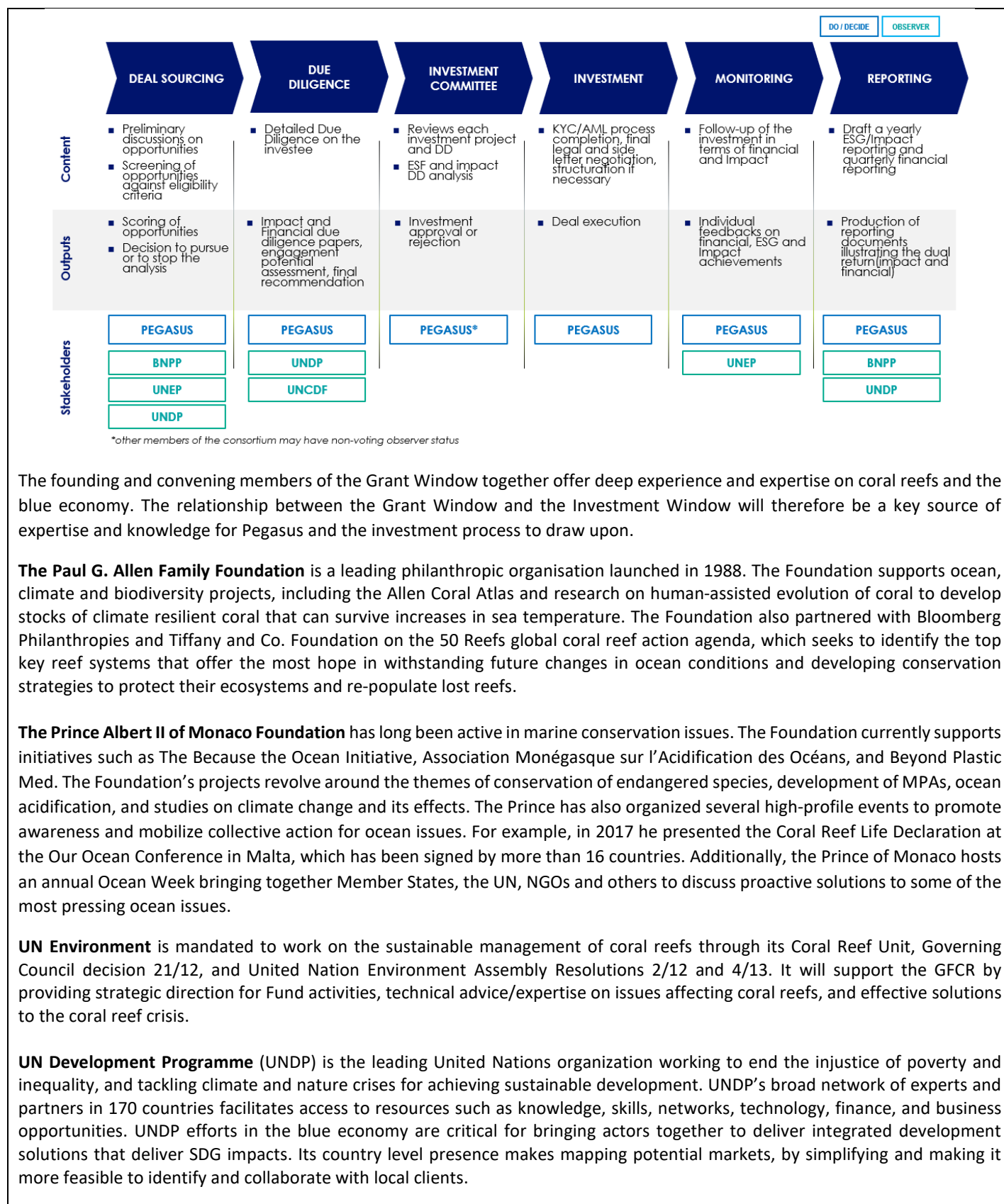
Four main mechanisms have been designed to enable the GW and IW to collaborate productively and in an agile way:

1. **GW as observer in the IW Investment Committee.** Key stakeholders from the GW – the UNEP, UNDP and UNCDF – will be involved in pre- and post-investment activities, including sourcing, due diligence, monitoring and reporting, and will be able to provide guidance, knowledge and access to relevant networks as required.
2. **IW (through Pegasus) as an observer and advisor to the Executive Board of the GW,** whose remit includes approving grant allocations by the GW. This forum will provide the opportunity for Pegasus to enhance their visibility of and influence over the key focus areas for the GW.
3. **Fund-level Advisory Board,** to be convened once a year, **explicitly adopting a shared focus on the strategy for and progress of the two Windows and advising on strategic issues advanced by both the Investment Committee and the Executive Board.** The Advisory Board's scope includes the development of guidance to both Windows based on the evolution of best practices in the fields of coral reef conservation, impact investing (including investment standards), blended finance, investment standards and sustainable business development. The Terms of Reference for the Advisory Board are still under development. However, there is potential for GCF to assume a Technical Advisor role on the Fund-Level Advisory Board as part of the National Governments & Public Institutions members contingent, which would provide line of sight on the future direction of both Windows.
4. **Regular and ad-hoc meetings taking place between the IW and the GW. The UN Global Team and Investment Committee explicitly intend to meet at least bi-annually to align on project and investment priorities.** This channel of communication allows for ongoing and reactive knowledge sharing and evolving discussions on strategic priorities.

Further details of the nature of the arrangement between the GW and the IW will be elaborated in the Term Sheet.

Figure 10: Key Stakeholders from the Grant Window will be involved at multiple stages of the Investment Window investment process

⁵⁴ The GW is not expected to be the sole source of potential transactions for the IW, as the IW expects to also source potential transactions through its own networks.



Blue Finance is a not-for-profit organization developing impact investment projects focused on sustainable finance for marine protected areas (MPA). Their approach is one of the most direct blended finance approaches for coral reef conservation and they have recently been awarded a design grant from Convergence for their work. They are active in multiple coral reef countries with priority BCUs (Indonesia, Philippines, Fiji, Bahamas, Dominican Republic and more).

Conservation International (CI) is a large environmental NGO that works in the world's biodiversity hotspots. Combining fieldwork with innovations in science, policy and finance, they've helped protect more than 6 million square kilometers (2.3 million square miles) of land and sea across more than 70 countries. Additionally, Conservation International has a USD 25M conservation focused venture fund called CI Ventures. They partner with Althelia/Mirova and have a strong interest in blue economy investments. CI also plays a leading role in the Blue Nature Alliance.

The **Mesoamerican Reef Fund** (MAR Fund) was established in 2004 as a private Conservation Trust Fund (CTF) to drive regional funding and partnerships for the conservation, restoration, and sustainable use of the Mesoamerican Reef. Its programmes include: Saving our Sanctuaries – supporting the establishment and protection of an interconnected network of priority coastal and marine protected areas in the region; Fishing for the Future - community participation in co-management of their fisheries; Climate Change - Monitoring climate change effects on the reef and supporting adaptation to climate change. They have also recently developed the Mesoamerican Reef Technical Assistance Facility (MARTAF), to provide financial and logistic support for development of conservation-oriented businesses in the region. Examples of initiatives have included a conservation focused hotel and a wastewater treatment plant.

The Nature Conservancy (TNC) currently operates across more than 100 marine conservation projects. Several of the innovative financing mechanisms being developed by TNC have direct impacts on coral reefs and include an ambitious, global programme to develop Blue Bonds through Debt Conversions, reef insurance mechanisms and the development of novel Blue Carbon Resilient Credits.

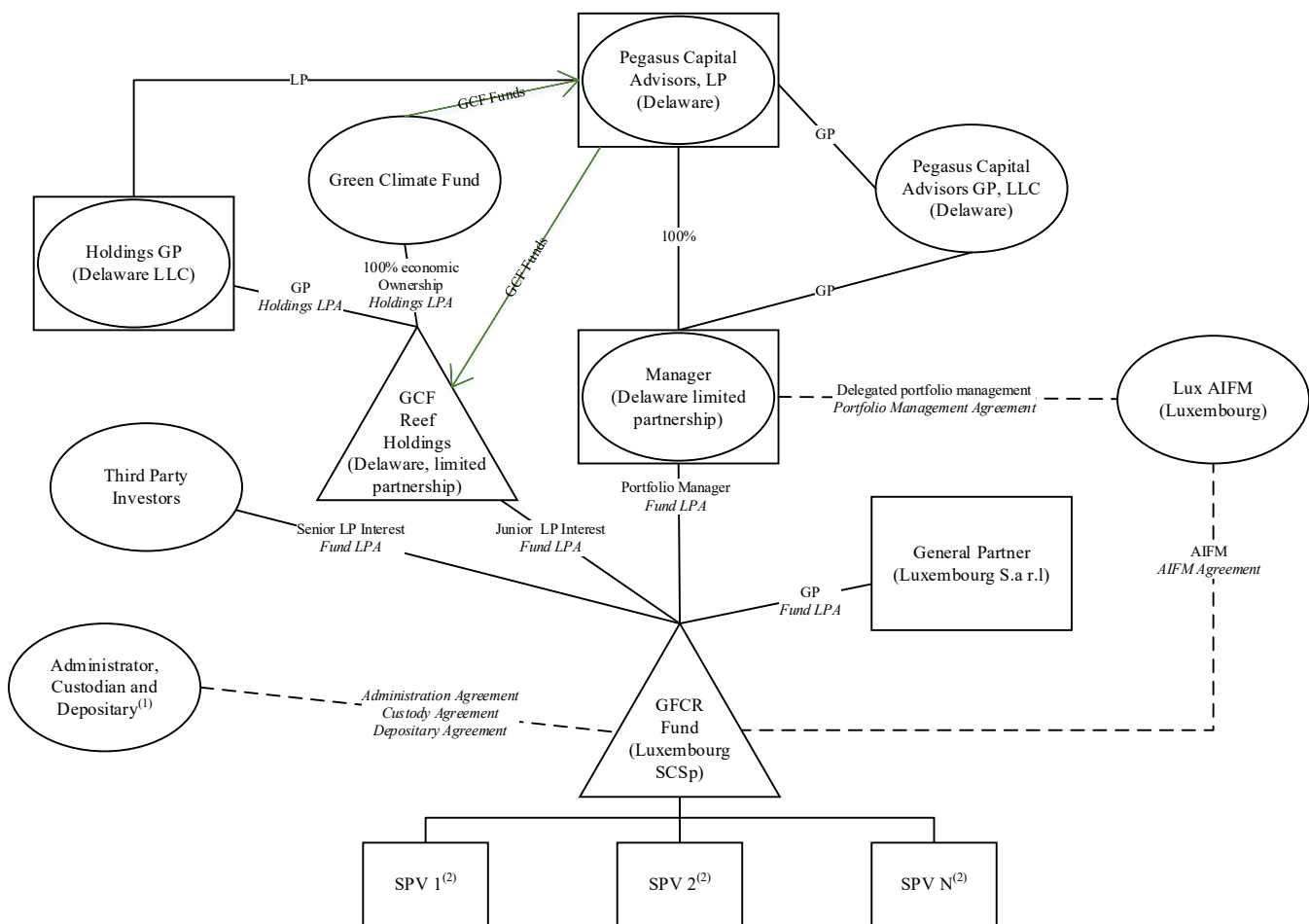
The **Wildlife Conservation Society** (WCS) has an active global conservation programme operating in some of the most intact and resilient places on the planet. WCS has programmes in some of the most important GFCR focal areas including East Africa, the Coral Triangle, and more. The organization has supported business-based approaches to conservation in multiple landscapes.

The **WWF** is a world-leading conservation organisation. There are synergies between WWF and GFCR in likely cooperating countries, and potential for collaboration to accelerate project pipeline development and the financing for sustainable coastal resources management and blue economies for coral safe businesses. Under a project called the Coral Reef Resilience Initiative, WWF is seeking GCF grant funding to provide the necessary institutional enabling conditions and technical assistance to develop pipeline projects and support reef-dependent communities.

Legal Structure of the GFCR Fund

Figure 11: Structure Chart of the GFCR Fund

GFCR Fund – Structure Chart



(1) Shown as a single entity for simplicity, but may be more than one service provider.

(2) The structure of each underlying investment will be determined on a case-by-case basis in consultation with legal and tax advisors.

Pegasus anticipates the GFCR Fund will be a newly formed Luxembourg SCSp, and its general partner will be a newly formed company wholly controlled by employees of the Accredited Entity, and which Pegasus expects to form as a Luxembourg S.a. r.l.

The GFCR Fund will engage a third party licensed alternative investment fund manager (the “**Lux AIFM**”) within the meaning of the Luxembourg law of 12 July 2013 on alternative investment fund managers (as amended, the “**AIFM Law**”). The Lux AIFM will delegate investment decision-making authority to a newly formed entity wholly controlled by employees of the Accredited Entity (the “**Manager**”).

GCF’s participation in the GFCR Fund will be in the form of a junior limited partnership interest (the “**Junior Interest**”); provided that, if after the final closing of the GFCR Fund, GCF Reef Holdings represents more than 25% of the total commitments to the GFCR Fund, the portion of GCF Reef Holdings’ commitment in excess of 25% will automatically be converted into senior limited partnership interests (the “**Senior Interests**”). It is expected that GCF (via GCF Reef Holdings (described below)) will be the sole investor in the Junior Interests. See Annex 1 to this Term Sheet for more details on the Junior Interests.

The GCF proceeds will be channelled to the GFCR Fund through the Accredited Entity on behalf of the GCF. Specifically, the Accredited Entity proposes to establish a holding company with the sole purpose of holding the GCF’s Junior Interest (“**GCF Reef**”).

Holdings”). The Accredited Entity expects to form GCF Reef Holdings as a Delaware limited partnership, with the Accredited Entity or a controlled affiliate of the Accredited Entity serving as general partner of GCF Reef Holdings (**“Holdings GP”**).

Third-party investors will acquire Senior Interests in the GFCR Fund pro rata in accordance with the size of their respective capital commitment to the GFCR Fund. The General Partner or its affiliates will also make a commitment to the GFCR Fund in the form of Senior Interests.

Implementation Agreements

The Accredited Entity has proposed that GCF Reef Holdings, acting for the benefit of GCF, will subscribe for the Junior Interests pursuant to the terms of a Subscription Agreement to be entered into between the GFCR Fund and GCF Reef Holdings (the **“Fund Subscription Agreement”**). The Fund Subscription Agreement will set forth the capital commitment of GCF Reef Holdings to the GFCR Fund, which will be \$125 million, and further specify that (i) GCF Reef Holdings will unconditionally commit \$25 million at the initial closing, which amount will be increased to \$50 million if the GFCR Fund procures at least \$10 million of additional co-investment at the first closing and (ii) the remainder of the commitment will become unconditional at subsequent closings in an amount such that, after giving effect to such closing, GCF Reef Holdings represents no more than 25% of aggregate commitments to the GFCR Fund.

GCF Reef Holdings will also be a party, together with the General Partner (on its own behalf) and each additional limited partner in the GFCR Fund, to the Limited Partnership Agreement (the **“LPA”**) of the GFCR Fund, which will set forth the rights and obligations of GCF Reef Holdings as a limited partner.

GCF Reef Holdings and the General Partner signing on behalf of the GFCR Fund, will also enter into a Side Letter to grant GCF Reef Holdings certain additional rights that are specific to the GCF. To the extent necessary, these rights may also be reflected in the partnership agreement for GCF Reef Holdings.

The Subscription Agreement, the LPA and the Side Letter will be executed on GCF’s behalf by a representative of the Accredited Entity in such individual’s capacity as an authorized signatory of GCF Reef Holdings. It is expected that the Subscription Agreement, the LPA and the Side Letter will be governed by Luxembourg law and any disputes in relation thereto will be resolved through arbitration by ICC Arbitration rules to be held in London, United Kingdom, although the final structure will be determined in consultation with outside counsel.

The Accredited Entity has proposed that GCF will subscribe for a limited partnership interest in GCF Reef Holdings pursuant to the terms of a Subscription Agreement to be entered into between GCF and GCF Reef Holdings (the **“Holdings Subscription Agreement”**). GCF will also be a party, together with the Holdings GP, to the Limited Partnership Agreement of GCF Reef Holdings (the **“Holdings LPA”**). It is anticipated that the only partners in GCF Reef Holdings will be the GCF (as sole limited partner and sole economic owner) and the Holdings GP, as the general partner.

The Holdings Subscription Agreement and Holdings LPA will be executed on GCF’s behalf by a representative of the Accredited Entity pursuant to a power of attorney granted by the GCF to the Accredited Entity, which will be included as part of the FAA.

The General Partner on behalf of the GFCR Fund will appoint the Lux AIFM to act as alternative investment fund manager within the meaning of the AIFM Law for the GFCR Fund and enter into an agreement for the purpose thereof which will set out the duties and obligations of the Lux AIFM in relation to the management of the GFCR Fund (the **“AIFM Agreement”**). The AIFM Agreement will be governed by Luxembourg law and any disputes in relation thereto will be subject to Luxembourg courts.

The Manager and the Lux AIFM, in the presence of the General Partner will enter into a portfolio management agreement which will govern the relationship between the Lux AIFM and the Manager in relation to the investment management of the GFCR Fund (the **“Portfolio Management Agreement”**). It is expected that the Portfolio Management Agreement will be governed by Luxembourg law and any disputes in relation thereto will be subject to resolution in Luxembourg courts. The governing law and dispute resolution will be determined with the advice of outside counsel.

Neither the AIFM Agreement nor the Portfolio Management Agreement will be a Subsidiary Agreement. Instead, the Accredited Entity will enter into a Side Letter with the Lux AIFM (the “**AIFM Letter**”) whereby the AIFM acknowledges that Pegasus (as Accredited Entity) has contractually agreed to ensure the AIFM’s compliance with certain terms of the FAA, (ii) confirms that it has been made aware of and has considered such terms and (iii) shall use reasonable best efforts to comply with the applicable obligations contemplated thereby.

The Accredited Entity and the Manager will enter into a Management and Fee Sharing Agreement (the “**Management and Fee Sharing Agreement**”) pursuant to which the Accredited Entity will provide investment advisory services to the Manager in exchange for the management fees received by the Manager.

The Accredited Entity will also enter into a separate agreement (the “**Pegasus Implementation Agreement**”) with (i) the GFCR Fund, represented by the GP, (ii) the GP acting on its own behalf, (iii) the Manager, (iv) GCF Reef Holdings, represented by Holdings GP, (v) Holdings GP acting on its own behalf and (vi) each other Executing Entity (if any) with respect to implementation of the Funded Activity in order to pass down the relevant obligations under the AMA and the FAA to such entities.

The Pegasus Implementation Agreement, the Management and Fee Sharing Agreement and the AIFM Letter are intended to be a “Subsidiary Agreement” under the FAA.

Responsibilities of Executing Entities

The Activities and Sub-Activities of the GFCR will be implemented by the Executing Entities as follows:

Activity	Sub-Activity	Responsible Executing Entity(ies)
1. E1: Form the GFCR; set up the General Partner and the contracts with licensed AIFM.	1. E1.1: Procure legal services to prepare underlying documentation	Accredited Entity
	2. E1.2: Implement the structure the GFCR Fund and related entities	Accredited Entity
	3. E1.3: Draft formation documents and related agreements for GFCR entities	Accredited Entity
	4. E1.4: Consummate Initial Closing of the GFCR Fund with GCF (via GCF Reef Holdings) as anchor investor	General Partner; GCF Reef Holdings; Accredited Entity
2. E2: Fundraise \$375mm of private investment into Senior Interests	1. E2.1: Prepare fundraising material; evaluate GFCR Fund suitability	Accredited Entity
	E2.2: Draft Private Placement Memorandum and Other Marketing Materials. Market Fund to other investors.	Accredited Entity; General Partner
	2. E2.3: Negotiate with potential investors and close on additional commitments to the GFCR Fund	Accredited Entity; General Partner
3. E3: Manage the Pipeline and Identify a	1. E3.1: Early stage sourcing	Accredited Entity; Manager

Portfolio of Bankable Projects	2. E3.2: Develop the pipeline	Accredited Entity; Manager
4. E4: Manage investment activities; perform Due Diligence; prepare investment documentation for the Investment Committee and AIFM	1. E4.1: Perform Due Diligence on proposed deals	Accredited Entity; Manager
	2. E4.2: Prepare documentation for Investment Committee	Accredited Entity; Manager
	3. E4.3: Consummate transactions approved by the Investment Committee	Accredited Entity; Manager
5. E5: Manage the portfolio, assist portfolio companies in achieving climate mitigation and adaptation, business, as well as SDG and NbS objectives	1. E5.1: Provide ad-hoc support to Portfolio Companies	Accredited Entity; Manager
	2. E5.2: Perform regular evaluation of Portfolio Companies	Accredited Entity; Manager
6. E6: Report to the Limited Partners	1. E6.1: Collect information of investees, implement verification mechanisms, implement data collection tools	Accredited Entity; Manager
	2. E6.2: Organize annual audit of the GFCR Fund	Accredited Entity; Manager; General Partner
	3. E6.3: Report to LPs on financial results, impacts and beneficiaries	Accredited Entity; General Partner
7. E7: Exit Assets, return capital plus profit to limited partners, close out the Fund.	1. E7.1: Evaluate exit opportunities	Accredited Entity; Manager
	2. E7.2: Negotiate sales transactions	Accredited Entity; Manager
	3. E7.3: Execute Exit and Distribute Proceeds	Manager; General Partner
	4. E7.4: Liquidate the GFCR Fund after all Portfolio Companies have been fully disposed.	General Partner

Co-financing

In addition to the GCF Proceeds, the Accredited Entity expects to raise the remaining \$375 million of co-financing from various third-party investors (each, a “**Co-financier**” and the amounts raised, the “**Co-financing**”).

The Accredited Entity will lead the fundraising efforts for the GFCR Fund. Although the Accredited Entity expects to do some light pre-marketing in advance, it is anticipated that the Accredited Entity would not commence fundraising efforts in earnest until

after the Funding Proposal receives GCF Board approval. Accordingly, it is expected that the initial closing of the GFCR Fund will occur with the GCF commitment only. The Accredited Entity anticipates that there would be a series of additional closings with third-party investors after the GFCR's initial closing that would take place up to fifteen months after closing on the GCF's anchor commitment, subject to an extension for up to an additional six months.

The Accredited Entity intends to focus on four broad groups that it believes are aligned with the GFCR Funds' goals:

1. U.S. foundations and endowments;
2. European institutional investors;
3. High-net worth individuals from developed and developing countries; and
4. Public and Private Finance institutions and DFIs

B.5. Justification for GCF funding request (max. 1000 words, approximately 2 pages)

Explain why the project/programme requires GCF funding, i.e. Why is the project/programme not currently being financed by public and/or private sector? Which market failure is being addressed with GCF funding? Are there any other domestic or international sources of financing?

Explain why the proposed financial instruments were selected in light of the proposed activities and the overall financing package. i.e. What is the coherence between activities financed by grants and those financed by reimbursable funds? How were co-financing amounts and prices determined? How does the concessionality of the GCF financing compare to that of the co-financing? If applicable, provide a short market read on the prevailing of the pricing and/or financial markets for similar projects/programmes.

Justify why the level of concessionality of the GCF financial instrument(s) is the minimum required to make the investment viable. Additionally, how does the financial structure and the proposed pricing fit with the concept of minimum concessionality? Who benefits from concessionality?

In your answer, please consider the risk sharing structure between the public and private sectors, the barriers to investment and the indebtedness of the recipient. Please reference relevant annexes, such as the feasibility study, economic analysis or financial analysis when appropriate.

Investor demand for sustainable investments is on the rise, as shown by the growing supply of thematic financial products and increasing investor (and asset manager) focus on ESG- and impact-related investments. A study from Credit Suisse and Responsible Investor shows that over a third of large institutional investors see Blue Economy as one of the most important sustainable investment topics in 2020, yet it remains one of the least invested themes across impact investors (even decreasing by 11% over the period 2013-17)⁵⁵ due to the lack of investable solutions.

The co-financing provided by the GCF will enable the GFCR Investment Window to create a catalytic instrument that provides the opportunity to move away from the "business as usual" scenario that has hindered access to finance for coral reef rescue.

GCF financing tackles 4 main constraints that public and private investors alone cannot tackle:

- i. **Scale:** the GCF can provide critical catalytic capital to de-risk the fund structure and mobilise additional capital to bring the GFCR to a significant size that will enable it to (i) target several priority reefs at once and (ii) deliver substantial impact in terms of adaptation and systemic change by adopting a systems approach and investing in several critical sectors. This scale will enable the participation of private investors by aggregating projects, providing monitoring and reporting and overall lowering transaction costs for individual investors who want to participate in the blue economy;

⁵⁵ Sustainable Ocean For All, OECD, 2020

- ii. **Signalling:** the support of the GCF will demonstrate the commitment to grow a pipeline of investable opportunities in the coral reef space, attracting more private investors to the GFCR;
- iii. **Scope:** a significant portion of de-risking capital in the GFCR structure will enable it to focus on more early-stage assets with nascent business models – preliminary pipeline scoping indicates this is the case for most impactful projects;
- iv. **Scarcity:** there are still limited public and development resources directed at adaptation and resilience. Supporting the first adaptation fund for coral reefs of this size will serve to increase financial flows for these important climate goals.

Several structures across the blended finance universe were analysed and consultations with potential investors carried out to determine the target 25 percent contribution (see Annex 7 on stakeholder engagement and Annex 22 on blended finance structures with subordinate tranches of up to 45%).

B.6. Exit strategy and sustainability (max. 500 words, approximately 1 page)

Explain how the project/programme sustainability (financial, institutional, social, gender equality, environmental) will be ensured in the long run after project closure, including how the project's results and benefits will be sustained.

Include information pertaining to the longer-term ownership, project/programme exit strategy, operations and maintenance of investments (e.g. key infrastructure, assets, contractual arrangements). In case of private sector, please describe the GCF's financial exit strategy through IPOs, trade sales, etc.

Provide information on additional actions to be undertaken by public and private sector or civil society as a consequence of the project/programme implementation for scaling up and continuing best practices.

The Investment Window will seek to enhance the environmental, social and economic resilience of coral-dependent communities. This will mean it will invest in bankable businesses and projects that restore or indirectly halt the degradation of corals by reducing or eliminating local stressors. These business and projects are expected to live beyond the lifetime of the GFCR Fund. As described elsewhere in this Funding Proposal, it is expected that the GFCR Fund's underlying investments will ultimately be sold to third-parties for cash proceeds, which are then distributed by the GFCR Fund to its limited partners. The GFCR Fund will be liquidated (and the programme will be completed) once the final investment is disposed of, and all remaining proceeds are distributed to the limited partners and any remaining liabilities are finally resolved.

C. FINANCING INFORMATION						
C.1. Total financing						
(a) Requested GCF funding (i + ii + iii + iv + v + vi + vii)		Total amount		Currency		
		125		million USD (\$)		
GCF financial instrument		Amount	Tenor	Grace period	Pricing	
(i)	Senior loans	Enter amount	Enter years	Enter years	Enter %	
(ii)	Subordinated loans	Enter amount	Enter years	Enter years	Enter %	
(iii)	Equity	125	15		As set forth in the Term Sheet	
(iv)	Guarantees	Enter amount	Enter years			
(v)	Reimbursable grants	Enter amount				
(vi)	Grants	Enter amount				
(vii)	Results-based payments	Enter amount				
(b) Co-financing information		Total amount		Currency		
		375		million USD (\$)		
Name of institution		Financial instrument	Amount	Currency	Tenor & grace	Pricing
Senior Investors		Equity	375	million USD (\$)	Enter 15 years	6-8%
GP Commitment		Equity	1% of total commitments	million USD (\$)	15 years	6-8%
Click here to enter text.		Options	Enter amount	Options	Enter years	Enter%
Click here to enter text.		Options	Enter amount	Options	Enter years	Enter%
(c) Total financing		Amount		Currency		
(c) = (a)+(b)		500		million USD (\$)		
(d) Other financing arrangements and contributions (max. 250 words, approximately 0.5 page)		Please explain if any of the financing parties including the AE would benefit from any type of guarantee (e.g. sovereign guarantee, MIGA guarantee). Please also explain other contributions such as in-kind contributions including tax exemptions and contributions of assets. Please also include parallel financing associated with this project or programme. An affiliate of the Accredited Entity will make a capital commitment to the GFCR Fund in an amount equal to 1% of total commitments, which will be funded pro rata as and when the General Partner calls capital from the limited partners in the GFCR Fund. The Accredited Entity will lead the fundraising efforts for the GFCR Fund. Although the Accredited Entity expects to do some light pre-marketing in advance, it is anticipated that the Accredited Entity would not commence fundraising efforts in earnest until after the GFCR Funding Proposal receives GCF Board approval. Accordingly, it is expected that the initial closing of the GFCR Fund will occur with the GCF commitment only. The Accredited Entity anticipates that there would be a series of additional closings with third-party investors after the GFCR's initial closing that would take place up to fifteen months after closing on the GCF's anchor commitment.				

	The Accredited Entity intends to focus on four broad groups that it believes are aligned with the GFCR Funds' goals: 1. U.S. foundations and endowments; 2. European institutional investors; 3. High-net worth individuals from developed and developing countries; and 4. Public and Private Finance institutions and DFIs
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C.2. Financing by component

Please provide an estimate of the total cost per component and output as outlined in section B.3. above and disaggregate by source of financing. More than one co-financing institution can fund a single component or output. Provide the summarised cost estimates in the table below and the detailed budget plan as annex 4.

Component	Output	Indicative cost million USD (\$)	GCF financing		Co-financing		
			Amount million USD (\$)	Financial Instrument	Amount million USD (\$)	Financial Instrument	Name of Institutions
Investment into the GFCR	Investments to enhance resiliency of coral reefs and populations that depend on them	\$500	\$125	Equity	\$375 + 1% of total commitments	Equity	Private Investors + GP commitment (1%) Click here to enter text.
	Click here to enter text.	Enter amount	Enter amount	Choose an item.	Enter amount	Choose an item.	Click here to enter text.
Indicative total cost (USD)		\$500 + 1% GP commitment	\$125M		\$375M + 1% GP commitment		

Given that the GFCR Fund is an investment fund rather than a project it is not possible to specify the funding by Component.

This table should match the one presented in the term sheet and be consistent with information presented in other annexes including the detailed budget plan and implementation timetable.

In case of a multi-country/region programme, specify indicative requested GCF funding amount for each country in annex 17, if available.

C.3 Capacity building and technology development/transfer (max. 250 words, approximately 0.5 page)

C.3.1 Does GCF funding finance capacity building activities?	Yes ☐ No ☒
C.3.2. Does GCF funding finance technology development/transfer?	Yes ☒ No ☐

If the project/programme is expected to support capacity building and technology development/transfer, please provide a brief description of these activities and quantify the total requested GCF funding amount for these activities, to the extent possible.

In some cases, the GFCR Fund will invest in companies that operate and have developed technologies in developed countries, and the GFCR Fund's investment proceeds will be used to deploy such technologies in the target countries. Investments will ensure technologies are deployed in target countries and implemented by local communities.

D. EXPECTED PERFORMANCE AGAINST INVESTMENT CRITERIA

This section refers to the performance of the project/programme against the investment criteria as set out in the GCF's [Initial Investment Framework](#).

D.1. Impact potential (max. 500 words, approximately 1 page)

Describe the potential of the project/programme to contribute to the achievement of the GFCR Fund's objectives and result areas. As applicable, describe the envisaged project/programme impact for mitigation and/or adaptation. Provide the impact for mitigation by elaborating on how the project/programme contributes to low-emission sustainable development pathways. Provide the impact for adaptation by elaborating on how the project/programme contributes to increased climate-resilient sustainable development. Calculations should be provided as an annex. This should be consistent with section E.2 reporting GCF's core indicators.

- **Beneficiaries:** the GFCR Investment Window is expected to directly benefit those individuals engaged in reef-first businesses and livelihoods, and indirectly benefit the coastal communities that depend on the targeted reef. The number of expected direct beneficiaries are 12,737 –people who will have new jobs created by projects supported GFCR.
- **Increased resilience of the coral reef biome:** The GFCR Investment Window will seek to invest in the world's most resilient reefs because this gives reefs, globally the best chance of survival. Healthy reefs will, in turn increase the health and resilience of related ecosystem services (such as fish stocks and disaster-risk reduction/ buffers to coastal erosion).
- **Resilient and ecologically-sustainable livelihoods:** healthy reefs and coastal ecosystems are the bedrock for sustainable livelihoods for reef-dependent communities. The GFCR Investment Window is expected to have significant co-benefits in the following economic activities: eco-tourism, sustainable fishing and aquaculture, small- scale agriculture, income generation from reef restoration, and waste management.
- **Financial returns for the private sector and economic engines in target countries:** The GFCR Investment Window will invest in businesses which will prioritize the conservation and regeneration of coral reefs, which is estimated to have significant economic returns generated by three sectors, mainly: tourism, coastal development and commercial fisheries. A quantitative analysis by ICRI and UNEP found that healthy reefs can deliver additional economic benefits amounting to over \$30 billion in the Mesoamerican Reef and in the Coral Triangle, between 2017 and 2030.⁵⁶

D.2. Paradigm shift potential (max. 500 words, approximately 1 page)

Describe the degree to which the proposed activity can catalyze impact beyond a one-off project or programme investment. Describe the following, if applicable:

- *Potential for scaling up and replication*
- *Potential for knowledge sharing and learning*
- *Contribution to the creation of an enabling environment*
- *Contribution to the regulatory framework and policies*
- *Overall contribution to climate-resilient development pathways consistent with relevant national climate change adaptation strategies and plans*

This programme is the first GCF solution to unlock critical new sources of funds and increase long-term flows of innovative and blended finance to eliminate the current 'coral reef funding gap' and rescue coral reefs in the face of accelerating climate change and – in so doing – secure the basis for survival and adaptation of vulnerable reef-dependent communities. It provides a paradigm shift firstly by enabling private and public institutional investors to participate in coral reef conservation activities. Secondly, it also addresses long-term sustainability issues by creating not only environmental, but also social and economic resilience by developing sustainable local economies, creating alternative livelihoods and embedding adaptive technologies and techniques that will outlive the programme's duration. Finally, the GFCR Investment Window programme sets a blueprint for other conservation efforts by seeking to address the threat of climate change by adopting a science-based and systems approach – in this case targeting the most resilient reefs and focusing on addressing the drivers of degradation.

D.3. Sustainable development (max. 500 words, approximately 1 page)

⁵⁶ UN Environment, ISU, ICRI and Trucost. (2018). The Coral Reef Economy: The business case for investment in the protection, preservation and enhancement of coral reef health, p. 36. Available at: https://wedocs.unep.org/bitstream/handle/20.500.11822/26694/Coral_Reef_Economy.pdf?sequence=1&isAllowed=y

Describe the wider benefits and priorities of the project/programme in relation to the Sustainable Development Goals and provide an estimation of the impact potential in terms of:

- *Environmental co-benefits*
- *Social co-benefits including health impacts*
- *Economic co-benefits*
- *Gender-sensitive development impact*

Ecosystem services provided by coral reefs and associated ecosystems are especially vital for achieving nature-dependent United Nations Sustainable Development Goals (SDGs), including SDG 14 'Life Below Water'. In total, coral reef initiatives contribute directly to 13 SDGs through entry points that include coral reef tourism, food security and nutrition, shoreline protection, and human health and wellbeing. This is illustrated in Figure 8 below, which shows how coral reef-centred interventions contribute to the 2030 Agenda and multiple SDGs.

Figure 11: SDGs tackled through the GFCR



Social co-benefits:

- Local skills and knowledge – Development, implementation and running of portfolio companies will leverage existing local capabilities, including indigenous knowledge.
- Capacity building – Capacity building assistance in priority countries.
- Enhanced empowerment and stewardship for coastal communities – Local communities are supported to independently manage the sustainability coastal and ocean resources as collectives.
- Food security – Increased – or better managed - volumes of production from aquatic food industries – and a greater diversity of industries – will improve food security and resilience of the food sector to climate change.
- Improved health and reduced disease prevalence from sustainable infrastructure limiting exposure to pollution and waste and improved nutrition from enhanced food security and increased protein availability.

Environmental co-benefits:

- Coral reef ecosystem integrity and resilience – Restoration activities will directly address existing degradation and enhance the capacity of coral reef ecosystems to withstand local stressors and bleaching events, thereby limiting the extent of future degradation.
- Restored fish stocks and long-term protection of fishing industry– Reduced pressure on fisheries due to increase in mariculture and aquaculture production.
- Reduction in ocean contamination from land-based and ocean-based pollution.
- Enhanced Marine Protected Areas – Expansion and/or improved management of MPAs.

Economic co-benefits:

- Sustainable livelihoods and local economic growth – Expansion in local businesses will generate employment creation opportunities. Multiplier effects from additional spending within the local economy will drive local economic growth.
- Access to capital markets – Investment in local businesses may enhance foreign investor familiarity and comfort with operating in the region, thereby improving access to capital for adjacent businesses.

Gender-sensitive development impact:

- Empowerment from active inclusion of women in consultation processes and positions of leadership, explicit consideration of gender disaggregated-needs in project design, capacity building of women and girls to enable greater roles in environmental stewardship, and greater financial independence.
- Formal employment and improved livelihoods for women and girls, improved working conditions and greater gender parity in pay, and additional incomes that increase the diversity of household incomes, thereby reducing dependence on individual livelihood activities and enhancing financial resilience which is then less susceptible to periodic shocks.
- Improved capacity of communities to adapt to and cope with shocks to reduce safety risks to women and girls and gender violence.

D.4. Needs of recipient (max. 500 words, approximately 1 page)

Describe the scale and intensity of vulnerability of the country and beneficiary groups and elaborate how the project/programme addresses the issue (e.g. the level of exposure to climate risks for beneficiary country and groups, overall income level, etc.). Describe how the project/programme addresses the following needs:

- *Vulnerability of the country and/or specific vulnerable groups, including gender aspects (for adaptation only)*
- *Economic and social development level of the country and the affected population*
- *Absence of alternative sources of financing (e.g. fiscal or balance of payments gap that prevents government from addressing the needs of the country; and lack of depth and history in the local capital market)*
- *Need for strengthening institutions and implementation capacity*

As explained in section B1 above, scale and intensity of climatic and biodiversity vulnerabilities vary by countries and drivers of degradation. However, the impacts related to the death of corals remain the same: decrease in food supply, shoreline vulnerability and decrease in tourism inflows being the main consequences. The most vulnerable communities are therefore population living on the coast lines in proximity to reefs and more precisely fishing communities.

Many of the 32 countries under the Fund's scope are developing countries. On top of bio-climatic vulnerabilities, the national economic and social environment can further increase the vulnerabilities of coral-dependent communities related to the death of corals. Populations are more vulnerable to extreme events and to the degradation of reef and local governments don't have the means to address the needs of the country through large-scale programs. These barriers have been further assessed in Annex 24.

These vulnerabilities translate into investments in coral positive businesses and finance instruments which are not occurring at the desired levels. The Fund, thanks to its blended finance vehicle comprising GCF junior tranche, will have the capacity to invest and scale up these businesses. In return, the scale up and resilience of the investee will contribute directly and indirectly to the sustainable prosperity of local reef-dependent livelihoods.

D.5. Country ownership (max. 500 words, approximately 1 page)

Please describe how the beneficiary country takes ownership of and implements the funded project/programme. Describe the following:

- *Existing national climate strategy*
- *Existing GCF country programme*
- *Alignment with existing policies such as NDCs, NAMAs, and NAPs*
- *Capacity of Accredited Entities or Executing Entities to deliver*
- *Role of National Designated Authority*
- *Engagement with civil society organizations and other relevant stakeholders, including indigenous peoples, women and other vulnerable groups*

The project will promote open engagement with national and local government as well as select private sector entities and philanthropies to implement effective management of land/seascapes that integrate climate change adaptation, climate resilience planning and nature-based solutions to enhance the resilience of coral reef ecosystems in select SIDS and LDCs. This project will be implemented in full alignment with national development plans and global commitments including: Nationally Determined Contributions, National Adaptation Plans, post-2020 CBD Global Biodiversity Framework, the 2030 Agenda for Sustainable Development, the UN Decade of Action for SDGs, and the UN Resolution on 'Sustainable Coral Reef Management'.

Country's will be highly involved in site selection for project implementation with clear alignment on assisting vulnerable communities.

On April 28th, 2021, Pegasus sent the first batch of official NOL request letters to 12 highly impacted countries that have been identified as high priority for the Investment Window: Bahamas, Belize, Fiji, Guatemala, Honduras, Indonesia, Kenya, Maldives, Mexico, Philippines, Solomon Island and Tanzania. A brief power point presentation on the GFCR initiative was included along with the NOL request letters. On May 10, Pegasus sent formal NOL requests to the remaining target countries. Pegasus and its consortium partners have been engaged in regular dialogue with NDAs and country representatives since then and has provided them with the funding proposal. The final version of the funding proposal submitted to the GCF for publication will also be circulated to the NDAs. Lastly, the NDAs have been directed to the ESMS disclosures on Pegasus' website.

The GFCR approached the following countries for involvement in the programme:

- Africa: Comoros; Kenya; Madagascar; Mozambique; Tanzania; Seychelles
- Asia-Pacific: Cambodia; Fiji; Indonesia; Malaysia; Maldives; Philippines; Solomon Islands; Sri Lanka; Thailand, Timor Leste; Vietnam
- Latin America and the Caribbean: Bahamas; Belize; Brazil; Colombia; Costa Rica; Dominican Republic; Ecuador; Guatemala; Honduras; Jamaica; Mexico; Panama
- Middle East: Egypt; Jordan; Saudi Arabia

As of October 1, 2021, we received 17 NOLs from Brazil, Bahamas, Belize, Colombia, Comoros, Ecuador, Fiji, Guatemala, Indonesia, Jamaica, Jordan, Mexico, Mozambique, Panama, Philippines, Seychelles and Sri Lanka. Pegasus is in advanced discussions with several other countries, including (without limitation) Kenya, Malaysia, Maldives, Saudi Arabia, Tanzania and Vietnam. These countries, amongst others, all expressed significant interest in the GFCR but haven't been able to complete their internal sign-off processes due to COVID-19 and other reasons. Additional countries may be added to the programme after initial Board approval, provided they submit an NOL and the addition is approved by the Board.

In addition, following a global RFI, launched by UNDP and CFA in September 2020, several countries' governments including Philippines, Indonesia, Maldives, and Kenya have reached out to UNDP to express high level of interest and better understand the opportunities presented by the GFCR. In the case of Fiji, there is already a joint programme underway (UNDP, UNCDF, UNEP) aimed at creating an enabling financial environment and build capacity to mobilize private and public investment capital for initiatives that have a positive impact on Fijian coral reefs and the communities that rely on them. The GFCR and the Joint SDG Fund are both contributors to this joint programme. Further, the Accredited Entity has successfully gathered 42 NOLs in a separate process for the Sub-National Climate Fund GCF programme.

D.6. Efficiency and effectiveness (max. 500 words, approximately 1 page)

Describe how the financial structure is adequate and reasonable in order to achieve the proposal's objectives, including addressing existing bottlenecks and/or barriers, and providing the minimum concessionality to ensure the project is viable without crowding out private and other public investments. Refer to section B.5 on the justification of GCF funding requested as necessary.

Please describe the efficiency and effectiveness of the proposed project/programme, taking into account the total financing and mitigation/ adaptation impact the project/programme aims to achieve, and explain how this compares to an appropriate benchmark.

Please specify the expected economic rate of return based on a comparison of the scenarios with and without the project/programme.

Please specify the expected financial rate of return with and without the GFCR Fund's support to illustrate the need for GCF funding to illustrate overall cost effectiveness.

Please explain how best available technologies and practices have been considered and applied. If applicable, specify the innovations/modifications/adjustments that are made based on industry best practices.

GCF capital has an expected mobilisation ratio of 1:3 at the fund level (investment window) – aligned with other off balance sheet blended finance vehicles of a similar size and considered a “catalytic” use of funding by groups like the Blended Finance Taskforce

There is further mobilisation expected at the portfolio company level where the leverage ratio is just over 1:3 (i.e. every dollar of GFCR capital deployed will mobilise an additional \$2.4 of debt or equity). The GFCR aims to adhere to the OECD blended finance principles of additionality and minimum concessionality to ensure the viability of the Fund while mobilising private capital rather than crowding out private investments. A more detailed explanation on the expected mobilisation ratios at the portfolio level (i.e. the measure of how catalytic the GCF capital will be) is laid out below calculated by looking at the mobilisation of equity and debt for different types of investments:

a. **Equity-only leveraging effect is 1:0.3 @ 90% of the Fund**

- At portfolio company level, the GFCR will largely take control equity positions on the target investments. In many cases, however, GFCR expects to have additional equity co-investors.
- In a conservative scenario, each \$1 of equity invested in a company, is expected to generate on average \$0.33 of additional equity
- Taking control equity positions will allow to Fund to most effectively implement strategic initiatives, maintain rigorous E&S standards and support companies to become blueprints of sustainability to ensure GFCR outcomes are as the core of the investee strategy. This will help develop the market to mainstream nature as an “asset class” – with outsized (though indirect) mobilisation effects

b. **Debt-only leveraging effect is 1:1.5**

- i. Taking a conservative approach, Pegasus believes that, given its track record (see SCF approach), the average investee balance sheet could be made of 60% debt and 40% equity
- ii. The debt is expected to be provided by additional third parties like local or international banks

c. **VC leveraging effect is 1:3 @ ~10% of the Fund**

- i. It is expected that approximately 10% of the portfolio may be dedicated to VC investments and/or convertible debt / mezzanine positions. Given the nature of VC investment, the assumption is that the fund will hold on average 25% of the portfolio company, granting a control over the decisions of the investee while giving room for additional equity funding rounds
- ii. The mobilisation ratio of these types of investments is 1:3 (i.e. for every dollar in the portfolio company, an additional \$3 of equity will be invested)
- iii. Dedicating part of the fund to venture capital investments allows the Fund to participate to the effective scale up of disruptive technologies which will be sustainability game changers especially in the sustainable ocean production industries into which the Fund intends to invest

d. **Aggregating 90% equity (with a 1:0.3 mobilisation ratio); 40% debt (with a 1:1.5 mobilisation ratio) and 10% VC or other instruments (with a 1:3 mobilisation ratio) the projected leverage downstream in the portfolio companies is around 1:2.4**

b. Note that the GFCR mobilisation approach takes into account the following:

- a. The GFCR is a pioneer blended finance adaptation fund – the first of its kind with this level of ambition on investment in SDG 14 for critical reef and coastal ecosystems and the livelihoods upon which those ecosystems depend
- b. The GFCR hopes to become a blueprint for other vehicles – helping standardise this approach to reduce transaction costs

In other words, the GFCR should be seen as a flagship demonstration fund: its success intends to mainstream the optimal financial structure for a biodiversity vehicle which combines public, private and philanthropic capital

- c. Through the support of the GW (pipeline incubation, capacity building, dialogue with policy makers, technical assistance, etc.) and direct investments of the IW into promising ventures and projects, the GFCR expects to set up solid foundations to stimulate a pipeline of investible sustainable projects and de-risk the business environment for other funds to follow

- d. This is expected to also have a catalytic effect that will be more difficult to directly attribute to the Fund but is at the heart of the GFCR's theory of change: two of the GFCR outputs ("Increased innovation to support resilience of coral reefs and communities reliant on coral reefs" and "Increased market share of sustainable businesses in reef-dependent areas" – see figure 9 of section B.2) are directly related to the investment work described above.
- e. Investments by the GW and the IW will both strengthen the enabling environment for investees to raise additional capital (either debt and equity) and thus provide a leveraging effect seeking to optimize the efficiency of funds raised: each of the individual companies in which the Fund invests will have its own capital structure, with the Fund typically providing the equity portion (potentially with co-investors at the company level as well) and third-parties providing the debt.

E. LOGICAL FRAMEWORK

This section refers to the project/programme's logical framework in accordance with the GCF's [Performance Measurement Frameworks](#) under the [Results Management Framework](#) to which the project/programme contributes as a whole, including in respect of any co-financing.

E.1. Paradigm shift objectives

Please select the appropriated expected result. For cross-cutting proposals, tick both.

☐ Shift to low-emission sustainable development pathways

☒ Increased climate resilient sustainable development

E.2. Core indicator targets

Provide specific numerical values for the GCF core indicators to be achieved by the project/programme. Methodologies for the calculations should be provided. This should be consistent with the information provided in section A.

E.2.1. Expected tonnes of carbon dioxide equivalent (t CO ₂ eq) to be reduced or avoided (mitigation and cross-cutting only)	Annual	Click here to enter text. t CO ₂ eq
	Lifetime	Click here to enter text. t CO ₂ eq
E.2.2. Estimated cost per t CO ₂ eq, defined as total investment cost / expected lifetime emission reductions (mitigation and cross-cutting only)	(a) Total project financing USD 500m Choose an item. (b) Requested GCF amount USD 125m Choose an item. (c) Expected lifetime emission reductions NA t CO₂eq (d) Estimated cost per t CO₂eq (d = a / c) NA Choose an item. / t CO₂eq (e) Estimated GCF cost per t CO₂eq removed (e = b / c) NA Choose an item. / t CO₂eq	
E.2.3. Expected volume of finance to be leveraged by the proposed project/programme as a result of the GFCR Fund's financing, disaggregated by public and private sources (mitigation and cross-cutting only)	(f) Total finance leveraged 375m +1% GP commitment USD (g) Public source co-financed 125m (h) Private source finance leveraged 375m +1% GP commitment (i) Total Leverage ratio (i = f / b) 1:3 (j) Public source co-financing ratio (j = g / b) 1:1 (k) Private source leverage ratio (k = h / b) 1:3	
E.2.4. Expected total number of direct and indirect beneficiaries, (disaggregated by sex)	Direct	12737 49% of female
	Indirect	35,236,406 50% of female
<i>For a multi-country proposal, indicate the aggregate amount here and provide the data per country in annex 17.</i>		
E.2.5. Number of beneficiaries relative to total population (disaggregated by sex)	Direct	See Annex 17
	Indirect	See Annex 17
<i>For a multi-country proposal, leave blank and provide the data per country in annex 17.</i>		

E.3. Fund-level impacts

Select the appropriate impact(s) to be reported for the project/programme. Select key result areas and corresponding indicators from GCF RMF and PMFs as appropriate. Note that more than one indicator may be selected per expected impact result. The result areas indicated in this section should match those selected in section A.4 above. Add rows as needed.

Expected Results	Indicator	Means of Verification (MoV)	Baseline	Target		Assumptions
				Mid-term	Final	
A1.0 Increased resilience and enhanced livelihoods of the most vulnerable people, communities and regions	A1.2 Number of males and females benefiting from the adoption of diversified, climate resilient livelihood options (including fisheries, agriculture, tourism, etc.)	Employment data to be provided by investees. Templates and supporting material will be provided to facilitate data collection.	0	3,800 direct jobs created in sustainable businesses ⁵⁷	12,700 direct jobs are created in sustainable businesses ⁵⁸	Investees are not exclusively capital-intensive businesses
A4.0 Improved resilience of ecosystems and ecosystem services	A4.1 Coverage/scale of ecosystems protected and strengthened in response to climate variability and change	Data to be provided by investees. Templates and supporting material will be provided to facilitate data collection. 3rd party assessment when deemed necessary	Globally, approximately 455,000ha of coral reefs are managed so as to prevent the removal of functional animal and plant groups (Mora et al., 2006; UNEP) ⁵⁹	11,650ha will have significant increase in resilience in response to reductions in multiple stressors	29,000ha by end of Fund period will have significant increase in resilience in response to reductions in multiple stressors ⁶⁰	Supportive policy environment for enforcement. There are economically viable private sector avenues that reduce pressures on reefs
A4.0 Improved resilience of ecosystems and ecosystem services	A4.2 Value (US\$) of ecosystem services generated or protected in response to climate change	Annual Economic valuation study	Total economic value of ecosystem services implied by target area for resilient coral reefs is \$10bn ⁶¹	Identify portfolio of investments to enable maintenance of \$10bn in coral reef ecosystem services	\$10bn of coral reef ecosystem services maintained	Supportive policy environment for enforcement. There are economically viable private sector avenues that reduce pressures on reefs

E.4. Fund-level outcomes

Select the appropriate outcome(s) to be reported for the project/programme. Select key expected outcomes and corresponding indicators from GCF RMF and PMFs as appropriate. Note that more than one indicator may be selected per expected outcome. Add rows as needed.

Expected Outcomes	Indicator	Means of Verification (MoV)	Baseline	Target		Assumptions
				Mid-term	Final	

⁵⁷ Mid-term targets assume that 30% of the fund is spent by the mid-term.

⁵⁸ See Annex 23 for methodology

⁵⁹ Mora et al. 2006: 1.6% of coral reefs are managed so as to prevent the removal of functional animal and plant groups. UNEP: The world's total reef area is 284,803 km². Sources: https://www.researchgate.net/publication/6990589_Coral_Reefs_and_the_Global_Network_of_Marine_Protected_Areas and http://coral.unep.ch/Coral_Reefs.html

⁶⁰ See Annex 23 for detailed methodology

⁶¹ Target area is 29,000 ha of coral reef ecosystems protected (see A4.1). Assumed Total Economic Value is assumed to be \$352.24k/ha/year. Source: De Groot et al. 2017 <https://doi.org/10.1016/j.ecoser.2012.07.005>

A7.0 Strengthened adaptive capacity and reduced exposure to climate risks	<i>A7.1 Use by vulnerable households, communities, businesses and public-sector services of Fund-supported tools instruments, strategies and activities to respond to climate change and variability</i>	Survey of investee employees. Templates and supporting material will be provided to facilitate data collection. support from 3 rd party assessment (external consultants) where needed	To be determined during investment due diligence	Increase in proportion of household revenue of fund beneficiaries derived from sustainable activities	Majority of revenue in households of fund beneficiaries is derived from sustainable activities	Investees pay fair and living wages to employees
A8.0 Strengthened awareness of climate threats and risk-reduction processes	<i>A8.1 Number of males and females made aware of climate threats and related appropriate responses</i>	Data from investees regarding engagement with local communities and awareness-raising activities related to climate change. 3 rd party (external consultants) where needed	0	At least one awareness-related activity or campaign raising awareness of climate change and adaptation undertaken by investees	Active involvement of the investee communities in adaptation and safeguarding of the surrounding environment	Investees have the knowledge and capacity to meaningfully contribute to community-wide awareness and understandings of climate change

E.5. Project/programme performance indicators

The performance indicators for progress reporting during implementation should seek to measure pre-existing conditions, progress and results at the most relevant level for ease of GCF monitoring and AE reporting. Add rows as needed.

Expected Results	Indicator	Means of Verification (MoV)	Baseline	Target		Assumptions
				Mid-term	Final	
1. Increased production of food from sustainable fisheries, mariculture, aquaculture and in reef-connected communities.	Change in production of sustainable fishery, mariculture and aquaculture businesses	Data from investees on production capacity, employees and T sold; independent studies; support from 3 rd party assessment (external consultants) where needed	Global sustainable seafood production in 2018 was approximately 25m T ⁶² . Country or region-specific data to be determined during investment due diligence and market study where investment will be established	By mid-term, a full portfolio of private sector companies producing sustainable seafood is identified.	Increase in production capacity and production for all sustainable fisheries, mariculture and aquaculture investees	The investment climate is open in target countries Fisheries can be sufficiently incentivized to transition to sustainable measures
2. Increased protection and restoration coral reef ecosystems	Coverage of reefs ecosystems protected and strengthened in response to climate variability and change through protection, restoration, coral farming and reduction in drivers of degradation	Data to be provided by investees. Templates and supporting material will be provided to facilitate data collection. 3 rd party assessment (external consultants) where needed	Approximately 455,000ha of coral reefs are managed so as to prevent the removal of functional animal and plant groups (Mora et al., 2006; UNEP) ⁶³	Actively contribute to fund-level targets of 8,700ha through protection, restoration, coral farming and reduction in drivers of degradation	Actively contribute to fund level targets of 29,000ha through protection, restoration, coral farming and reduction in drivers of degradation	Supportive policy environment for enforcement of sustainable practices. There are clear legal and regulatory signals for the maintenance of reef integrity
3. Growth in jobs and the local economy	Number of direct jobs created in sustainable businesses	Employment data to be provided by investees. Templates and supporting material will be provided to facilitate data collection.	0	3,800 direct jobs created in sustainable businesses ⁶⁴	12,700 direct jobs are created in sustainable businesses ⁶⁵	Investees are not exclusively capital-intensive businesses
4. Improved water quality in reef ecosystems	Extent of pollution in reef areas measured on a scale of threat to the coral reef biome	Processing and treatment data to be provided by investees. Templates and supporting material will be provided to facilitate data collection. 3 rd party assessment (external consultants) where needed	To be determined during investment due diligence and market study where investment will be established	Significant improvement in pollution avoided in all reefs where infrastructure investments are made measured against cubic metres of water treated; T of plastic collected / recycled; T of agricultural nutrient runoff avoided	Pollution reduced to levels such that biome no longer threatened by local pollution	Infrastructure projects not only involve increased capacity but are accompanied by ongoing maintenance regimes
5. Increased innovation to support	Adoption of technology and innovations to	Data to be provided by investees. Templates and supporting material	Technological readiness to be determined during	Transfer of technology in the target geography	Full adoption by local stakeholders of	Transferred technologies are appropriate

⁶² Globally, 178m tonnes of seafood was produced from fisheries and aquaculture (FAO 2018). 14% of seafood production is produced sustainably (State of Sustainability Initiative, 2016). Sources: <http://www.fao.org/state-of-fisheries-aquaculture> and <https://www.iisd.org/publications/state-sustainability-initiatives-review-standards-and-blue-economy>

⁶³ Sources: https://www.researchgate.net/publication/6990589_Coral_Reefs_and_the_Global_Network_of_Marine_Protected_Areas and http://coral.unep.ch/Coral_Reefs.html

⁶⁴ Mid-term targets assume that 30% of the fund is spent by the mid-term.

⁶⁵ See Annex 23 for methodology

resilience of coral reefs and communities reliant on coral reefs	enhance resilience within coral-reef dependent communities	will be provided to facilitate data collection. 3rd party assessment (external consultants) where needed	investment due diligence	Innovations developed in local communities achieve commercial viability	technologies and innovations related to restoration and protection of coral reefs	given the needs, skills and socio-cultural contexts of the target community
6. Increased market share of sustainable businesses in reef-dependent areas	Market share by country by type of business (ocean based production, tourism)	Sales and relevant local market data to be provided by investees. Templates and supporting material will be provided to facilitate data collection. 3rd party assessment (external consultants) where needed	Global data available: Sustainable Seafood: 14% of seafood production (State of Sustainability Initiative, 2016) Ecotourism: 5-7% of travel & tourism market (EBSCO, 2009) ⁶⁶ . Biome and community-specific data to be provided during investment pre-screening	Of total food production from the ocean in the local biome, an increased proportion is from sustainable sources Of total tourism activity in the local biome (hotels, recreation), an increased proportion is undertaken through sustainable businesses	Of total food production from the ocean in the local biome, a majority is from sustainable sources Of total tourism activity in the local biome (hotels, recreation), a majority is undertaken through sustainable businesses	There are economically viable private sector avenues that reduce pressures on reefs

E.6. Activities

All project activities should be listed here with a description and sub-activities. Significant deliverables should be reflected in the implementation timetable. Add rows as needed.

Activity	Description	Sub-activities	Deliverables
E1.1: Procure legal services to prepare underlying documentation	Accredited Entity to engage fund counsel and local counsel as needed	Negotiate engagement letters	Legal engagement letters
E1.2: Implement structure for GFCR Fund and related entities	Accredited Entity and legal service providers to work with GCF to implement fund structure	Draft and revise documents; consult with external advisors	Final structure of the GFCR Fund and related entities is established
E1.3: Draft formation documents and related Agreements for GFCR entities	Self-explanatory	Draft and revise documents	Final formation documents
E1.4: Consummate Initial Closing of the GFCR Fund with GCF as anchor investor	GCF (via GCF Reef Holdings) executes and delivers a binding subscription agreement to the GFCR Fund for a \$125mm commitment, with \$25mm of the commitment being unconditional ⁶⁷	Draft and revise documents	Initial Closing of the GFCR Fund

⁶⁶ Sources: <https://www.iisd.org/publications/state-sustainability-initiatives-review-standards-and-blue-economy> and <https://ebscosustainability.files.wordpress.com/2010/07/ecotourism.pdf>

⁶⁷ GCF's unconditional commitment at the first closing will increase to \$50mm if the GFCR Fund procures at least \$10mm of additional co-investment at the first close.

E2.1: Prepare fundraising material; evaluate GFCR Fund suitability	Materials may include overview presentations, team track record, pipeline, etc.	Draft and revise materials; potential engagement of one or more placement agents	Marketing Plan and List of Priority Investors
E2.2: Draft Private Placement Memorandum and Other Marketing Materials. Market Fund to other investors.	Self-explanatory	Draft and revise material; investor due diligence	Final Marketing Materials
E2.3: Negotiate with potential investors and close on additional commitments to the GFCR Fund	Other LPs execute and deliver binding subscription agreements to the GFCR Fund	Negotiate side letters with investors	Binding LP commitments
E3.1: Early stage sourcing	Leverage networks and the Grant Window to generate deal flow		Evolving pipeline of potential transactions
E3.2: Develop the pipeline	Initial evaluation of pipeline opportunities	Evaluate against screening criteria; determine which opportunities to pursue in further detail	Identification of a smaller subset of potential transactions on which to conduct further due diligence
E4.1: Perform Due Diligence on proposed deals	More comprehensive investigation into the potential opportunity.	Evaluate all aspects of potential investment; involve third-party experts/consultants as applicable	Identify transactions for investment by the GFCR Fund
E4.2: Prepare documentation for Investment Committee	Self-explanatory	Obtain Investment Committee approval	Investment Committee Approval to make the proposed investment
E4.3: Prepare documentation for AIFM and execute deals	Self-explanatory	Obtain AIFM approval	AIFM approval
E5.1: Provide ad-hoc support to Portfolio Companies	Oversight and support via board representation and regular meetings with management	Monitor company performance	N/A
E5.2: Perform regular evaluation of Portfolio Companies	Oversight and support via board representation and regular meetings with management	Monitor company performance	N/A
E6.1: Collect information of investees, implement verification mechanisms, implement data collection tools	Self-explanatory	Monitor company performance	N/A
E6.2: Organize annual audit of the GFCR Fund	Self-explanatory	Identify independent auditor; provide support as necessary	Annual audit report
E6.3: Report to LPs on financial results, impacts and beneficiaries	Self-explanatory	Prepare investment updates	Financial reports and qualitative updates
E7.1: Evaluate exit opportunities	Identify potential acquirors	Engage investment banking services on an as-needed basis	

E7.2: Negotiate sales transactions	Negotiate and execute purchase and sale agreement and other related documents	Engage investment banking and legal services on an as-needed basis	Negotiated exit transactions
E7.3: Execute Exit and Distribute Proceeds	N/A	Satisfy closing conditions	Consummated exit transactions and distribution of proceeds
E7.4: Liquidate the GFCR Fund after all Portfolio Companies have been fully disposed.	With assistance of legal counsel as necessary	Make liquidating distribution.	Dissolution of the GFCR Fund

E.7. Monitoring, reporting and evaluation arrangements (max. 500 words, approximately 1 page)

Besides the arrangements (e.g. annual performance reports) laid out in AMA, please give a summary of the project/programme specific arrangements for monitoring and evaluation. Please provide the types of interim and final evaluations. Describe Accredited Entity (AE) project reporting relationships, including to the NDA/Focal Point and between AE and Executing Entity (EE) as relevant, identifying reporting obligations from the EE to the AE. This should relate to the frequency of reporting on project indicators, implementation challenges and financial status.

Non-financial outputs of the fund are continuously monitored. The process is supervised by the ESMS Manager and includes the following activities:

- Data collection and performance measurement:
 - By working closely with each investee, the data required to aggregate the non-financial fund metrics are obtained directly from the investees. This will include data to support the development of country or region-specific baselines aggregated investee business plans pertaining to market share, sales, and economic activity in the sector/country. Additional data will be periodically and systematically aggregated during implementation relating to production, sales volumes and value, human resources, infrastructure capacity and volumes of waste treated, among others.
 - Templates and supporting material help facilitate the data collection. An example of this material can be found in Annex 11B – Template for Regular Investee Monitoring.
 - When appropriate and deemed necessary, external consultants may support the data collection and measurement process.
- Performance assessment and corrective actions: Based on the predefined output and outcome targets and metrics, corrective actions may be defined by engaging with the investee.
- Reporting: Output and outcome indicators are published annually. The report is made publicly available.

The performance monitoring system will be gradually developed keeping in mind the activities under each strategic pillar. During the initial years of implementation period, the focus will be on implementation of the monitoring plan to track progress towards outputs and outcomes, and evaluate the causal relationships among these levels to understand overall effectiveness of monitoring system. Periodic site visits by the Global GFCR team will further help assess intended outputs and outcomes in the real economy.

Regarding the financial reporting, typically Pegasus provides financial information to its fund limited partners on a quarterly basis along with a quarterly report that summarizes material developments at each portfolio company owned by the fund. Pegasus has established valuation processes and procedures in accordance with US GAAP and fair values for the underlying portfolio investments are done in accordance with Accounting Standards Codification (ACS) 820-10 on a semi-annual basis at June 30th and December 31st. Pegasus expects to engage a third-party valuation firm (which may also be the AIFM) to conduct the year-end valuation.

F. RISK ASSESSMENT AND MANAGEMENT

F.1. Risk factors and mitigations measures (max. 3 pages)

Please describe financial, technical, operational, macroeconomic/political, money laundering/terrorist financing (ML/TF), sanctions, prohibited practices, and other risks that might prevent the project/programme objectives from being achieved. Also describe the proposed risk mitigation measures. Insert additional rows if necessary.

For probability: High has significant probability, Medium has moderate probability, Low has negligible probability

For impact: High has significant impact, Medium has moderate impact, Low has negligible impact

Prohibited practices include abuse, conflict of interest, corruption, retaliation against whistleblowers or witnesses, as well as fraudulent, coercive, collusive, and obstructive practices

Selected Risk Factor 1 Investee companies may fail to deliver on projected financial or impact results

Category	Probability	Impact
Technical and operational	Medium	Medium

Description

Please describe the risk to the best of your knowledge at this point in time.

Pegasus seeks to conduct comprehensive due diligence on each potential investment, including the selection of local partners and others involved in the day-to-day management of the investee company. Nevertheless, there are any number of reasons (some within Pegasus' or management's control and some not) why an investment may not perform as expected.

Mitigation Measure(s)

Please describe how the identified risk will be mitigated or managed. Do the mitigation measures lower the probability of risk occurring? If so, to what level?

Issues identified during due diligence may prompt Pegasus to alter transaction terms or impose conditions on the investment. Pegasus has also historically sought to stage its investments in many of its companies, which typically allows it to commit less capital to an investment upfront when the risk is potentially the greatest. Pegasus also remains closely involved with its investee companies, often by majority control of the board of directors and/or regular formal and informal communication with management. Accordingly, when issues do arise at an investee company, Pegasus is apprised in real-time and often directly assists with identification and remediation of issues, including (in some instances) by dispatching Pegasus employees and/or operating/strategic advisors to the investee company.

Selected Risk Factor 2 Private investors may not consider the GFCR Fund as sufficiently attractive for investment

Category	Probability	Impact
Technical and operational	Low	Medium

Description

Please describe the risk to the best of your knowledge at this point in time.

Pegasus believes, adaptation impact funds are less well understood by investors. There could be a perception that a fund focused on coral reefs is more philanthropic than commercial.

Mitigation Measure(s)

Please describe how the identified risk will be mitigated or managed. Do the mitigation measures lower the probability of risk occurring? If so, to what level?

GCF's concessional commitment provides significant downside protection for private investors. Pegasus has had early stage conversations with certain investors to test the GFCR concept at a high level, and early indications are promising. Pegasus is exploring other investment support mechanisms (e.g., third-party guarantees) to bolster the credit profile of the GFCR Fund.

Selected Risk Factor 3 ML/TF and Other Prohibited Practices		
Category	Probability	Impact
ML/FT	Low	Medium
Description		
<i>Please describe the risk to the best of your knowledge at this point in time.</i> Potential investees could engage in activities that violate GCF's Policy on Prohibited Practices.		
Mitigation Measure(s)		
<i>Please describe how the identified risk will be mitigated or managed. Do the mitigation measures lower the probability of risk occurring? If so, to what level?</i> Pre-investment due diligence will include, among other things, extensive due diligence on operational matters of investee companies and the identity/background of key personnel (i.e., KYC). This due diligence will be supplemented by KYC requirements imposed on the Fund's Depositary under Luxembourg law.		

G. GCF POLICIES AND STANDARDS

G.1. Environmental and social risk assessment (max. 750 words, approximately 1.5 pages)

Provide the environmental and social risk category assigned to the proposal as a result of screening and the rationale for assigning such category. Present also the environmental and social assessment and management instruments developed for the proposal (for example, ESIA, ESMP, ESMF, ESMS, environmental and social audits, etc.). Provide a summary of the main outcomes of these instruments. Present the key environmental and social risks and impacts and the measures on how the project/programme will avoid, minimize and mitigate negative impacts at each stage (e.g. preparation, implementation and operation), in accordance with GCF's ESS standards. If the proposed project or programme involves investments through financial intermediations, describe the due diligence and management plans by the Executing Entities (EEs) and the oversight and supervision arrangements. Describe the capacity of the EEs to implement the ESMP and ESMF and arrangements for compliance monitoring, supervision and reporting. Include a description of the project/programme-level grievance redress mechanism, a summary of the extent of multi-stakeholder consultations undertaken for the project/programme, the plan of the Accredited Entity (AE) and EEs to continue to engage the stakeholders throughout project implementation, and the manner and timing of disclosure of the applicable safeguards reports following the requirements of the GCF [Information Disclosure Policy](#) and [Environmental and Social Policy](#).

Describe any potential impacts on indigenous peoples and the measures to address these impacts including the development of an Indigenous Peoples Plan and the process for meaningful consultation leading to free, prior and informed consent, pursuant to the GCF [Indigenous Peoples Policy](#).

Attach the appropriate assessment and management instruments or other applicable studies, depending on the environmental and social risk category as annex 6.

As part of its commitment to sound E&S risk management, responsible operations and sustainable development, the GFCR Fund will operate an Environmental and Social Management System (ESMS) in conformity with the requirements and standards of Development Finance Institutions (DFIs) and in particular those of the Green Climate Fund and IFC Performance Standards. The GFCR Fund will aim to be certified compatible with the SDGs and reporting performance against project-specific impact criteria. The GFCR Fund will thus contribute to several Sustainable Development Goals ("SDGs"), in particular [SDG 14 'Life Below Water', SDG 13, (Climate Action), SDG 6 (clean water and sanitation), SDG 8 (job creation), SDG 11 (sustainable communities) and SDG 3 (good health and well-being)].⁶⁸

The GFCR Fund is committed to maintaining, implementing, and continuously improving its ESMS to ensure implementation of this policy throughout the value chain (project identification, development, investment, monitoring and reporting). The ESMS includes an E&S categorization system that is consistent with the equivalent practices of the GCG, the International Finance Corporation (IFC), the European Investment Bank (EIB) and other Development Finance Institutions (DFIs).

The framework of the ESMS includes the following elements:

- E&S Policy
- Procedures, which are fully integrated with the fund's overall investment cycle
 - Transaction screening (incl. exclusion list)
 - Risk categorization
 - E&S due diligence
- Tools
- Guidance materials and reporting protocols

The full set of procedures that will be followed includes a process for screening of potential investments against the Exclusion List prior to a Go/No Go decision, to ensure that no investment is made in projects or companies that are operating with excluded activities. The screening process permits the provisional categorization of proposed projects into higher, medium and lower risk (Category A, B or C respectively) projects and that then determines the level of E&S due diligence required and the actions to be taken to minimize potential impacts.

⁶⁸ To be confirmed.

The risk categories are aligned with the IFC risk categorization⁶⁹:

- **Category A:** Business activities with potential significant adverse environmental or social risks and/or impacts that are diverse, irreversible, or unprecedented.
- **Category B:** Business activities with potential limited adverse environmental or social risks and/or impacts that are few in number, generally site-specific, largely reversible, and readily addressed through mitigation measures.
- **Category C:** Business activities with minimal or no adverse environmental or social risks and/or impacts.

Due to the strict environmental and social safeguards, GFCR will not invest in Category A projects. Category projects are excluded from the Fund because projects shall not, under any circumstances, result in significant adverse impacts that are multiple, irreversible, or unprecedented.

All projects financed by the GFCR shall comply with host country regulatory requirements, the relevant IFC Performance Standards and good industry practice, respectively the EHS Guidelines of the World Bank Group.

G.2. Gender assessment and action plan (max. 500 words, approximately 1 page)

Provide a summary of the gender assessment and project/programme-level gender action plan that is aligned with the objectives of GCF's [Gender Policy](#). Confirm a gender assessment and action plan exists describing the process used to develop both documents. Provide information on the key findings (who is vulnerable and why) and key recommendations (how to address the vulnerability identified) of the gender assessment. Indicate if stakeholder consultations have taken place and describe the key inputs integrated into the action plan, including: how addressing the vulnerability will ensure equal participation and benefits from funds investment; key gender-related results to be expected from the project/programme with targets; implementation arrangements that the AE has put in place to ensure activities are implemented and expected outcomes will be achieved, monitored and evaluated.

Provide the full gender assessment and project-level gender action plan as annex 8.

The GFCR Gender Assessment serves to understand how the fund can address gender vulnerabilities and design specific gender elements in the different project categories. A gender specific sector and peer-projects assessment has been conducted to identify the drivers of change and the gender dynamics needed to achieve the fund's impact goals. The Gender Action Plan builds on the findings of the Gender Assessment and derives target outputs, outcomes and impacts and corresponding activities and indicators to ensure that GFCR meets its objectives.

GFCR has assessed each project category beginning with gender-related vulnerabilities and capacities for change in the sectors and projects. This includes the assessment of access to resources, power and decision-making, knowledge and perception of women, and participation in the community and society, among others.

Based on the Gender Assessment, several vulnerabilities and capacities were identified in the focus areas of the GFCR and led to the conclusive impact objective to promote greater resilience and adaptive capacity of women and girls living in coral reef-dependent communities through the attainment of three main impacts:

- Empowerment of women and girls to promote independence and enable them to become agents of change;
- Better health outcomes and improved physical and emotional safety of women and girls;
- Sustainable livelihoods for women and girls.

Based on the identified impacts, key activities, outcomes and outputs were derived. These include, among others:

- Capacity and confidence building and skills training for women to promote entrepreneurship and business opportunities
- Empower women in decision-making, politically and socially
- Including women in the broader community and civil society organizations

⁶⁹ https://www.ifc.org/wps/wcm/connect/topics_ext_content/ifc_external_corporate_site/sustainability-at-ifc/policies-standards/es-categorization

- Promote decent work incl. equal pay, tackling sexual harassment and recruiting women into high-level employment
- Address women specific needs during project design and development through gender-responsive stakeholder consultation
- Promote health outcomes and reduce gender violence

Key gender-related indicators were developed for each of the impact objectives to measure the effectiveness of the approach. These include, among others:⁷⁰

- Empowerment of women and girls:
 - Percentage of women's participation and leadership in community and at project level
 - Percentage of women making decisions on behalf of their families and communities
 - Number women with improved access to financial mechanisms
- Better health outcomes and improved physical and emotional safety:
 - (Water borne) disease prevalence
 - Rates of childhood stunting
 - Measurable reduction in gender-based violence
- Sustainable livelihoods for women and girls:
 - Number of women employed
 - Percentage of gender pay gap
 - Percentage of contractual relationships (temporary vs. permanent and full-time vs. part-time)

Indicators were also developed on process and project design level. Furthermore, the implementation of the GFCR Gender Policy and Gender Action Plan seek to ensure the effectiveness of the GFCR in regard to gender equality.

Additionally, the GFCR has a monitoring framework and processes in place to measure gender equality results against an established baseline. This occurs at every stage of the project, from initial feasibility, project design, preliminary design review, implementation and ongoing performance review. Monitoring is led by the ESMS Manager and external consultants if appropriate.

G.3. Financial management and procurement (max. 500 words, approximately 1 page)

Describe the project/programme's financial management including the financial monitoring systems, financial accounting, auditing, and disbursement structure and methods. Refer to section B.4 on implementation arrangements as necessary.

Articulate any procurement issues that may require attention, e.g. procurement implementation arrangements and the role of the AE under the respective proposal, articulation of procurement risk assessment undertaken and how that will be managed by the AE or the implementing agency. Provide a detailed procurement plan as annex 10.

Pegasus maintains an Accounting Policy designed to ensure financial transactions are properly authorized, documented and executed. Pegasus' funds are audited by an independent auditor on an annual basis and Pegasus also undergoes a compliance audit conducted by a third-party compliance consultant on an annual basis. All disbursements are subject to a three-party process. One individual from below (other than the Chief Compliance Officer ("CCO")) can create a wire; then any other authorized person who did not create the wire can/will approve that wire; finally only the CCO or Controller (under the direction of the CCO) are authorized to release the wire as long as such individual had not previously approved that same wire. Each step of the process is logged automatically in the firm's online banking portal.

- CCO – has the ability to review all activity of the bank accounts and generate reports. He/she also has the ability to approve and release wire transfers that have been entered into the website with restrictions. He/she cannot release a wire that they have approved nor can he/she release a wire that they have modified.
- Controller – has the ability to review all activity of the bank accounts and generate reports. He/she also has the ability to create, approve and release wire transfers that have been entered into the website with restrictions. He/she cannot approve or release a wire that they have created nor can he/she release a wire that they have modified.

⁷⁰ Refer to the Gender Action Plan for additional gender indicators. The indicators listed here are exemplars.

- Senior Accountant - has the ability to review all activity of the bank accounts and generate reports. He/she also has the ability to create wire and/or modify transfers on the bank's website. Such an individual shall also have the ability to approve a wire which he/she did not create. However, this person does not have the ability to release any wires.

G.4. Disclosure of funding proposal

Note: The Information Disclosure Policy (IDP) provides that the GCF will apply a presumption in favour of disclosure for all information and documents relating to the GCF and its funding activities. Under the IDP, project and programme funding proposals will be disclosed on the GCF website, simultaneous with the submission to the Board, subject to the redaction of any information that may not be disclosed pursuant to the IDP. Information provided in confidence is one of the exceptions, but this exception should not be applied broadly to an entire document if the document contains specific, segregable portions that can be disclosed without prejudice or harm.

Indicate below whether or not the funding proposal includes confidential information.

☐ No confidential information: The accredited entity confirms that the funding proposal, including its annexes, may be disclosed in full by the GCF, as no information is being provided in confidence.

☒ With confidential information: The accredited entity declares that the funding proposal, including its annexes, may not be disclosed in full by the GCF, as certain information is being provided in confidence. Accordingly, the accredited entity is providing to the Secretariat the following two copies of the funding proposal, including all annexes:

- ☐ full copy for internal use of the GCF in which the confidential portions are marked accordingly, together with an explanatory note regarding the said portions and the corresponding reason for confidentiality under the accredited entity's disclosure policy, and
- ☐ redacted copy for disclosure on the GCF website.

The funding proposal can only be processed upon receipt of the two copies above, if containing confidential information.

H. ANNEXES

H.1. Mandatory annexes

- ☒ Annex 1 NDA no-objection letter(s) [\(template provided\)](#)
- ☒ Annex 2 Feasibility study - and a market study, if applicable
- ☒ Annex 3 Economic and/or financial analyses in spreadsheet format
- ☒ Annex 4 Detailed budget plan [\(template provided\)](#)
- ☒ Annex 5 Implementation timetable including key project/programme milestones [\(template provided\)](#)
- ☒ Annex 6 E&S document corresponding to the E&S category (A, B or C; or I1, I2 or I3):
[\(ESS disclosure form provided\)](#)
 - ☐ Environmental and Social Impact Assessment (ESIA) or
 - ☐ Environmental and Social Management Plan (ESMP) or
 - ☒ Environmental and Social Management System (ESMS)
 - ☐ Others (please specify – e.g. Resettlement Action Plan, Resettlement Policy Framework, Indigenous People's Plan, Land Acquisition Plan, etc.)
- ☒ Annex 7 Summary of consultations and stakeholder engagement plan
- ☒ Annex 8 Gender assessment and project/programme-level action plan [\(template provided\)](#)
- ☒ Annex 9 Legal due diligence (regulation, taxation and insurance)
- ☒ Annex 10 Procurement plan [\(template provided\)](#)
- ☒ Annex 11 Monitoring and evaluation plan [\(template provided\)](#)
- ☒ Annex 12 AE fee request [\(template provided\)](#)
- ☒ Annex 13 Co-financing commitment letter, if applicable [\(template provided\)](#)
- ☒ Annex 14 Term sheet including a detailed disbursement schedule and, if applicable, repayment schedule

H.2. Other annexes as applicable

- ☒ Annex 15 Evidence of internal approval [\(template provided\)](#)
- ☒ Annex 16 Map(s) indicating the location of proposed interventions
- ☒ Annex 17 Multi-country project/programme information [\(template provided\)](#)
- ☐ Annex 18 Appraisal, due diligence or evaluation report for proposals based on up-scaling or replicating a pilot project
- ☐ Annex 19 Procedures for controlling procurement by third parties or executing entities undertaking projects financed by the entity
- ☒ Annex 20 First level AML/CFT (KYC) assessment
- ☐ Annex 21 Operations manual (Operations and maintenance)
- ☐ Annex 22 Blended Finance Funds
- Annex 23 Potential impact on corals and beneficiaries
- Annex 24 Risks and barriers
- Annex 25 Sector Theories of Change

** Please note that a funding proposal will be considered complete only upon receipt of all the applicable supporting documents.*

Notice to Recipients

This funding proposal (the “Proposal”) is for information purposes only and may not be reproduced or distributed under any circumstances without our prior written consent. This Proposal does not constitute an offer to sell, or solicitation of an offer to buy, any securities. Any offering will only be made pursuant to the relevant information within a private placement memorandum, limited partnership agreement and subscription documents, all of which must be read in their entirety. No offer to make an investment will be made prior to receipt by a potential investor of these documents and the completion of all the appropriate documents. Nothing in this Proposal constitutes advice relating to legal, taxation, accounting, regulatory or investment matters and potential investors are advised to consult their own professional advisors in connection with making an investment decision.

The distribution of this Proposal in certain jurisdictions may be restricted by law. This Proposal is only directed at persons to whom it may lawfully be distributed and any investment activity to which this Proposal relates will only be available to such persons. It is the responsibility of any potential investor to satisfy itself as to the full compliance with the applicable laws and regulations of any relevant jurisdiction, including obtaining any governmental or other consent and observing any other formality prescribed in such jurisdiction.

Certain information contained herein has been obtained from published sources and third parties. While such information is believed to be reliable for the purpose used herein, none of Pegasus, its affiliates or any of its or their respective directors, officers, employees, advisors, partners or agents has independently verified or assumes any responsibility for the accuracy of such information. Except where otherwise indicated herein, the information provided herein is based on matters as they exist as of the date of preparation, and may not be updated or otherwise revised to reflect information that subsequently becomes available, or circumstances existing or changes occurring after the date hereof. This Proposal contains forward looking statements which are identifiable by words such as “anticipate”, “estimate”, “project”, “plan”, “intend”, “expect”, “believe”, “forecast” and similar expressions. The recipient should be aware that these statements are estimates, reflecting only the judgment of Pegasus or company management, as applicable, and the recipient should not place any reliance on any forward looking statements. The analyses, forecasts and targets contained in this Proposal are based on assumptions believed to be reasonable in light of the information presently available. Such assumptions (and the resulting analyses, forecasts and targets) may require modification as additional information becomes available and as economic and market developments warrant. Any such modification could be either favorable or adverse. The forecasts and targets have been prepared and are set out for illustrative purposes only, and no assurances can be made that they will materialize.

Pegasus and its directors, officers, employees, partners, affiliates, advisors and agents do not accept any responsibility whatsoever or liability for any direct, indirect or consequential loss or damage suffered or incurred by the recipient or any other person or entity, however incurred (including, but not limited to, negligence) in any way in connection with (i) the materials or any other written or oral information made available to the recipient or such other person or entity, including, without limitation, the information contained in this Proposal; (ii) any errors or omissions or the materials or any other written or oral information however caused; (iii) the recipient or any other person or entity having placed any reliance on the materials or such other information; or (iv) the reasonableness, authenticity, validity, adequacy, accuracy, completeness or reliability of the materials or such other information. This Proposal does not constitute and should not be considered as any form of financial opinion or recommendation.

Past or targeted performance should not be viewed as a guide to future performance. Actual results could differ materially from those discussed or implied herein, as a result of various factors, including future economic, competitive, political, regulatory or market conditions of future business decisions. The value of an investment in products such as described herein may fall as well as rise and any investment carries the risk of a total loss of capital. The value of an investment in products such as those described herein may fall as well as rise and any investment carries the risk of a total loss of capital. An investment in such products is suitable only for sophisticated investors and requires the financial ability and willingness to accept the high risks and lack of liquidity inherent in such an investment.

Gross IRR is computed on an annual, compounding basis, and is calculated before any carried interest, management fees and other partnership expenses, and is calculated using cash flows as they actually occur. Net IRR cannot be calculated for an individual investment without making arbitrary assumptions about fees, expenses and carried interest.

Nothing in this “Notice to Recipients” is intended to modify Pegasus’ obligations to the Green Climate Fund as set forth in the Accreditation Master Agreement between Pegasus and the GCF.



**MINISTRY OF THE ENVIRONMENT AND
HOUSING**

**Charlotte House
2nd Floor North Wing
Charlotte & Shirley Streets
P.O. Box N-4849
Nassau, The Bahamas
Telephone: (242) 322-6005/6
Facsimile: (242) 326-4687 or (242) 322-6064**

To: The Green Climate Fund ("GCF")

21 June 2021

Re: Funding proposal for the GCF by Pegasus Capital Advisor regarding "Global Fund for Coral Reefs Investment Window"

Dear Madam, Sir,

We refer to the programme titled "**Global Fund for Coral Reefs Investment Window**" in The Bahamas as included in the funding proposal submitted by **Pegasus Capital Advisor** to us on 14 May 2021.

The undersigned is the duly authorized representative of the Ministry of the Environment and Housing, the National Designated Authority of The Bahamas.

Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the programme as included in the funding proposal.

By communicating our no-objection, it is implied that:

- (a) The government of The Bahamas has no-objection to the programme as included in the funding proposal;
- (b) The programme as included in the funding proposal is in conformity with the national priorities, strategies and plans of the government of The Bahamas;
- (c) In accordance with the GCF's environmental and social safeguards, the programme as included in the funding proposal is in conformity with relevant national laws and regulations.

We also confirm that our national process for ascertaining no-objection to the programme as included in the funding proposal has been duly followed.

We also confirm that our no-objection applies to all projects or activities to be implemented within the scope of the programme

We acknowledge that this letter will be made publicly available on the GCF website.

Kind regards,

David Cates
Permanent Secretary
Ministry of the Environment and Housing
The Bahamas



GOVERNMENT OF BELIZE
Ministry of Finance, Economic Development &
Investment

**NATIONAL DESIGNATED AUTHORITY
GREEN CLIMATE FUND**

**P.O. Box 42
Ground Floor, Sir Edney Cain Building
Belmopan City
Belize, Central America**

**Fax: (501) 822-3673
Tel: (501) 822-2526
(501) 822-2527
Email: econdev@med.gov.bz**

Ref: IA/GCF/1/21(30)

8th July 2021

Mr. Yannick Glemarec
Executive Director
Green Climate Fund
Songdo International Business District
G-Tower, 175 Art Centre-daero
Yeonsu-gu, Incheon 22004
Republic of Korea

**Subject: Funding proposal for the GCF by Pegasus Capital Advisor regarding
“Global Fund for Coral Reefs Investment Window”**

We refer to the programme title “**Global Fund for Coral Reefs Investment Window**” as Included in the funding proposal submitted to us by Pegasus Capital Advisor on 28th April 2021.

The undersigned is the duly authorized representative of the National Designed Authority of Belize.

Pursuant to GCF decisions B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection.

By communicating our no-objection, it is implied that:

- (a) The government of Belize has no-objection to the programme as included in the funding proposal.
- (b) The programme as included in the funding proposal is in conformity with Belize’s national priorities, strategies and plan.

- (c) In accordance with the GCF's environmental and social safeguards, the programme as included in the funding proposal is in conformity with relevant national laws and regulations.

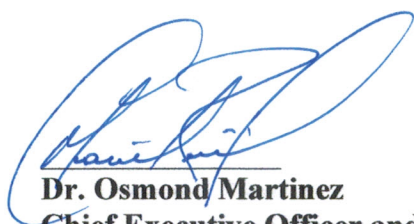
We also confirm that our national process for ascertaining no-objection to the programme as included in the proposal has been duly followed.

We also confirm that our no-objection applies to all projects or activities to be implemented within the scope of the programme.

We acknowledge that this letter will be made publicly available on the GCF website. The Government of Belize gives full support to the Pegasus Capital proposal submitted.

We look forward to collaborating with you on this important initiative.

Kind regards,



Dr. Osmond Martinez
Chief Executive Officer and
National Designated Authority for Belize - GCF

cc:

Ms. Kennedy Carillo, CEO, Ministry of Blue Economy and Civil Aviation.

Mrs. Chantelle Samuels, CEO, Coastal Zone Management, and Institute (CZMAI), Ministry of Blue Economy and Civil Aviation.



MINISTRY OF FINANCE
Secretariat for International Affairs
National Designated Authority for the Green Climate Fund
Esplanada dos Ministérios, Bloco K, 8º andar, sala 874
CEP 70040-906 - Brasília/DF - (61) 2020-4654 - e-mail and.gcf@economia.gov.br

Carta SEI nº 1900/2021/ME

Mr. Yannick Glemarec
Deputy Executive Director
Green Climate Fund
G-Tower, 24-4 Songdo-dong, Yeonsu-gu
Incheon City, Republic of Korea

Re: Funding proposal for the GCF by PCA regarding the program "Global Fund for Coral Reefs"

Referência: If you answer this letter, please indicate the Process n.º 12120.100234/2021-10

Dear Mr. Glemarec,

1. We refer to the programme entitled "**Global Fund for Coral Reefs**" as included in the funding proposal submitted by PCA to us on May 10th, 2021.
2. The undersigned is the duly authorized representative of the Secretariat for International Economic Affairs, Ministry of Economy, the National Designated Authority for Brazil.
3. Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the programme as included in the funding proposal.
4. By communicating our no-objection, it is implied that:
 - a) The government of Brazil has no-objection to the programme as included in the funding proposal;
 - b) The programme as included in the funding proposal is in conformity with the national priorities, strategies and plans of Brazil; and
 - c) In accordance with the GCF's environmental and social safeguards, the programme as included in the funding proposal is in conformity with relevant national laws and regulations.
5. We also confirm that our national process for ascertaining no-objection to the programme, as included in the funding proposal, has been duly followed.
6. We also confirm that our no-objection applies to all projects or activities to be implemented within the scope of the programme.
7. We acknowledge that this letter will be made publicly available on the GCF website.

Kind regards,

Documento assinado eletronicamente

ERIVALDO ALFREDO GOMES

Secretary for International Economic Affairs

Ministry of Economy of Brazil



Documento assinado eletronicamente por **Erivaldo Alfredo Gomes, Secretário(a) de Assuntos Econômicos Internacionais**, em 23/08/2021, às 18:50, conforme horário oficial de Brasília, com fundamento no § 3º do art. 4º do [Decreto nº 10.543, de 13 de novembro de 2020](#).



A autenticidade deste documento pode ser conferida no site https://sei.economia.gov.br/sei/controlador_externo.php?acao=documento_conferir&id_orgao_acesso_externo=0, informando o código verificador **18085546** e o código CRC **DF29D001**.

Processo nº 12120.100234/2021-10.

SEI nº 18085546

Bogotá D.C., viernes, 03 de septiembre de 2021

DADS



Al responder cite este Nro.
20214500924981

The Green Climate Fund-GCF

Att. executive-office@gcfund.org

Subject: Funding proposal for the GCF by Pegasus Capital Advisors, L.P. – regarding the programme The Global Fund for Coral Reefs (GFCR)

Dear Madam, Sir,

We refer to the multi-region programme titled *Global Fund for Coral Reefs Investment Window (GFCR)* in Colombia as included in the funding proposal submitted by Pegasus Capital Advisors, L.P. to us on May the 10th 2021.

The undersigned is the duly authorized representative of the National Planning Department of Colombia.

Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the programme as included in the funding proposal.

By communicating our no-objection, it is implied that:

- (a) The government of Colombia has no-objection to the programme as included in the funding proposal;
- (b) The programme as included in the funding proposal is in conformity with the national priorities, has the support of the Ministry of Environment and Sustainable Development (Letter attached), this considering that the programme is aligned with the National Climate Changes policies, strategies and plans of Colombia;
- (c) Given that the allocation for the Government of Colombia is given at the level of a financing range, it is necessary to work with Pegasus Capital Advisors, L.P, Accredited Entity, in order to identify the specific areas of intervention, initiatives to be financed, define the main stakeholders, and the governance framework for the implementation.
- (d) In accordance with the GCF's environmental and social safeguards, the programme as included in the funding proposal is in conformity with relevant national laws and regulations.

We also confirm that our national process for ascertaining no-objection to the programme as included in the funding proposal has been duly followed.



We also confirm that our no-objection applies to all projects or activities to be implemented within the scope of the programme

We acknowledge that this letter will be made publicly available on the GCF website.

Kind regards,

SANTIAGO APARICIO V.

Director of Environment and Sustainable Development
National Planning Department
Colombia

CC cpolycarp@gcfund.org; ccasallas@dnpgov.gov.co; npreciado@dnpgov.gov.co; cnuttall@regions20.org;
BFriedman@pcalp.com; sylvain.taboni@bnpparibas.com; pierre.bardoux@undp.org;
Moritz.de.Chaisemartin@systemiq.earth

Prepared: Néstor Darío Preciado

Revised: Carlos Eduardo Casallas, Juan Sebastián Rivera



No-objection letter template for programmes



GREEN
CLIMATE
FUND

UNION DES COMORES

Unité - Solidarité - Développement



جمهورية القمر المتحدة

الوحدة - التضامن - التنمية

Ministère de l'Agriculture, de la Pêche
et de l'Environnement

وزارة الزراعة والصيد والبيئة

Direction Générale de l'Environnement
et des Forêts

Le Point Focal du Fonds Vert Climat

Moroni le, 19 juillet 2021

N°021- 02 /MAPE/NDA

To: The Green Climate Fund ("GCF")

Re: Funding proposal for the GCF by Pegasus Capital Advisor regarding "Global Fund for Coral Reefs Investment Window"

Dear Madam, Sir,

We refer to the programme titled **"Global Fund for Coral Reefs Investment Window"** in Comoros as included in the funding proposal submitted by **Pegasus Capital Advisor** to us on June 8th.

The undersigned is the duly authorized representative of Youssouf HAMADI focal point of Comoros. Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the programme as included in the funding proposal.

By communicating our no-objection, it is implied that:

- (a) The government of Comoros has no-objection to the programme as included in the funding proposal;
- (b) The programme as included in the funding proposal is in conformity with the national priorities, strategies and plans of Comoros ;
- (c) In accordance with the GCF's environmental and social safeguards, the programme as included in the funding proposal is in conformity with relevant national laws and regulations.

We also confirm that our national process for ascertaining no-objection to the programme as included in the funding proposal has been duly followed.

We also confirm that our no-objection applies to all projects or activities to be implemented within the scope of the programme

We acknowledge that this letter will be made publicly available on the GCF website.

Kind regards,



Youssouf HAMADI, GCF focal point

Head Department National Directorate of agriculture and strategies of livestock and national climate change expert
Comoros



**Ministerio del Ambiente, Agua
y Transición Ecológica**

Oficio Nro. MAAE-SCC-2021-0257-0

Quito, D.M., 03 de septiembre de 2021

Asunto: Funding Proposal for the GCF by Pegasus Capital Advisors LP regarding the initiative "Global Fund for Coral Reefs Investment Window"

Señor
Yannick Glemarec
Executive Director
GREEN CLIMATE FUND
En su Despacho

The following is in reference to the initiative titled "Global Fund for Coral Reefs Investment Window" in Ecuador, as included in the funding proposal submitted by Pegasus Capital Advisors LP to us on July 2021.

The undersigned is the duly authorized representative of the Ministry of Environment, Water and Ecological Transition of Ecuador, which acts as National Designated Authority.

Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our No-Objection to the initiative as included in the funding proposal.

By communicating our No-Objection, it is implied that:

1. The initiative as included in the funding proposal was shared with the Government of Ecuador.

As National Designated Authority, we underline that our national process for ascertaining no-objection to the initiative, as included in the funding proposal, has been followed.

Pegasus Capital Advisors has developed this project as part of their pipeline, thereby we would like to be part of this program as we can envision opportunities to work with the Coral Reef Fund. However, the information in regard to proposed interventions must consider our country's needs and the involvement of national institutions as part of the decision-making committee in order to ensure that the Fund would invest in our country's climate priorities.

We acknowledge that this letter will be made publicly available on the GCF website.

Kind regards,



Ministerio del Ambiente, Agua
y Transición Ecológica

Oficio Nro. MAAE-SCC-2021-0257-0

Quito, D.M., 03 de septiembre de 2021

Atentamente,

Documento firmado electrónicamente

Mgs. Karina Maribel Barrera Moncayo
SUBSECRETARIA DE CAMBIO CLIMÁTICO

Copia:

Señora Magíster
Inés Patricia Arias Machado
Directora de Adaptación al Cambio Climático

Señora Secretaria
Teresa Del Pilar Pérez Toscano
Secretaria de la Subsecretaria

Señorita Ingeniera
Gabriela Jeanneth Vargas Luna
Especialista de Políticas de Cambio Climático 3

ab/gv



MINISTRY OF ECONOMY

P.O.Box 2212, Government Buildings, Suva, Fiji; Tele: (679) 330 7011, Fax: (679) 330 8654
 Website: www.economy.gov.fj, Email: Economyinformation@economy.gov.fj
 Ro Lalabalavu House, 370 Victoria Parade, Suva

3 September 2021

By Email: yglemarec@gcfund.org

Yannick Glemarec
 Executive Director
 Green Climate Fund

Dear Dr. Yannick

No Objection Letter to Pegasus Capital Advisors for acquisition of GCF funding

1. We refer to the programme titled "the Global Fund for Coral Reefs" (GFCR) – Investment Window in Fiji as included in the funding proposal submitted by the Pegasus Capital Advisors (PCA). The GFCR Project emphasises the critical role of coral reefs to ensuring sustainable livelihoods and as nature based solutions to build climate change resilience within communities.
2. The outcomes of the proposal complement key areas of Fiji's National Development Plan, the National Climate Change Policy, National Adaptation Plan, Fiji's Updated Nationally Determined Contributions and Fiji's National Ocean Policy. The project also aligns to international commitments such as the Sustainable Development Goal 14 - Life Below Water.
3. Pursuant to GCF decision B.08/10, the content of which we acknowledge to have been reviewed, we hereby communicate our no-objection to the programme as included in the funding proposal.
4. By communicating our no-objection, it is implied that:
 - (a) The Fijian Government has no-objection to the programme as included in the funding proposal;
 - (b) The programme as included in the funding proposal is in conformity with the national priorities, strategies and plans of Fiji;
 - (c) In accordance with the GCF's environmental and social safeguards, the programme as included in the funding proposal is in conformity with relevant national laws and regulations.
5. We also confirm that our national process for ascertaining no-objection to the programme as included in the funding proposal has been duly followed.
6. We also confirm that our no-objection applies to all projects or activities to be implemented within the scope of the programme.

7. We acknowledge that this letter will be made publicly available on the GCF website.
8. The undersigned is the duly authorised representative of the Permanent Secretary for Economy, the National Designated Authority of Fiji.
9. For any enquiries, contact Mr. Kushaal Raj on email: kushaal.raj@economy.gov.fj or by phone on +679 322 217.

Thank you.

Yours sincerely



Vineil Narayan
for Acting Permanent Secretary for Economy (GCF NDA)



MINISTERIO DE AMBIENTE Y RECURSOS NATURALES
GUATEMALA, C.A.

Ministro

To: The Green Climate Fund ("GCF")

Guatemala, 21 June 2021
Oficio MI-0821-2021/MRRE-gpvg

Re: Funding proposal for the GCF by Pegasus Capital Advisor regarding "Global Fund for Coral Reefs Investment Window"

Dear Madam, Sir,

We refer to the programme titled "**Global Fund for Coral Reefs Investment Window**" in Guatemala as included in the funding proposal submitted by **Pegasus Capital Advisor** to us on 1 June 2021.

The undersigned is the duly authorized representative of National Designated Authority of Guatemala.

Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the programme as included in the funding proposal.

By communicating our no-objection, it is implied that:

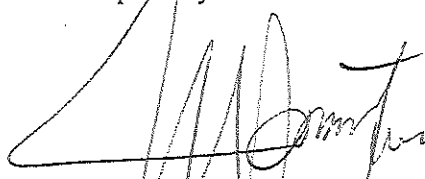
- (a) The government of Guatemala has no-objection to the programme as included in the funding proposal;
- (b) The programme as included in the funding proposal is in conformity with the national priorities, strategies and plans of Guatemala;
- (c) In accordance with the GCF's environmental and social safeguards, the programme as included in the funding proposal is in conformity with relevant national laws and regulations.

We also confirm that our national process for ascertaining no-objection to the programme as included in the funding proposal has been duly followed.

We also confirm that our no-objection applies to all projects or activities to be implemented within the scope of the programme

We acknowledge that this letter will be made publicly available on the GCF website.

Kind regards,


Lic. Mario Roberto Rojas Espino
Ministro
Ministerio de Ambiente y Recursos Naturales



Página 1 de 1



MINISTRY OF FINANCE OF THE REPUBLIC OF INDONESIA
FISCAL POLICY AGENCY

GEDUNG R.M. NOTOHAMIPRODJO LANTAI 2, JALAN DR. WAHIDIN NOMOR 1, JAKARTA 10710
 TELEPON (021) 3441484; FAKSIMILE (021) 3848049; LAMAN FISKAL.KEMENKEU.GO.ID

Ref : S-115/KF/2021

01 October 2021

Mr. Yannick Glemarec
 Executive Director, Green Climate Fund
 Songdo Business District,
 Yeonsu-gu, Incheon 22004
 Republic of Korea

Subject : Funding Proposals for the GCF by Pegasus Capital Advisors regarding the
 Global Fund for Coral Reefs (GFCR) Investment Window

Dear Mr. Glemarec,

We refer to the Programme of *Global Fund for Coral Reefs (GFCR) Investment Window* as included in the Funding Proposal submitted by Pegasus Capital Advisors to us on 24th June 2021 (the "Programme").

The undersigned is the duly authorized representative of Fiscal Policy Agency, Ministry of Finance of Indonesia, the National Designated Authority of Indonesia.

Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the Programme as included in the Funding Proposal.

By communicating our no-objection, it is implied that:

- (a) The government of Indonesia has no-objection to the Programme as included in the Funding Proposal;
- (b) The Programme as included in the Funding Proposal is in conformity with Indonesia's national priorities, strategies and plans;
- (c) In accordance with the GCF's environmental and social safeguards, the Programme as included in the Funding Proposal is in conformity with relevant national laws and regulations.

We also confirm that our national process for ascertaining no-objection to the Programme as included in the Funding Proposal has been duly followed.

We also confirm that our no-objection applies to all projects or activities to be implemented within the scope of the Programme.

We acknowledge that this letter will be made publicly available on the GCF website.

Yours faithfully,



Ditandatangani secara elektronik
 Febrio Nathan Kacaribu

Cc:

Director of Center for Climate Finance and Multilateral Policy





ANY REPLY OR SUBSEQUENT
REFERENCE SHOULD BE ADDRESSED
TO THE PERMANENT SECRETARY
AND THE FOLLOWING REFERENCE
NUMBER QUOTED:
Tel: Number: 876-926-1690-3
926-1590-9 FAX 754-0975

**MINISTRY OF HOUSING, URBAN RENEWAL, ENVIRONMENT
AND CLIMATE CHANGE
25 DOMINICA DRIVE
KINGSTON 5
JAMAICA**

August 30, 2021

Mr. Yannic Glemarec
Executive Director
Green Climate Fund
Korea

Re: Support for the “Global Fund for Coral Reefs Investment Window”

Dear Mr. Glemarec:

We refer to the programme titled “**Global Fund for Coral Reefs Investment Window**” in Jamaica as included in the funding proposal submitted by Pegasus Capital Advisors, L.P. to us on 27 August 2021.

The undersigned is the duly authorized representative of the Ministry of Housing, Urban Renewal, Environment and Climate Change, the National Designated Authority of Jamaica.

Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the programme as included in the funding proposal.

By communicating our no-objection, it is implied that:

- (a) The government of Jamaica has no-objection to the programme as included in the funding proposal;
- (b) The programme as included in the funding proposal is in conformity with the national priorities, strategies and plans of Jamaica;
- (c) In accordance with the GCF’s environmental and social safeguards, the programme as included in the funding proposal is in conformity with relevant national laws and regulations.

We also confirm that our national process for ascertaining no-objection to the programme as included in the funding proposal has been duly followed.

We also confirm that our no-objection applies to all projects or activities to be implemented within the scope of the programme.

We acknowledge that this letter will be made publicly available on the GCF website.

Sincerely,

A handwritten signature in dark ink, appearing to read "UnaMay".

UnaMay Gordon(Ms.)
**Principal Director,
Climate Change Division**



Ministry of Environment

Ref.No

7-2-7642

Date

9-9-2021

Mr. Yannik Glemarec
 Executive Director
 The Green Climate Fund ("GCF") Secretariat
 G-Tower, 123 Central Street
 Songdo-dong, 206840, Republic of Korea

Re: Funding proposal for the GCF by Pegasus Capital Advisor regarding "Global Fund for Coral Reefs Investment Window"

Dear Mr. Yannick Glemarec,

We refer to the programme titled **"Global Fund for Coral Reefs Investment Window"** in Jordan as included in the funding proposal submitted by **Pegasus Capital Advisor** to us on 31 May 2021.

The undersigned in the duly authorized representative of Ministry of Environment, The National Designated Authority of Jordan.

Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the programme as included in the funding proposal.

By communicating our no-objection, it is implied that:

- (a) The government of Jordan has no-objection to the programme as included in the funding proposal;
- (b) The programme as included in the funding proposal is in conformity with the national priorities, strategies and plans of Jordan;
- (c) In accordance with the GCF's environmental and social safeguards, the programme as included in the funding proposal is in conformity with relevant national laws and regulations.

We also confirm that our national process for ascertaining no-objection to the programme as included in the funding proposal has been duly followed.

We also confirm that our no-objection applies to all projects or activities to be implemented within the scope of the programme

We acknowledge that this letter will be made publicly available on the GCF website.

Kind Regards,

Eng. Belal Shqarin

Directorate of Climate Directorate

Dr. Mohamed Khashashneh

Secretary General



HACIENDA
SECRETARÍA DE HACIENDA Y CRÉDITO PÚBLICO

Subsecretaría de Hacienda y
Crédito Público
Unidad de Crédito Público



To: The Green Climate Fund ("GCF")

Mexico City, September 2nd, 2021

Re: Funding proposal for the GCF by Pegasus Capital Advisors regarding the Global Fund for Coral Reefs Investment Window

Dear Madam, Sir,

We refer to the programme titled *Global Fund for Coral Reefs Investment Window* as included in the funding proposal submitted by Pegasus Capital Advisors to us on 15 July 2021.

The undersigned is the duly authorized representative of Brenda Pequeño Vargas, the National Designated Authority of Mexico.

Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the programme as included in the funding proposal.

By communicating our no-objection, it is implied that:

- (a) The government of Mexico has no-objection to the programme as included in the funding proposal;
- (b) The programme as included in the funding proposal is in conformity with the national priorities, strategies and plans of Mexico;
- (c) In accordance with the GCF's environmental and social safeguards, the programme as included in the funding proposal is in conformity with relevant national laws and regulations.

We also confirm that our national process for ascertaining no-objection to the programme as included in the funding proposal has been duly followed.

We also confirm that our no-objection applies to all projects or activities to be implemented within the scope of the programme.

We acknowledge that this letter will be made publicly available on the GCF website.

Kind regards,

Brenda Pequeño Vargas
Director General
National Designated Authority
Mexico



REPUBLIC OF MOZAMBIQUE
MINISTRY OF ECONOMY AND FINANCE
National Directorate of Monitoring and Evaluation

To: The Green Climate Fund ("GCF")

[Maputo], [29 July 2021]

Re: Funding proposal for the GCF by Pegasus Capital Advisor regarding "Global Fund for Coral Reefs Investment Window"

Dear Mr Yannick Glemarec

We refer to the programme titled "Global Fund for Coral Reefs Investment Window" in Mozambique as included in the funding proposal submitted by Pegasus Capital Advisor to us on July 2021.

The undersigned is the duly authorized representative of the Ministry of Economy and Finance, the National Designated Authority/focal point of Mozambique.

Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the Programme as included in the Funding Proposal.

By communicating our no-objection, it is implied that:

- (a) The government of Mozambique has no-objection to the Programme as included in the funding proposal;
- (b) The Programme as included in the funding proposal is in conformity with Mozambique's national priorities, strategies and plans;
- (c) In accordance with the GCF's environmental and social safeguards, the Programme as included in the funding proposal is in conformity with relevant national laws and regulations.

We also confirm that our national process for ascertaining no-objection to the Programme as included in the Funding Proposal has been duly followed.



We also confirm that our no-objection applies to all projects or activities to be implemented within the scope of the Programme.

We acknowledge that this letter will be made publicly available on the GCF website.

Kind regards,



GCF NDA Focal Point Mozambique

**MINISTRY OF AGRICULTURE, CLIMATE CHANGE AND ENVIRONMENT
CLIMATE CHANGE AND ENERGY DEPARTMENT**

Office of the Principal Secretary

Botanical Gardens, Mont Fleuri, P.O. Box 445, Victoria, Mahe, Republic of Seychelles

Tel. No. (+248) 4670568

Email: rloustaualanne@statehouse.gov.sc

Please address all correspondence to the Principal Secretary – Ms Rebecca Loustau-Lalanne



DATE: 15th June, 2021

Yannick Glemarec,
Executive Director
Songdo Business District
175 Art Center-daero
Yeonsu-gu, Incheon 2200

**Re: Funding proposal for the GCF by Pegasus Capital Advisor
regarding “Global Fund for Coral Reefs Investment Window”**

Dear Sir,

We refer to the programme titled **“Global Fund for Coral Reefs Investment Window”** in Seychelles as included in the funding proposal submitted by Pegasus Capital Advisor to us on 10th May, 2021

The undersigned is the duly authorized representative of National Designated Authority of Seychelles.

Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the programme as included in the funding proposal.

By communicating our no-objection, it is implied that:

- (a) The government of Seychelles has no-objection to the programme as included in the funding proposal;
- (b) The programme as included in the funding proposal is in conformity with the national priorities, strategies and plans of Seychelles;

- (c) In accordance with the GCF's environmental and social safeguards, the programme as included in the funding proposal is in conformity with relevant national laws and regulations.

We also confirm that our national process for ascertaining no-objection to the programme as included in the funding proposal has been duly followed.

We also confirm that our no-objection applies to all projects or activities to be implemented within the scope of the programme

We acknowledge that this letter will be made publicly available on the GCF website.

Yours sincerely,

A handwritten signature in blue ink, appearing to read 'Wills Agricole', with a stylized flourish at the end.

Wills Agricole

**Technical Advisor for Climate Change and Energy
National Designated Authority of Seychelles**

For: **PRINCIPAL SECRETARY/ CLIMATE CHANGE & ENERGY**



පරිසර අමාත්‍යාංශය
சுற்றுடல் அமைச்சு
Ministry of Environment

"සොබාදාම පියා", අංක 416/සී/1, රොබට් ගුනවර්දන මාවත, බත්තරමුල්ල, ශ්‍රී ලංකාව.

"சொபாதம் பியா", இல. 416/சீ/1, ரொபர்ட் குணவர்தன மாவத்தை, பத்தரமுல்லை, இலங்கை.
 "Sobadam Piyasa", No. 416/C/1, Robert Gunawardana Mawatha, Battaramulla, Sri Lanka.

Gen. Tel. +94-11-2034100

ලේකම්

செயலாளர்

Secretary

+94-11-2034121

ෆැක්ස්

தொலை நகல்

Fax

+94-11-2879944

මගේ අංකය

எனது இல

My No

04/04/10/350/-GCF IV

ඔබේ අංකය

உமது இல

Your No

දිනය

திகதி

Date

13.09.2021

The Secretariat
 Green Climate Fund
 Songdo-dong, Incheon,
 South Korea

Re: Funding proposal for the GCF by Pegasus Capital Advisors LP (Pegasus) regarding Global Fund for Coral Reefs Investment Window Programme

Dear Sir,

We refer to the multi country programme "Global Fund for Coral Reefs Investment Window" also executing in Sri Lanka as included in the funding proposal submitted by the Pegasus Capital Advisors LP (Pegasus) to us on the 29th of July 2021.

The undersigned is the duly authorized representative of the Ministry of Environment, the National Designated Authority of Sri Lanka.

Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the programme as included in the funding proposal.

By communicating our no-objection, it is implied that:

- The government of Sri Lanka has no-objection to the programme as included in the funding proposal;
- The programme as included in the funding proposal is in conformity with the national priorities, strategies and plans of Sri Lanka;
- In accordance with the GCF's environmental and social safeguards, the programme as included in the funding proposal is in conformity with relevant national laws and regulations.

We also confirm that our national process for ascertaining no-objection to the programme as included in the funding proposal has been duly followed.

We acknowledge that this letter will be made publicly available on the GCF website.

Kind regards,


Dr. Anil Jasinghe
 Secretary

"මේ මහලොව සහ ගහනෙළ මිනිසාට මෙන්ම අනෙක් පියාසරන සියොතුන්ට ද මිනිසා සරන සිවුපාවන්ට ද සියලු සතුන්ට ද එකසේ අයිතිය"
 "இப் பூமியும், மரத் செடி கொடிகளும் மனிதனுக்குப் போன்றே வானில் பறந்து திரியும் பறவைகளுக்கும், பூமியில் வாழும் உயிர்வாங்குகளுக்கும், அனைத்து விலங்குகளுக்கும் ஒருமித்துச் சொந்தமானது"
 "This great earth and the flora on it equally belong to the man and the birds flying in the sky, the quadrupeds and all creatures living on earth"

Panamá, 25 de agosto de 2021

DM-1571-2021

Señor

YANNICK GLEMAREC

Director Ejecutivo

El Fondo Verde para el Clima (FVC)

En su despacho

Estimado Señor Glemarec:

Nos referimos al programa denominado Fondo Global para Arrecifes de Coral (GFCR) en la República de Panamá, como se incluye en la propuesta de financiamiento que nos presentó Pegasus Capital el 14 de julio de 2021.

El abajo firmante es el representante debidamente autorizado del Ministerio del Ambiente de Panamá, la Autoridad Nacional Designada / Punto Focal de Panamá.

De conformidad con la decisión B.08 / 10 del GCF, cuyo contenido reconocemos haber revisado, por la presente comunicamos nuestra no objeción al programa tal como se incluye en la propuesta de financiamiento.

Al comunicar nuestra no objeción, se da a entender que:

- (a) El Gobierno de Panamá no tiene objeciones al programa tal como se incluye en la propuesta de financiamiento;
- (b) El programa, tal como se incluye en la propuesta de financiamiento, se ajusta a las prioridades, estrategias y planes nacionales de Panamá;
- (c) De conformidad con las salvaguardias ambientales y sociales del FVC, el programa incluido en la propuesta de financiación se ajusta a las leyes y reglamentos nacionales pertinentes.

También confirmamos que nuestro proceso nacional para determinar la no objeción al programa, tal como se incluye en la propuesta de financiamiento, se ha seguido debidamente.

También confirmamos que nuestra no objeción se aplica a todos los proyectos o actividades que se implementarán dentro del alcance del programa.

Reconocemos que esta carta se pondrá a disposición del público en el sitio web del GCF.

Atentamente,



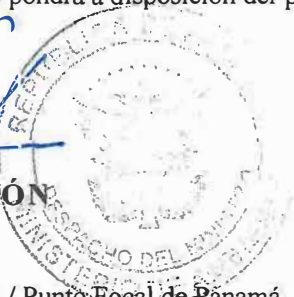
MILCIADES CONCEPCIÓN

Ministro de Ambiente

Ministro de Medio Ambiente

Autoridad Nacional Designada / Punto Focal de Panamá.

MC/AGA/LC/GPC/FV/mélida.j



Albrook, Calle Broberg, Edificio 804
República de Panamá
Tel.: (507) 500-0855

www.miambiente.gob.pa

Panama, august 25th 2021
DM-1571-2021

Mr.
YANNICK GLEMAREC
Executive Director
Green Climate Fund

Re: Funding proposal for the GCF by Pegasus Capital regarding Global Fund for Coral Reef (GFCR).

Dear Mr. Glemarec:

We refer to the programme titled Global Fund for Coral Reef (GFCR) in the Republic of Panama, as included in the funding proposal submitted by Pegasus Capital to us on 1 July 2021.

The undersigned is the duly authorized representative of the Ministry of Environment of Panama, the National Designated Authority / Focal Point of Panama.

Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the programme as included in the funding proposal.

By communicating our no-objection, it is implied that:

- (a) The government of Panama has no-objection to the programme as included in the funding proposal;
- (b) The programme as included in the funding proposal is in conformity with the national priorities, strategies and plans of Panama;
- (c) In accordance with the GCF's environmental and social safeguards, the programme as included in the funding proposal is in conformity with relevant national laws and regulations.

We also confirm that our national process for ascertaining no-objection to the programme as included in the funding proposal has been duly followed.

We also confirm that our no-objection applies to all projects or activities to be implemented within the scope of the programme

We acknowledge that this letter will be made publicly available on the GCF website.

Kind regards,


MILCIADES CONCEPCIÓN
Minister of Environment
National Designated Authority / Focal Point of Panama.



MC/AGA/LC/GPC/FV/mélida.j



Albrook, Calle Broberg, Edificio 804
República de Panamá
Tel.: (507) 500-0855

www.miambiente.gob.pa



Republic of the Philippines
DEPARTMENT OF FINANCE
 Roxas Boulevard Corner Pablo Ocampo, Sr. Street
 Manila 1004

Mr. YANNICK GLEMAREC

Executive Director

Secretariat of the Green Climate Fund

175 Art Center-daero, Yeonsu-gu

Incheon, Republic of Korea

SUBJECT : Funding Proposal by the Pegasus Capital Advisors LP regarding Global Fund for Coral Reefs Investment Window

Dear EXECUTIVE DIRECTOR GLEMAREC:

We refer to the programme titled Global Fund for Coral Reefs Investment Window in the Philippines as included in the funding proposal submitted by Pegasus Capital Advisors LP (Pegasus).

The undersigned is the duly authorized representative of the Department of Finance the National Designated Authority of the Philippines.

Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the programme as included in the funding proposal.

By communicating our no-objection, it is implied that:

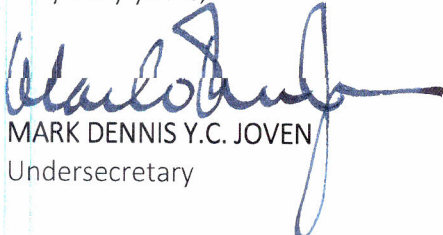
- a. The Government of the Republic of the Philippines has no-objection to the programme as included in the funding proposal;
- b. The programme as included in the funding proposal is in conformity with the national priorities, strategies and plans of the Philippines;
- c. In accordance with the GCF's environmental and social safeguards, the programme as included in the funding proposal is in conformity with relevant national laws and regulations.

We also confirm that our national process for ascertaining no-objection to the programme as included in the funding proposal has been duly followed.

We also confirm that our no-objection applies to all projects or activities to be implemented within the scope of the programme.

We acknowledge that this letter will be made publicly available on the GCF website.

Very truly yours,


 MARK DENNIS Y.C. JOVEN
 Undersecretary

Environmental and social safeguards report form pursuant to para. 17 of the IDP

Basic project or programme information	
Project or programme title	Global Fund for Coral Reefs Investment Window
Existence of subproject(s) to be identified after GCF Board approval	Yes
Sector (public or private)	Private
Accredited entity	Pegasus Capital Advisors (PCA)
Environmental and social safeguards (ESS) category	Category I-2
Location – specific location(s) of project or target country or location(s) of programme	Africa: Comoros, Kenya*, Madagascar*, Mozambique, Seychelles, and Tanzania*; Asia-Pacific: Cambodia*, Fiji*, Indonesia*, Malaysia*, Maldives*, Philippines, Solomon Islands*, Sri Lanka*, Timor Leste*, and Vietnam*; Latin America and the Caribbean: Bahamas, Belize, Brazil, Colombia*, Costa Rica*, Dominican Republic*, Ecuador*, Guatemala, Honduras*, Jamaica, Mexico, and Panama; Middle East: Egypt* and Saudi Arabia*.
Environmental and Social Impact Assessment (ESIA) (if applicable)	
Date of disclosure on accredited entity's website	N/A
Language(s) of disclosure	N/A
Explanation on language	N/A
Link to disclosure	N/A
Other link(s)	N/A
Remarks	N/A
Environmental and Social Management Plan (ESMP) (if applicable)	
Date of disclosure on accredited entity's website	N/A
Language(s) of disclosure	N/A
Explanation on language	N/A
Link to disclosure	N/A
Other link(s)	N/A
Remarks	N/A
Environmental and Social Management (ESMS) (if applicable)	
Date of disclosure on accredited entity's website	Friday, September 3, 2021
Language(s) of disclosure	English, Arabic, Bahasa Indonesia, French, Khmer, Malay, Portuguese, Sinhala, Spanish and Vietnamese.

* Denotes country for which an NOL has not yet been received, some of which may be removed from the Funding Proposal before the submission deadline.

Explanation on language	These are the official languages in each of the target countries, except for the Maldives where English is spoken by most of the population
Link to disclosure	<u>English:</u> https://d1xeoqaoqyzc9p.cloudfront.net/app/uploads/2021/09/GFCR-ESS-English.pdf <u>Arabic:</u> https://d1xeoqaoqyzc9p.cloudfront.net/app/uploads/2021/09/GFCR-ESS-Arabic.pdf <u>French:</u> https://d1xeoqaoqyzc9p.cloudfront.net/app/uploads/2021/09/GFCR-ESS-French.pdf <u>Indonesian:</u> https://d1xeoqaoqyzc9p.cloudfront.net/app/uploads/2021/09/GFCR-ESS-Indonesian.pdf <u>Khmer:</u> https://d1xeoqaoqyzc9p.cloudfront.net/app/uploads/2021/09/GFCR-ESS-Khmer.pdf <u>Malay:</u> https://d1xeoqaoqyzc9p.cloudfront.net/app/uploads/2021/09/GFCR-ESS-Malay.pdf <u>Portuguese:</u> https://d1xeoqaoqyzc9p.cloudfront.net/app/uploads/2021/09/GFCR-ESS-Portuguese.pdf <u>Sinhala:</u> https://d1xeoqaoqyzc9p.cloudfront.net/app/uploads/2021/09/GFCR-ESS-Sinhala.pdf <u>Spanish:</u> https://d1xeoqaoqyzc9p.cloudfront.net/app/uploads/2021/09/GFCR-ESS-Spanish.pdf <u>Vietnamese:</u> https://d1xeoqaoqyzc9p.cloudfront.net/app/uploads/2021/09/GFCR-ESS-Vietnamese.pdf
Other link(s)	www.pcalp.com/impact
Remarks	An ESMS consistent with the requirements for a Category I-2 programme is contained in the 'Environmental and Social Management System (ESMS)'.
Any other relevant ESS reports, e.g. Resettlement Action Plan (RAP), Resettlement Policy Framework (RPF), Indigenous Peoples Plan (IPP), IPP Framework (if applicable)	
Description of report/disclosure on accredited entity's website	N/A
Language(s) of disclosure	N/A
Explanation on language	N/A

Link to disclosure	N/A
Other link(s)	N/A
Remarks	N/A
Disclosure in locations convenient to affected peoples (stakeholders)	
Date	September 3, 2021
Place	All National Designated Authorities were provided the link to the ESMS documents (www.pcalp.com/impact), which are also accessible from NDA offices (see contact information here: https://www.greenclimate.fund/countries).
Date of Board meeting in which the FP is intended to be considered	
Date of accredited entity's Board meeting	TBD
Date of GCF's Board meeting	Monday, October 4, 2021

Note: This form was prepared by the accredited entity stated above.

Independent Technical Advisory Panel's assessment of FP180

Proposal name: Global Fund for Coral Reefs Investment Window

Accredited entity: Pegasus Capital Advisors LP (Pegasus or PCA)

Project/programme size: Large

I. Assessment of the independent Technical Advisory Panel

1.1 Impact potential

Scale: High

1. Coral reefs provide an important ecosystem for underwater life, protect coastal areas by reducing wave energy, erosion and storm damage, and provide food security and livelihoods to more than 1 billion people worldwide through the ecosystem services, coastal protection and economic activities they generate.

2. However, climate change is warming the oceans with devastating consequences to coral reefs, which are experiencing increasingly frequent mass coral bleaching events that can eventually lead to coral death, while ocean acidification weakens reefs and slows their growth. According to the proposal, even under the moderate emissions scenario of representative concentration pathway 4.5, the sea surface temperature in the major coral regions is expected to rise between 1.18°C and 1.44°C by the end of the century, eliminating most warm-water coral reefs by 2040–2050. Coral reefs are projected to decline to 10–30 per cent of former cover at 1.5°C warming and to less than 1 per cent at 2°C warming (Intergovernmental Science-Policy Platform on Biodiversity and Ecosystem Services, 2019).

3. Corals are not only suffering from climate change but from increasing direct anthropogenic pressures from different sources. The combination of local anthropogenic disturbance and ocean warming means that up to 75 per cent of reefs are already considered threatened,¹ weakening their ability to continue providing valuable ecosystem goods and services to people.

4. Causes of anthropogenic pressures to corals include overfishing and poor management of fish resources, poverty and lack of economic opportunities, increasing coastal development, unsustainable and uncontrolled tourism, poor pollution control and waste management, and limitations of the human ability to restore coral reefs. According to the project proponents, although the global outlook for corals is bleak, there is evidence from a range of field studies and modelling exercises suggesting that efforts to manage local impacts on coral reefs can ameliorate the impact of rising temperatures and ocean acidification. In other words, from a reef management and policy perspective, the impacts of climate change increase the need to abate other stress factors on reefs.²

5. On the other hand, local drivers of degradation are deteriorating the resilience of coral reef ecosystems to climate change and jeopardizing vital ecosystem services for which the reef-

¹Burke, L, Reyntar, K, Spalding, M. D., Perry, A. L. 2011. *Reefs at Risk Revisited*. World Resources Institute, The Nature Conservancy, WorldFish Center, International Coral Reef Action Network, UNEP World Conservation Monitoring Centre, and Global Coral Reef Monitoring Network. Washington, DC.

² Hoegh-Guldberg, O., Poloczanska, ES, Skirving, W., Dove, S. 2017. Coral Reef Ecosystems under Climate Change and Ocean Acidification, *Frontiers in Marine Science*, 29 May 2017. Available at: <<https://doi.org/10.3389/fmars.2017.00158>>

dependent communities in the targeted countries have few other alternatives that can provide income, subsistence and coastal protection. In terms of coastal protection, coral reefs play an important role, together with mangrove swamps and seagrass beds, in dissipating wave energy, as climate change leads to stronger storm surges combining with sea level rise to cause coastal erosion, coastal flooding and saline intrusion in many regions.

6. Although mitigating the global increase in sea surface temperature and ocean acidification are widely out of the control of local efforts, protecting priority coral reef ecosystems and addressing local anthropogenic stressors makes reefs more resilient to the effects of climate change and better adapted to rebound from bleaching events.

7. Therefore, the Global Fund for Coral Reefs (GFCR) Investment Window intends to target the most resilient reefs by identifying those areas most likely to be either more resilient to climate change or those regions and localities where the impacts of climate change will be less extreme. These reefs act as climate refugia for other species, continuing to provide a suitable habitat despite regional climate change, and are likely to be critical in preventing further reef degradation and considerable loss of biodiversity. These less vulnerable reefs also have potential to reseed to other regions once the climate has stabilized. This process has been undertaken with the support of the 50 Reefs Initiative that has identified an optimum global portfolio of reefs for targeting coral reef conservation that have the potential to survive the impacts of accelerating climate change.

8. In this context, the GFCR aims to enhance the resilience and adaptive capacity of coral reef ecosystems and the communities that are highly dependent upon them to climate change and biodiversity loss, through unlocking and de-risking private investment.

9. The programme seeks to achieve this goal by raising a USD 500 million fund, the GFCR Investment Window (IW), that will enable the financing of 20 to 30 companies, projects and platforms across three target sectors:

- (a) Sustainable ocean production to address overfishing, destructive fishing techniques, and accelerate restoration;
- (b) Ecotourism to address unsustainable tourism and accelerate restoration; and
- (c) Sustainable infrastructure addressing pollution.

10. The GFCR will be structured as a blended finance vehicle with a junior and senior tranche.

11. The IW will be supported by a grant window (GW), that aims to establish an enabling environment for the IW, more broadly to financing coral reef resilience initiatives, and ultimately to de-risk private sector involvement in the sustainable blue economy. Grant funding from the GW targets technical assistance, capacity development, emergency grants, and monitoring and evaluation, and contributes to pipeline incubation and sourcing for the IW.

12. The GFCR IW is expected to directly benefit those individuals engaged in reef-first businesses and livelihoods, and indirectly benefit the coastal communities that depend on the targeted reef. The number of expected direct beneficiaries are 12,737, people who will have new jobs created by projects supported through the GFCR. This number was estimated based on the number of employees in similar expected businesses multiplied by 30 expected investments.

13. The indirect beneficiaries were estimated based on the number of people in the 28 target countries who live at low elevations that are protected by reefs. These estimations were derived from a study around the global estimates of the number of coral reef fisheries.³ The proposal estimates that there will be 39,585,636 indirect beneficiaries. However, the

³ Teh, LSL., Teh, LCL., Sumaila, R. 2013. A Global Estimate of the Number of Coral Reef Fishers. Available at: <https://doi.org/10.1371/journal.pone.0065397>

independent Technical Advisory Panel (TAP) considers these are only draft numbers as so far, the GFCR has only 7 no objection letters⁴ from the target countries and even if ultimately the investment applies to 27 countries, not all the coastal inhabitants will benefit from relatively small interventions.

14. Healthy reefs will, in turn, increase the health and resilience of related ecosystem services that are important in adapting to climate change (such as maintaining fish nurseries, in face of declining fish stocks and disaster-risk reduction/buffers to coastal erosion), ultimately benefiting coastal communities and sectors such as ecotourism, sustainable fishing and aquaculture, and coastal development.

15. To the TAP's questions around adaptation of who, to what and how to measure adaptation impacts, the proponents responded that the GFCR offers two pathways to adaptation:

- (a) Area 1: Enhancing resilience of vulnerable coral reef-dependent people, communities, and regions to climate change in two ways:
 - (i) Ecosystem-based adaptation projects to protect coral reefs; and
 - (ii) By creating diversified livelihoods and financial resilience; and
- (b) Area 2: Enhancing resilience of coral reef ecosystems to climate change by protecting the most resilient reefs.

16. The project presents an estimate in annex XXIII of the potential impact of the GFCR on people and planet. The methodology involves five steps to determine the area of reefs that may have resilience improved. The end results, based on a range of outputs, totalled 49,377 ha, but this was reduced to avoid double counting to a total of 29,040 hectares. This is based on the proportion of reefs considered at risk in the world.

17. Since the GFCR is a blind pool investment vehicle and, as such, has a specific portfolio of funded projects in countries that have yet to be identified, it is early to assess the real impact potential of the project.

18. In response to a request from the TAP concerning the eligibility criteria and tools to screen and monitor projects throughout the due diligence process and lifetime of the projects to ensure climate impacts specifically on coral reefs and dependent communities, the proponents submitted additional documents. These included a Monitoring and Evaluation Plan (annex 11) providing information on how impact indicators will be managed, with indicative budget, data/source, collection tools, frequency, and means of verification. This included a draft template (annex 11b) for regular monitoring of investees to support data collection for quantification of adaptation outcomes. However, this template has very few indicators on coral reefs.

19. The proponents also submitted draft eligibility criteria that provide the basis for determining whether a potential investee is within the project's scope. The draft criteria are on the right track and, according to the proponents, will be further developed with the support of the technical entities involved in the grant window. Furthermore, they provided sector-specific theories of change (annex 25) outlining key adaptation outputs/outcomes against which potential investments will be screened (as described in the draft eligibility criteria).

20. Moreover, they submitted GFCR investment principles in the aquaculture sector that clearly set out valuable scientific information for the key performance indicators and best

⁴ The funding proposal was submitted to iTAP on 21 July 2021, with 5 NOL. In response to iTAP questions on the number of NOLs, the proponents submitted 2 additional NOLs, and explained that more NOLs are expected before B30.

practice aquaculture for coral reefs. The proponents noted that they will develop screening and monitoring investments for each asset category/subsector.

21. They also elaborated a simple GFCR Investment Screening and Monitoring Approach in a spreadsheet that guides the screening and monitoring process for (potential) investees. Key dimensions covered include assessment of a baseline, policy dependencies, additionality and systemic change, and methodologies for monitoring and quantifying impact. This tool will constitute a working document that is shared within and between the investment and grant windows. The spreadsheet will be updated on a weekly basis and discussed during the weekly calls between the investment and grant windows.

22. In response to the TAP's request to provide more examples of how the GW will support the IW, the proponents also provided a sample framework of the GFCR GW programme. This tool will be used by convening agents under the GW to monitor the progress of programmes in achieving resilience of coral reef systems and communities that depend on these systems. In addition, these frameworks will also serve as a key tool to monitor how the programmes transition through different phases (short, medium and long-term outcomes), with the aim of tracking and ensuring uptake of reef-positive financial mechanisms/approaches and businesses. Frameworks such as this will be used to support development of monitoring frameworks for the IW.

23. The impact potential depends on the ability of the IW and the GW to coordinate actions in selected climate refugia areas, combining policy and control actions to protect reefs, technologies and incentives to restore and protect coral reefs and actions to enhance sustainable livelihoods.

24. The TAP considers that the screening, investment and monitoring tools provided by the project proponents to ensure climate impact are on the right track but need further work to ensure that the fund will target investments with clear climate change impact potential. The overall impact potential is high.

1.2 Paradigm shift potential

Scale: High

1.2.1 Innovation

25. The GFCR is the first fund in the world to unlock critical new sources of funding through blended finance solutions to remove stresses on coral, restore coral reefs and support vulnerable reef-dependent communities, in the face of accelerating climate change.

26. It is also one of the few funds managed by commercial fund managers such as Pegasus, that connects to the philanthropic community in a parallel grant fund able to provide technical assistance and capacity building in the sustainable blue economy. It therefore enables private and public institutions and investors to work together, de-risking the entrance of private capital in the protection and conservation of coral reefs.

27. The fund will invest in a diversified portfolio of options that could potentially involve new techniques and innovation to restore coral reefs, to avoid water contamination and to promote sustainable fishing, mariculture, and aquaculture, among others.

28. The fund adopts science-based knowledge and a systems approach to target the most resilient reefs to support conservation activities. The technical institutions of multiple actors currently joining actions to save oceans and specifically coral reefs will provide further support.

29. The theory of change is well developed, although a little ambitious, since the GFCR will eventually invest in around 30 to 50 projects/companies, in several countries, and diverse climate refugia areas. A few investments in each of the target areas will not, on their own, achieve all the expected outcomes.

30. The outcomes involve:
- (a) Increased production of food in reef-dependent communities;
 - (b) Increased protection and restoration of coral reefs;
 - (c) Growth in jobs and the local economy;
 - (d) Increased innovation to support resilience in coral reefs and communities reliant on coral reefs; and
 - (e) Increased market share of sustainable businesses in reef-dependant areas.
31. These outcomes will be achieved by investing in sustainable ocean production, sustainable tourism and sustainable infrastructure and waste management. The examples of projects presented with the funding proposal (currently in the pipeline) are very diverse, including resorts, sea cucumber farms, companies that remove plastics from the ocean, tilapia aquaculture, wastewater utility plants, green shipping and offshore clean energy.
32. There is a need to review the word “sustainability” repeated several times in the proposal. On one hand prove climate change impacts with specific criteria and on the other hand prove sustainable development co-benefits.
33. Potentially these investments could help business-as-usual to grow while coral-damaging practices simply continue in parallel. Therefore, the TAP is recommending that investment and monitoring tools currently under development are presented to the satisfaction of the GCF secretariat before the first disbursement and complemented during the lifetime of the project to track progress on the enabling environment.

1.2.2. Potential for knowledge and learning

34. The project involves a range of actors that could potentially create a community of stakeholders willing to share experiences and learn from each other. The integrated dual window model enables the GFCR to build on the respective strengths and remits of the two windows, and ultimately to mobilise finance from prospective partners on a global scale to support countries in improving their progress to achieving adaptation to climate change. The GW will ensure capacity building actions and could potentially create a platform for knowledge sharing.
35. However, the current proposal does not include much information about the GW. Therefore, it will be recommended that the IW designs the means and methodologies to ensure that there is potential for knowledge and learning in collaboration with the actors involved in each of the countries, with a specific emphasis on strengthening local capacity to protect coral reefs.

1.2.3. Contribution to the creation of an enabling environment and regulatory framework

36. Within the market study the project presents a section with detailed country-specific information such as context, stressors and drivers of degradation, including information on current policies regarding coral reefs in the selected countries.
37. The fund will rely on the GW to support the creation of an enabling environment and regulatory framework to protect coral reefs. To the TAP question on how to ensure that there are regulatory and control actions in place in the countries where the GFCR will invest, the proponents replied that during the proposal development stage, convening agents (The Nature Conservancy, Wildlife Conservation Society, World Wildlife Fund, Conservation International, MAR Fund and Blue Finance) are tasked with assessing government policy and working to

ensure project alignment with government commitments and priorities as these relate to coral reef resilience.

1.2.4. Scalability and replicability

38. The scalability and replicability will depend on the ability of the GFCR to prove validity of the model and to attract further finance. It will also depend on the opportunity to work together with the GW and the convening actors to ensure lessons learned and effective investments could be replicated in other coral reef refugia areas.

39. Overall, the TAP considers that investing in a coordinated manner through the IW and the GW in activities that will conserve coral reefs presents a high paradigm shift potential.

1.3 Sustainable development potential

Scale: High

1.3.1. Environmental co-benefits

40. The ecosystem services provided by coral reefs and associated ecosystems are especially vital for achieving nature-dependent UN Sustainable Development Goals (SDGs), including SDG 14 'Life Below Water'. In total, coral reef initiatives contribute directly to 13 SDGs through entry points that include coral reef tourism, food security and nutrition, shoreline protection, and human health and well-being.

41. Restoration activities will directly address existing degradation and enhance the capacity of coral reef ecosystems to withstand local stressors and bleaching events, thereby limiting the extent of future degradation.

42. Reduced pressure on fisheries due to an increase in mariculture and aquaculture production will result in restored fish stocks, greater biodiversity and healthier marine ecosystems.

43. The project will support the reduction in ocean contamination from land-based and ocean-based pollution and will create models to ensure eco-efficient coastal development. Some of the proposed projects, including agriculture with low-chemical and green shipping, could have the potential to support both the green and blue economies in selected countries.

44. Through the GW, the project will support enhanced marine protected areas and no-take zones, that will in turn ensure the protection of vital marine ecosystems.

45. It is estimated that reefs protect 150,000 km of shoreline in more than 100 countries and territories, reducing wave energy and heights, erosion and storm damage, thus protecting over 1 billion people (and their property) living within 100 km of reefs around the world. This results in an estimated reduction of annual expected damages from storms of over USD 4 billion globally. As sea levels continue to rise, this protection becomes vital.

1.3.2. Economic co-benefits

46. Protecting coral reefs will ensure economic benefits to communities that depend on them for their fishing activities. Six million reef fishers (many of whom are small-scale, traditional subsistence fishers) depend on coastal-reef fisheries, with an estimated value of USD 6.8 billion in 2011. Women represent about 50 per cent of the workforce in the seafood sector and 80 per cent to 90 per cent in the post-harvest sector.

47. Protecting coral reefs and supporting sustainable tourism will benefit many communities and countries that depend on this activity for income generation. Coral reefs attracted (prior to COVID-19) an estimated 70 million visitors annually with an associated expenditure of USD 36 billion.

48. Reduced economic impacts from expected damages from storms are stated in the environmental co-benefits above.

1.3.3. Social co-benefits

49. Diversified economic opportunities will be created for reef-dependent communities, often poor and vulnerable and disproportionately affected by climate variabilities. The foremost beneficiaries are those who would get (green) employment opportunities in the subsectors.

50. Capacity enhancement of communities to develop sustainable fishing and aquaculture activities will help to support sustainable livelihoods while reducing the pressure on coral reefs.

51. Awareness of the importance of coral reefs will result in more communities managing the sustainability of coastal and ocean resources as collectives.

52. Coastal communities will ensure food security, with increased and healthier proteins from aquatic food industries and better-managed community fisheries.

53. Improved health and reduced disease prevalence will ensue from sustainable infrastructure limiting exposure to pollution and waste flow into the ocean.

1.3.4. Gender-sensitive development

54. In the current absence of country-specific data, the GFCR has conducted peer-project assessments to help identify the drivers of change and the gender dynamics needed to achieve the GFCR project adaptation and mitigation goals. In the absence of concrete projects at this time, the proponents presented case studies of selected projects around the world, deriving lessons learned and recommendations for the intended private sector projects of the GFCR.

55. According to the proponents, ecosystems and ecosystem services are strongly linked to gender disparities and have significant potential to impact the gender and social relations within communities. Engaging women in the sustainable production and harvest of marine resources and in ecosystem conservation efforts can have an exponential effect in simultaneously addressing ecosystem challenges and gender inequality. Moreover, women's contributions in aqua- and mariculture are often overlooked, underestimated and/or undervalued, often resulting in women's marginalisation in the management of marine resources.

56. The GFCR presents a gender action plan, including several outcomes. It is expected that each project will develop its own gender assessment and action plan and detailed guidelines and processes will be provided for project proponents.

57. Several steps should be implemented at project level, including:

- (a) Understand fully the GFCR policy, its scope, and application;
- (b) Apply gender-related safeguarding principles;
- (c) Conduct gender-responsive stakeholder consultation;
- (d) Conduct gender analysis and baseline determination;
- (e) Develop a gender commitment statement;
- (f) Define goals and measure change; and
- (g) ending in establish gender actions.

58. The proponents present gender safeguards in the GFCR gender policy (annex 2) that are applicable for all projects. In addition, country- and sector-specific gender issues derived from gender analysis will be also assessed. These may vary from project to project.

59. Overall, the TAP considers the sustainable development potential to be high.

1.4 Needs of the recipient

Scale: High

1.4.1. Vulnerability of the country and vulnerable groups

60. The GFCR expects to invest in up to 27 countries, most of which are developing countries. As of August 9, 2021, Pegasus had received 7 no-objection (NOL) letters from: Bahamas, Belize, Comoros, Guatemala, Mozambique, Panama and Seychelles.

61. Almost all of these countries have coastal reef areas with vulnerable communities, especially those that depend on fisheries for their livelihoods. The scale and intensity of climatic and biodiversity vulnerabilities vary by countries and drivers of degradation. However, the main impacts related to the death of corals remain the same: decrease in food supply, shoreline vulnerability and decrease in tourism inflows.

62. In addition to bioclimatic vulnerabilities, the national economic and social environment can further increase the vulnerabilities of coral-dependent communities. Moreover, the economies of these countries and coastal areas are highly dependent on tourism, which has been severely affected due to COVID-19. Coral reef tourism accounts for USD 36 billion a year across coral reef countries. Of that, USD 19 billion comes from “on-reef” tourism: diving, snorkelling, glass-bottom boating, and reef-related wildlife watching. International tourist arrivals decreased by more than 50 per cent and millions of jobs have been lost, including those in the informal economy.

63. The project presents several adaptation barriers that are common to most of the selected countries, including low awareness of the economic importance of coral reefs that has led to a lack of public and private funding for initiatives that protect and enhance the health of coral reefs and associated ecosystems. There are also policy, institutional and regulatory gaps, with ministries and authorities that fail to balance coastal and marine zone development with social or environmental imperatives to prevent degradation or even destruction of coral reef ecosystems.

64. There are weak policies (in some countries, non-existent) to protect coral reefs and there is a lack of institutional capacity to oversee, monitor and enforce control over reef resources. The proposal is relying on the GW to tackle these needs, but there should be a clear strategy to invest in areas where the countries are willing to take action to protect ocean resources.

65. There is also limited private finance for reef adaptation and conservation. Public investment, which provides an important platform for private sector growth and development, is also frequently limited. Populations are more vulnerable to extreme events and to the degradation of reefs, and local governments do not have strategies, capacity or means to address their needs through large-scale programmes.

66. Investments in coral reefs are therefore very limited. Increasingly, private investment capital and innovative finance tools are needed to efficiently scale-up initiatives to save coral reefs and build the resiliency of communities that depend on them.

67. Even though all the countries are in need of additional resources to protect ocean resources, and specifically coral reefs, it is of crucial importance to ensure that countries prioritize policy actions and carry out controls to ensure the effectiveness of the fund. More

importantly, since this blended finance vehicle will involve private entities, it is expected that the recipients of the resources commit to support the overall aim of the project and not just to use its structure for their own goals.

68. Understanding that the direct recipients are private sector companies willing to invest in coral reef protection but that ultimately the beneficiaries are vulnerable coastal communities and the coral reefs on which we all depend, the TAP scores the needs of the recipients as high.

1.5 Country ownership

Scale: Medium

1.5.1. Alignment with national climate strategy

69. The proponents present a market analysis with an analysis of the selected countries in terms of reef status, policies and investment environment. As explained above, the proponents have received seven NOLs and are expecting to receive two more, from Fiji and the Philippines.

70. According to the proponents, in the course of the NOL process, the GFCR has liaised with governments in order to ensure that they are in alignment with existing policies around coral reef preservation and other sustainability initiatives, and to ensure that the GFCR both capitalizes on and promotes political momentum on these issues. This process has included iterative engagement with, for instance, representatives of target countries to articulate the compliance and complementarity of GFCR with existing country commitments and strategic visions.

71. Not all countries have clear policies and strategies to protect coral reefs. However, most of the countries have climate change strategies. There has been an effort from the project proponents to engage with national designated authorities (NDAs) to clarify the position of each country's nationally determined contribution on marine and coastal measures. These NDA discussions have enabled direct conversations with relevant government bodies dedicated to marine protection in general and coral reefs in particular. But there is a lot of room to provide policy support.

72. Convening agents will be tasked to engage with all relevant actors at the national level in the process of project selection and due diligence to assess government policies and ensure project alignment with government commitments and priorities as it relates to coral reef resilience.

73. Moreover, the GFCR has been set up by a large alliance composed of the UN Development Programme (UNDP), UN Environment Programme (UNEP), UN Capital Development Fund (UNCDF), Paul Allen Foundation and Prince Albert II of Monaco Foundation, which in turn bring together a series of global and regional actors identified below, each of which is in full liaison with the ministries of the respective national Governments:

- (a) Belize, Guatemala, Honduras and Mexico: Mesoamerican Reef (MAR) Fund;
- (b) The Bahamas: The Nature Conservancy, Bahamas National Trust, Bahamas National Protected Areas Fund, Coral Vita, Reef Rescue;
- (c) Kenya and Tanzania: Wildlife Conservation Society with Okavango Capital, Blue Ventures, UNEP;
- (d) Indonesia: Conservation International, Blue Abadi Fund, Bird Head Seascape, Coalition on Media and Education for Development Africa Forum (CAFOR);
- (e) Philippines: Blue Finance together with, Blue You, Conservation International, Rare, University of the Philippines;
- (f) Fiji: UNDP;

- (g) Maldives: full programme still under development; and
- (h) Solomon Islands; project concept notes under development.

74. However, some of the NOL countries are not in the above list. There is therefore a need to create a similar coalition of convening agents and actors to work in those countries, for example, Comoros, Mozambique, Panama and Seychelles.

75. It is expected that all major stakeholders, including UN agencies, national Governments and non-governmental organizations, will individually and collectively associate at different levels, involve the relevant national ministries and agencies, and engage them in supporting the work around coral reefs. Unless a joint effort takes place, the individual investments will not make a difference in ensuring the overall purpose of the project protect the last coral reef refugia areas in the world. In particular, promoting selected sustainable businesses will be ineffective if it is not accompanied by policies and incentives to scale them up, as well as enforcing of legislation or regulations to prevent unsustainable practices.

1.5.2. Capacity of accredited entities and executing entities to deliver

76. Pegasus Capital Advisors, L.P. ("Pegasus"), a Delaware limited partnership is an accredited entity (AE) to GCF. Pegasus is a leading global private markets impact investment manager. As the first United States private equity fund manager with GCF accreditation, the company is dedicated to fostering sustainable growth while providing attractive returns for investors. Founded in 1996, with a track record in commercial impacting investing, Pegasus has invested more than USD 2.6 billion.

77. To deliver the project Pegasus will create the following entities:

- (a) The "GFCR Fund" – a pooled investment vehicle which is expected to be a special limited partnership under the laws of Luxembourg;
- (b) The "General Partner" – expected to be a société à responsabilité limitée (ARL) under the laws of Luxembourg law. The General Partner will be managed by employees of the AE or its controlled affiliates;
- (c) The "Manager" – expected to be a Delaware limited liability company. The Manager will be controlled by employees of the AE or its controlled affiliates, except to the extent the Manager is required by law to have one or more employees, managers or directors in its jurisdiction of formation. The Manager will be owned, directly or indirectly, by either the AE or the AE's sole limited partner, Craig Cogut;
- (d) "GCF Reef Holdings" – an entity to be formed by the AE, which is expected to be a Delaware limited partnership. GCF will be the sole limited partner and sole economic owner of GCF Reef Holdings. Holdings GP will be the general partner of GCF Reef Holdings; and
- (e) "Holdings GP" – is expected to be a Delaware limited liability company. Holdings GP will be controlled by employees of the AE or its controlled affiliates. Holdings GP will be owned, directly or indirectly, by either the AE or the AE's sole limited partner, Craig Cogut.

78. The investment activities of the GFCR will be overseen by the AE, via the GFCR Investment Committee. The Investment Committee will be comprised of a majority of members appointed by the AE and will act by majority vote.

79. The overall strategy of the fund is to work in a dual model through the grant window (GW) and investment window (IW). Both windows will perform independent but complementary and coordinated roles to seek to maximise impact of the GFCR.

80. Grant funding from the GW targets technical assistance, capacity development, emergency grants, and monitoring and evaluation, and contributes to pipeline incubation and sourcing for the IW. The GW delivers its mission with the support of the UN Multi-Partner Trust Fund Office (UNDP, UNEP, UNCDF), the Governments of France, Germany and the United Kingdom, and the private foundations, Paul G. Allen Family Foundation and Prince Albert II of Monaco Foundation. A group of convening agents composed of The Nature Conservancy, Wildlife Conservation Society, World Wildlife Fund, Conservation International, MAR Fund and Blue Finance, will work together to maximize the impact of the GFCR. All of these entities have proven capacity to work in support of ocean resources.

81. The governance around the GW and IW is designed to work in a collaborative and efficient manner. The GW will act as an observer in the IW Investment Committee, and IW will also act as an observer and advisor to the Executive Board of the GW.

82. Key stakeholders from the GW – the UNEP, UNDP and UNCDF – will be involved in pre- and post-investment activities, including sourcing, due diligence, monitoring and reporting, and will be able to provide guidance, knowledge and access to relevant networks as required.

83. The GFCR Advisory Board will adopt a shared focus on the strategy for and progress of the two windows and will advise on strategic issues advanced by both the Investment Committee and the Executive Board. The Advisory Board's scope includes the development of guidance to both windows based on the evolution of best practices in the fields of coral reef conservation, impact investing (including investment standards), blended finance, investment standards and sustainable business development.

84. In the view of the TAPs view, the Advisory Board should play a vital role in ensuring the overall strategy of the GFCR (GW and IW) and should therefore meet more than just once a year. Moreover, as there will be regular and ad hoc meetings taking place between the IW and the GW, involving the UN Global Team and Investment Committee to align on project and investment priorities, there could be an opportunity to involve governments at least once a year to also align on their strategies to protect coral reefs and ocean resources.

1.5.3. Engagement with civil society organizations and other relevant stakeholders

85. Pegasus has contacted the NDAs mainly to ask them for their NOLs. The level of engagement has been around sending the concept note and funding proposal, presentation of the concept, and exchange of questions and responses. This is a major weakness of the proposal, since the level of engagement with governmental actors has been low.

86. To mobilise stakeholders in each of the countries, the GFCR is relying on actors involved in the GW. The GW is mobilising its network of internal resource and external partners on an ongoing basis. The IW is also mobilising local stakeholders by either leveraging the EA and BNP Paribas internal resources or by involving intermediaries (R20 and Systemiq).

87. There have also been consultations with the convening agents activating their local networks to enhance the fund's access to critical political, social and economic stakeholders in target countries, including government, other civil society organizations, and the private sector. They will also contribute to pipeline development through identifying potential projects for consideration by both the IW and GW.

88. The proponents present a GFCR stakeholder consultation and engagement policy taken from other similar projects, but not necessarily aligned with questions and objectives around coral reefs and coastal communities. Moreover, on the project level, the revised environmental and social management system (ESMS) stakeholders' concerns are captured and potential risks are adequately identified; groups and peoples whose lives might be affected by the project are properly consulted to verify and assess the significance of any impacts; affected groups and

communities participate in the development of mitigation measures, in decision-making regarding their operationalization, and in monitoring their implementation.

89. However, both in the stakeholder consultation policy and in the ESMS, there needs to be much more refinement to ensure that the procedures are not only to avoid potential social and environmental risks and to ensure that people are not affected. There also needs to be a more participatory approach to really involve communities in designing the projects and to have a clear focus on indicators to protect coral reefs and livelihoods of coral reef-dependent communities.

90. Overall, the TAP considers that countries should have more ownership of the GFCR, even investing in the proposed investment and grant windows, and proving that they are seriously prioritizing actions to protect ocean resources considering climate change. Since to date the project has received only a few NOLs and has little information on the real priorities of the countries in this crucial endeavour, the overall score for country ownership is medium.

1.6 Efficiency and effectiveness

Scale: Medium–High

1.6.1. Cost-effectiveness and efficiency

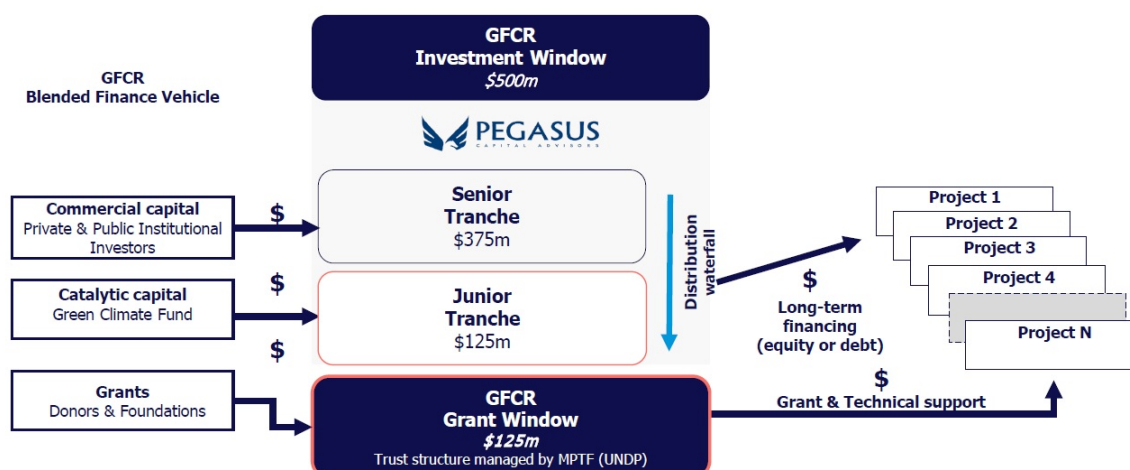
91. The requested GCF amount is up to USD 125,000,000 for funding the Funded Activity (the “GCF Proceeds”) that will expect to leverage an additional USD 375 million for a total of up to USD 500 million.

92. The Fund Subscription Agreement will set forth the capital commitment of GCF Reef Holdings to the GFCR, which will be USD 125 million. The proposal further specifies that:

- (a) GCF Reef Holdings will unconditionally commit USD 25 million at the initial closing, which amount will be increased to USD 50 million if the GFCR procures at least USD 10 million of additional co-investment at the first closing; and
- (b) The remainder of the commitment will become unconditional at subsequent closings in an amount such that, after giving effect to such closing, GCF Reef Holdings represents no more than 25 per cent of aggregate commitments to the GFCR.

93. Furthermore, for each disbursement, the GFCR should ensure that at least 60 per cent of the funds previously disbursed have either been cumulatively spent or disbursed to the funded activity or are expected to be spent or disbursed within 30 calendar days after receipt of the disbursement.

94. The GFCR will be structured as a blended finance vehicle with a junior and senior tranche. The public contribution to the junior tranche will seek to leverage up to three times that amount in private capital in the senior tranche. GCF participation in the GFCR will be in the form of a junior limited partnership interest (the “junior interest”) provided that, if after the final closing of the GFCR, GCF Reef Holdings represents more than 25 per cent of the total commitments to the GFCR, the portion of GCF Reef Holdings’ commitment in excess of 25 per cent will automatically be converted into senior limited partnership interests (the “senior interests”). It is expected that GCF via GCF Reef Holdings will be the sole investor in the junior interests.



95. Further mobilisation is expected at the portfolio company level where the leverage ratio is just over 1:3 (i.e. every dollar of GFCR capital deployed will mobilise an additional USD 2.4 of debt or equity). The GFCR aims to adhere to the OECD blended finance principles of additionality and minimum concessionality to ensure the viability of the GFCR while mobilising private capital rather than crowding out private investments. The mobilisation ratios expected are the following:

96. Equity-only leveraging effect is 1:0.3 per 90 per cent of the GFCR. At portfolio company level, the GFCR will largely take control equity positions on the target investments. In many cases, however, GFCR expects to have additional equity co-investors. In a conservative scenario, each USD 1 of equity invested in a company is expected to generate on average USD 0.33 of additional equity.

97. **Debt**-only leveraging effect is 1:1.5. Taking a conservative approach, Pegasus believes that, given its track record, the average investee balance sheet could consist of 60 per cent debt and 40 per cent equity. The debt is expected to be provided by additional third parties such as local or international banks.

98. Venture Capital (VC) leveraging effect is 1:3 per ~10 per cent of the GFCR. It is expected that approximately 10 per cent of the portfolio may be dedicated to VC investments and/or convertible debt/mezzanine positions. Given the nature of VC investment, the assumption is that GFCR will hold on average 25 per cent of the portfolio company, granting a control over the decisions of the investee while giving room for additional equity funding rounds. The mobilisation ratio of these types of investments is 1:3.

99. According to the proponents, dedicating part of the fund to venture capital investments allows the GFCR to participate in the effective scale up of disruptive technologies which will be sustainability game changers, especially in the sustainable ocean production industries that the GFCR intends to invest in.

100. Aggregating 90 per cent equity (with a 1:0.3 mobilisation ratio), 40 per cent debt (with a 1:1.5 mobilisation ratio), and 10 per cent VC or other instruments (with a 1:3 mobilisation ratio), the projected leverage downstream in the portfolio companies is around 1:2.4.

101. In relation to the term sheet some points should be noted:

1.6.2. Operational expenditure costs and fee structure

102. Pegasus will invest (Pegasus commitment) 1 per cent in the GFCR. The actual amount could range from USD 250.000 to USD 5 million of co-financing, depending on fund raising.
103. The management fee is in line with accepted commercial benchmarks and in the circumstance that the fund does not yield any return, the fee will be recovered from the capital, mostly given by the GCF.
104. The GFCR budget estimates management expenses and partnership expenses. The budget presented to iTAP did not have disaggregated information, and therefore these numbers are difficult to assess. The TAP recommends that Pegasus provides the GCF secretariat with a precise list of the team members and what they will be paid, as the largest part of the budget is salaries.
105. Pegasus is already managing the GCF funded project “Global Subnational Climate Fund” for USD 150 million and USD 18.5 million grant, and during this round, Pegasus is also presenting the CRAFT project. It is very important that for each of the investment projects, Pegasus involves the correct team of experts able to respond to the specific project. It is also important to ensure that the teams managing the GCF funding vehicle are clearly identified to avoid overlap of responsibilities.
106. Pegasus will receive AE fees in addition to the management fee at the GFCR level.
107. The administrative and third-party costs that are excluded from the management fee and are charged separately to the GFCR, include additional resources for consultants. This expense on top of the management fees is not substantiated sufficiently in the proposal, and the explanation around the need for these consultants is not presented.

1.6.3. Waterfall and performance fee

108. The waterfall structure lays out how funds will be distributed to investors. Under the existing waterfall structure, senior investors other than GCF get their investment amounts, fee reimbursement and target return (higher than then the GCF return) first, before GCF (junior investor) recovers any funds. GCF comes next in the waterfall structure and recovers its investment and fees and gets a return before Pegasus can earn a performance fee. Pegasus is next in line to collect a performance fee calculated at a percentage of the distributable funds.

1.6.4. Fund raising

109. As explained above GCF will commit USD 25 million initially and USD 25 million once Pegasus has raised USD 10 million. GCF commitment is linked to future fundraising thereby maintaining a 25 per cent share of the fund until reaching the USD125 limit.
110. There is a scenario where Pegasus fails to raise much of the money and the fund becomes a majority GCF funded project. GCF would be absorbing a high percentage of costs and fees including all external expenses (accounting, custodian, etc.).
111. In the view of the TAP, the effectiveness and efficiency of the GFCR is undermined by the overall operational expenditure costs and AE fee, especially if the fund is unable to raise more capital. There is a need to balance commercial vehicles using concessional resources from GCF for public goods. Moreover, the TAP believes that the level of concessional given to the fund manager could be revised in two ways:
- (a) In terms of waterfall structure and performance fee, by considering making the GCF target return the same as that of senior investors. Although there is some benefit in GCF having a lower target to senior investors in certain limited scenarios, most of the benefit accrues to Pegasus. Arguably the senior investors would not be impacted very much by this since they get their target return first; and

- (b) In terms of fund raising, by linking the second USD 25 million GCF contribution to an amount higher than USD 10M. For example, USD 75 million would make more logical sense and it would be an important indicator to GCF of the AE's confidence in fundraising. Another alternative worth exploring is capping the percentage of GCF capital in the junior share to 30 per cent of the amount of non-GCF funds raised. These two approaches could avoid a scenario where the fund is GCF majority funded and a small amount of senior investors (and the manager) are over subsidized by GCF.

112. It is difficult for the TAP to estimate the efficiency and effectiveness of the fund, since it depends on the ability to leverage additional resources and, more importantly, to invest in transactions that prove impact potential to protect the coral reefs of the world. As stated in the impact potential section, isolated investments in selected coral reef regions will not make an impact, unless there are effective legislations in place, control and sufficient action in one coral reef area to shift the path of coral reef degradation.

113. Overall, the TAP considers that the efficiency and effectiveness score is medium-high.

II. Overall remarks from the independent Technical Advisory Panel

114. The independent TAP recommends that the Board approve the project subject to the following conditions:

- (a) Prior to the execution of the FAA, the Accredited Entity shall deliver, to the satisfaction of the GCF secretariat, the final versions of the monitoring plan and annexes, eligibility criteria and investment principles for all the GFCR sectors.
- (b) During the lifetime of the project present annual reports including joint impacts of both the grant window and investment window in selected coral reefs.

Reply to the Independent Technical Advisory Panel assessment findings (FP180)

Proposal name: Global Fund for Coral Reefs Investment Window

Accredited entity: Pegasus Capital Advisors (PCA)

Impact potential

The assessment noted that screening, investment and monitoring tools provided by the AE are on the right track but need further work to ensure that the fund will target investments with clear climate change impact potential. The project proponents will further refine these tools as a condition to FAA execution.

Paradigm shift potential

The iTAP asks that the GFCR review its use of the word ‘sustainability’ in the FP. The GFCR is happy to review the FP and make changes to wording in order to better distinguish fund impacts delivering genuine ‘sustainable development’ co-benefits vs. fund impacts that address the effects of climate change. The assessment notes that the Theory of Change, while well developed is perhaps over-ambitious, given the limited number of discrete investments that will be made across a wide geographic area. The GFCR acknowledges that not every outcome noted in the Theory of Change will occur in every investment location. However, the GFCR does strongly feel that given the fund’s focus on three core investment themes, its systems-led approach (which will encourage multiple synergistic investments in a given area), and its interactions with the Grant Window’s activities, it is likely that in the regions that receive investment, several of the outcomes described in the ToC can be simultaneously achieved, and ultimately drive overall fund impact through delivering critical adaptation benefits to reef ecosystems and vulnerable communities.

The assessment comments that the FP does not include much information on the GW, and recommends that the IW design the means to ensure that there is ongoing knowledge and learning collaboration between in-country actors for the two windows, in particular in order to help strengthen local capacity. Annex I below includes an example form The Bahamas on how Convening Agents are key actors to ensure that local organizations have key roles in GW programme implementation which will also open the doors for IW investments. The GFCR notes that the framework agreement for the IW and GW is under development and nearing completion. This agreement provides guidance on how IW and GW actors will work together and collaborate, and as such addresses this consideration.

Sustainable development potential

Needs of the recipient

The assessment acknowledges that the countries within the programme are characterized by coastal reef areas with vulnerable, reef-dependent communities for whom the degradation of coral reefs represents a direct and pressing threat to food supply, shoreline integrity and tourism revenues. It appreciates that while the recipients of funding are private sector companies investing in coral reef protection, it is ultimately vulnerable coastal communities who are the beneficiaries.

The assessment recognizes that weak policies and institutional environments are a key current adaptation barrier in many countries, and appreciates that in the context of the GFCR, the GW will play a key role in taking steps to strengthen these elements. The assessment also suggests that there should be a clear strategy to invest in areas where countries are willing to take action to protect ocean resources.

While the GFCR agrees that investing in areas where local governments and institutions are amenable to strengthening their capacities and policies on ocean protection is optimal, it also notes that in some cases investment may be part of the means through which policy change is enabled and incentivized. For instance, investment may increase the evidence base that governments require to make policy change. A strong private sector in the areas of focus will also lobby local governments for such policy changes. Besides, it will build track record to demonstrate that reef conservation, resilience and effective ecosystem-based adaptation contributes to economic development, creating stronger incentives for action to attract investment. In parallel, grant window activities and co-financing from partners are likely to be directed towards enabling policy support, capacity building and synergistic financing mechanisms. As such, investment may not exclusively target areas where local institutions have already signaled an intention to strengthen the policy or enabling environment, as the expectation is that the process of investment will in some cases be key to building these intentions.

Country ownership

The Accredited Entity is confident that, given the current trajectory for receipt of NOLs, it will obtain additional NOLs before the Board publication deadline. The number of NOLs has risen from 5 at the point at which the FP was submitted to iTAP, to 7 by the time of the iTAP call, and has now risen to 15. In the last two weeks alone, the Accredited Entity received NOLs from Fiji, Mexico, Jamaica, Kenya, Colombia, Ecuador, Sri Lanka and Philippines.

The assessment notes the role of the GFCR Advisory Board in monitoring the overall strategy of the two windows. The Accredited Entity agrees that the advisory board should meet more frequently than once per year. The TORs for the advisory board have not been finalized, but Pegasus will ensure that the TORs call for quarterly meetings.

The assessment conveys concerns about engagement with governmental actors and other relevant stakeholders (paras. 82-87). Stakeholder engagement is an important tenet of GFCR and is reflected in the GFCR's ESMS. We expect to engage in more robust stakeholder engagement, including relevant government and civil society organizations, during the evaluation and development stage for individual investments.

The assessment suggests that there is potential for the fund to provide policy support to countries on marine protection and coral reefs. It also emphasizes that unless a joint effort across all major stakeholders takes place in terms of driving policies and incentives to scale up sustainable businesses, and enforcing legislation or regulation prohibiting unsustainable practices, then individual investments will not drive the fund's desired overall impact. As noted above, the GFCR expects that it will drive favourable policy change through the combined effect of GW activities and actors, the fund's powerful demonstration effect, and by providing the right incentives for policy change that will attract further investment. The Grant Window and Investment Window will also work closely together in countries to ensure that a coherent and consistent strategy is pursued for creating favourable enabling environments. The Framework Agreement which is currently being finalized will provide more details on the ways of working that will enable this collaborative approach.

iTAP also notes that not all NOL countries currently have specific Convening Agents or dedicated organizations charged with building presence and relationships on the ground. The GW is currently working to build relationships with coalitions of actors working within those countries, either through the fund's existing partners, or where necessary, through relationships with new partners. In this way, the GFCR will strive to ensure that it has local relays with which it can work in every NOL country. GCF will have access to the updated list of convening agents through the seat it proposes to have at the Advisory Board.

Efficiency and effectiveness

In response to iTAP's specific concerns, it is important to note that the GFCR budget is an estimate based on a number of assumptions over a period 15 years. In particular, the budget makes a number of assumptions about the ramp-up of the investment team that will need to be hired to service the fund.

For the sake of clarity, the GFCR budget made a number of simplifying assumptions. These included assuming no return of capital and assuming that there would be no recycling of capital. In practice, the fund expects returns, and recycling of capital is an important tool that fund managers use to deploy more of a fund's commitments in investments as opposed to fees. Given Pegasus' track record in this regard (see chart below), we believe it likely that GFCR will recycle sufficient capital such that a substantial portion of the commitments will be deployed in investments. The chart below shows a summary of Pegasus' prior fund commitments and cumulative invested capital:¹

(All figures in \$mm, except percentages)			
	Committed Capital	Cumulative Invested Capital	% of Commitments Invested
Fund V	623.7	666.4	106.8%
Fund IV	750.0	740.0	98.7%
Fund III	316.3	356.1	112.6%
Fund III	561.0	630.1	112.3%
Fund I	232.6	236.2	101.5%

Consistent with Pegasus' prior experience, the Accredited Entity will seek to deploy as much of the GFCR's commitments into investments as possible.

The assessment requested additional details on the team that will manage the fund. As the fund is still in its developmental stages, the dedicated GFCR team will be built-up as the fund is raised and capital is deployed. As a condition to FAA effectiveness, Pegasus will hire a senior-level person with appropriate sector and geographic experience to serve as head of investments. That person will work with the existing Pegasus team to further build out the mid-level and junior employees with appropriate sector and geographic experience. The employee compensation in the budget is primarily an estimate, based on Pegasus' prior hiring experience, of the cost of the team. In addition, existing Pegasus employees, including Craig Cogut, David Cogut and Brian Friedman, will dedicate a portion of their time to GFCR as well, in addition to their other responsibilities, including the Global Subnational Climate Fund. The Pegasus team has ample experience managing multiple products, and we fully expect to devote sufficient time and attention to GFCR (as well as any other Pegasus initiatives).

The Accredited Entity acknowledges iTAP's comments concerning the level of concessionality (para. 99). However, the Accredited Entity believes that the level of concessionality and de-risking provided by the GCF will be key to mobilizing capital for the fund, given that the GFCR is not only a new fund, but also the first to be dedicated to SDG-14 and that it is adopting a pioneering dual-window approach

This is especially critical given that fundraising for the senior tranche will focus on unlocking private and commercial capital, including institutional investors and banks. As the junior loss tranche, GCF financing will be instrumental in aligning the risk and expected return profile of the fund with the appetites of

¹ As of 12/31/2020



these target investors. Accordingly, the Accredited Entity respectfully conveys its objection to decreasing GCF's concessionality as proposed.

Overall remarks from the independent Technical Advisory Panel:

The Accredited Entity accepts the conditions from iTAP.

Annex I

GFCR Grant Window Convening Agent Partnership Example

The Bahama Reefs Programme, whose Convening Agent is The Nature Conservancy (TNC) builds on the experience of TNC in The Bahamas and on the established network of partners working to conserve and restore coral reefs in the country. TNC as a global science-based conservation organisation has been developing knowledge and tested approaches to protect coral reefs in different regions, including in several Caribbean countries.

As Convening Agent, TNC has assembled a wide array of actors to deliver the expected programme results (see table below).

Co-recipients organisations	
(UN organisation or non-Profit who can be eligible for direct access to the GFCR)	
UN Capital Development Fund (UNCDF)	UNCDF will play a key role to channel grants and concessional loans to some of the interventions included in the preliminary pipeline. UNCDF is part of the GFCR investment continuum through its Blue Bridge. UNCDF has not supported projects in The Bahamas yet, but it has the required technical capacity to work with the projects TNC identified.
Partner organisations (e.g., government, NGO, private business; not receiving GFCR funds, local public or commercial bank, financial institution)	
Access Accelerator Sustainable Business Development Center (SBDC)—NGO	SBDC is a Bahamian non-profit founded in 2018 by the University of the Bahamas, the Bahamas Chamber of Commerce and the Ministry of Finance. By the end of the last fiscal year, SBDC had funded USD 49.9 million to Micro, Small and Medium-sized Enterprises (MSMEs), with 9,488 clients registered. SBDC provides the required technical capacity in the financial aspects, which complements TNC skills that are more focused on the environmental and social aspects. SBDC will operate a specific Blue Economy programme under the BahamaReefs in partnership with TNC.
Bahamas Protected Areas Fund (BPAF)—NGO	BPAF is a national conservation trust fund created by the BPAF Act in 2014 to help ensure sustainable financing for the Bahamian marine parks. It is a body corporate governed by a multi-stakeholder Board of Trustees. One of its responsibilities determined by the Act is to establish and maintain a Register of Protected Areas. BPAF will support TNC carrying out grantmaking for non-profits within the programme, and convening stakeholders supporting enabling conditions.
Perry Institute for Marine Science (PIMS)—NGO	PIMS conducts research throughout The Bahamas and other parts of the Caribbean. PIMS also conducts a wide range of conservation, education and citizen science programmes. It is one of the oldest leading research organisations in The Bahamas founded more than 50 years ago, in 1970. PIMS and TNC have a long-standing consolidated partnership, collaborating in specific projects, such as the Bahamas Coral Reefs Report Card. PIMS will provide the most accurate information on the current status of

	Bahamian reefs and will be a hub for the programme to work with a network of small dive shops and other tourism businesses in restoration efforts.
Elizabeth Harbour Conservation Partnership (EHCP)—NGO	EHCP is a community-based Bahamian non-profit organisation conceived during the Exuma GEF-IWCAM Project . Its mission is to guide the ecologically sustainable development of the coastal zone and waters of Elizabeth Harbour with the aim of enhancing tourism, fisheries, and recreational use, through stakeholder education and participation, and collaborative management of harbour facilities. It will implement a community-based business focused on the operation of pump-out services, environmental monitoring, and the management of moorings.
Bahamas National Trust (BNT)—NGO	BNT is a non-profit, non-government, membership organisation founded in 1959 by the BNT Act. It is governed by a 29-member council made up of appointed representatives from some of the most prestigious conservation and scientific organisations in the world and from government. BNT currently manages 32 MPAs in the country. It will implement new structures and revenue streams in Abaco MPAs with the support of Blue Finance. BNT has the mandate to potentially replicate the experience in Abaco to other of its managed areas.
Blue Finance—NGO	Blue Finance has a track record of establishing blended finance solutions for the management and sustainable financing of MPAs. The NGO implements collaborative management agreements between non-profit partners and local governments, providing technical assistance, as well as management and marketing expertise. It has projects in MPAs in the Dominican Republic and in Belize, successfully attracting private finance. It is a direct partner of GFCR.
Coral Vita—private company	Coral Vita is a for-profit founded in 2015 with a land-based coral farm established in Grand Bahama in 2018. Its vision is to create a global network of high-tech coral farms to support coral restoration. It has an ambitious business model to provide different services around coral restoration, including tourism, education, increased resilience and reef repair. It will implement the expansion of its business and support the development of new restoration technologies to scale up restoration.

GFCR Gender Assessment

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1. Overview

The Global Fund for Coral Reefs (GFCR) *Gender Assessment* serves as the foundation to strengthen the programme's responsiveness to the multiple, culturally-derived principles of gender equality and women's empowerment, and to address the links between gender equality, climate adaptation, and environmental sustainability. The Assessment informs the accompanying *Gender Action Plan*, both at fund and project level, with indicators and targets to support GFCR commitments to and engagement with women, men, girls and boys, including those from marginalized communitiesⁱ, in compliance with GCF and GFCR gender policies. The Assessment and Action Plan support the GFCR Environmental Social Management System (ESMS).

The Assessment builds upon quantitative data and qualitative evidence derived desk review of existing literature, case studies, and secondary databases, as noted in the Sources section. Like the ESMS, the GFCR Gender Assessment and Action Plan are living documents and will be regularly updated to reflect key developments, including:

- Portfolio:** The GFCR aims to fund projects in up to 28 selected countries. The GFCR is a blind pool investment vehicle and, as such, specific portfolio of funded projects, and indeed the countries in which those projects may occur, have yet to be identified. Relevant country-specific, sex-disaggregated gender data must be assessed as the prospective project pipeline is developed and host countries become known.

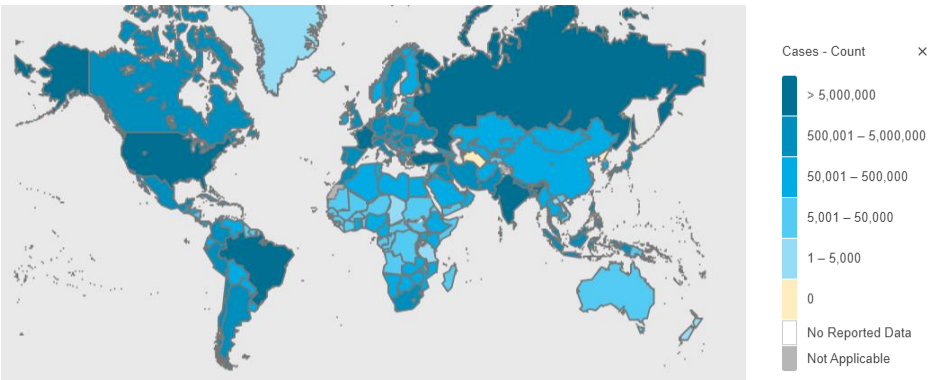
2. **COVID-19:** The full impact in the long term of the global COVID virus is unknown. Findings have already suggested that it has had differentiated impacts in the lives of men and women. With respect to reproductive work, women and girls, already disproportionately responsible for household duties, including water, food and fuel collection; food preparation; and taking care of children as well as elderly and ill relatives, have experienced heightened levels of responsibility in the midst of the pandemic and subsequent stay-at-home orders. In addition, home quarantines, market impacts and food shortages have also been found to increase household tensions and, as a result, women have been exposed to higher risks of domestic violence. The Assessment and Action Plan will be updated as virus-related development, people differentiated impacts and strategies for remediation become more clear.

1.1 Country Ownership

The Fund investment focus is on regions that depend on coral reefs for food, protection, and income. It seeks to stimulate local government as well as select private sector entities and philanthropies to implement effective management of land/seascapes that integrate climate change adaptation and climate resilience planning to enhance the resilience of coral reef ecosystems in select SIDS and LDCs. However, the GFCR fully adheres to the principle of country ownership. The Gender-responsive Assessment and Action Plans for every funded project will seek to align with prevailing international ratified legal frameworks, regional and national gender policies, or other public policy for gender equality and women’s empowerment. The assessment and action plan will seek also to align the project with other national development strategies that promote equal opportunities, poverty reduction and sustainable use of natural resources whether in the intervention region or the sector. This will include analysis of the gender equality landscape and data relevant to the host country and in the targeted sector(s), including Nationally Determined Commitments (NDCs).ⁱⁱ

1.2 COVID Assessment

The GFCR will begin implementation before the impacts of the global COVID-19 virus crisis are fully known. However, it is clear that the impacts will be felt deeply in the host countries in which the GFCR plans to invest (see Graphic 1, below). With respect to gender-related impacts, the Committee for the Coordination of Statistical Activities (UN-CCSA) concludes that COVID-19 will disproportionately impact the vulnerable and compound existing inequalities. Impacts may include food shortages, mobility restrictions, decreased access to health care and education, higher unemployment, and increases in domestic violence.”ⁱⁱⁱ



Graphic 1: Confirmed cases of COVID-19, July 2021

The COVID-19 pandemic is threatening fragile gains on gender equality and women's rights. As countries respond to the crisis, sex-disaggregated data is critical to examine the differential impact on women and men towards evidence-based decision-making. Globally, women on average do three times as much unpaid care and domestic work as men – a workload that intensifies with school closures and when health systems are overloaded. Additionally, research has begun to surface indicating that women are more vulnerable to losing their jobs than men in response to the crisis. Widespread job losses will have long-term impacts for women's economic independence and security. With 740 million women globally in informal employment and a majority employed in services, women are being, and will continue to be, particularly hard hit by the impacts of the COVID crisis.^{iv} Indigenous communities and specifically women and children are also more vulnerable due to overcrowded housing, unsafe water, and poor access to healthcare.^v

Assessments of social impacts show that the COVID-19 crisis has disproportionately harmed a number of vulnerable groups, including women employed in temporary jobs, low-skilled workers, small-scale fishers and businesses, Indigenous community members and younger workers. Women represent the majority of the workforce in the ocean economy sectors hardest hit by the crisis—about 50% of workers in the seafood sector, 70% in aquaculture, 80–90% in the post-harvest sector of small-scale fisheries and 54% in tourism. As businesses lose revenue, many will reduce their costs by laying off workers, starting with the temporary and casual jobs disproportionately occupied by women. Women are likely to be most affected by job losses in the tourism sector (based on the proportion of women employed in low-skilled jobs in the sector).^{vi}

The GFCR Gender-responsive Assessment and Action Plan will be updated on a regular basis to reflect the impacts of COVID in host countries and related project sectors.

2. Project Category Assessment

As previously noted, the GFCR will be a fund of projects that may operate in up to 28 countries. GFCR is a blind-pool investment vehicle, meaning the specific portfolio of funded projects, and indeed the countries in which those projects will occur, will not be identified in advance. At such time as host countries and prospective pipeline projects are identified, GFCR will seek country-specific, sex-disaggregated data by project type to inform gender-responsive project design and implementation. This activity will be supported by framework guidelines on gender assessment, to ensure that project proposal and implementation mainstream gender.

Coastal communities are heavily reliant on marine resources for their livelihoods and food security. Engaging these communities in conservation, restoration, and sustainable management of natural habitats can provide much-needed income in the short-term, while building socio-economic resilience as countries strive to revitalize their coastal economies.^{vii}

In the current absence of country-specific data, the GFCR has conducted peer-project Assessments to help identify the drivers of change and the gender dynamics needed to achieve the fund's project adaptation and mitigation goals. This will help to understand how the fund can address gender vulnerabilities and design specific gender elements in the different project categories.

The GFCR will invest in the following project categories (all Category B or C):

1. Sustainable ocean production to address overfishing, destructive fishing techniques, enhance food security and restore degraded coral reef ecosystems

- 2. Ecotourism to address unsustainable tourism and create revenue streams to enhance coral reef protection and restoration
- 3. Sustainable infrastructure and waste management to address pollution

GFCR has assessed each project category beginning with the Gender-Related Vulnerabilities and Capacities for Change in GCF Projects.^{viii} In addition, the following assessment and information is framed using the *Six Domains of Gender Analysis Framework Approach*^{ix} including:

- 1. *Access* - to resources, income, services, employment, information, and benefits, poverty rate, formal / informal employment, unemployment, division of labour;
- 2. *Knowledge, Beliefs, and Perception* - commonly held beliefs, perceptions, and stereotypes, mobility, vulnerable groups;
- 3. *Practices and participation* - adult literacy rate, skills training and gaps, attendance at meetings and training courses, and accepting or seeking out services;
- 4. *Time and Space* - how time is spent and how men and women each contribute to the welfare of the family, community, and their society;
- 5. *Legal rights and status* – legal status of women, access to healthcare, access to and management of resources (economic, financial, physical, natural, other assets), access to ownership and recourse;
- 6. *Power and Decision Making*– existing gender inequalities that may be exacerbated by project impacts, anticipated differences in vulnerability and adaptive capacity^x, use of household and individual economic resources, choice of employment.

The peer projects were selected based on their suitability for GFCR. Although some projects were implemented by NGOs, important lessons and recommendations can be drawn from the cases nonetheless, which contribute to a private sector and business-oriented approach.

2.1 Sustainable ocean production to address overfishing, destructive fishing techniques, enhance food security and restore degraded coral reef ecosystems

Table 4: - GCF Results Area Ecosystem and ecosystem services^{xi}

GCF Result Area	Vulnerabilities	Capacities for Change
Ecosystem and ecosystem services	Share and number of women depending on ecosystem and ecosystem services for livelihoods	Roles of women in the community/ household with reference to natural resource use Share of women and men in the natural resources / agricultural labor market and type of occupation Policies and institutional framework to promote gender equality in access to ecosystem services

Ecosystems and ecosystem services are strongly linked to gender disparities, and have significant potential to impact the gender and social relations within communities. Engaging women in the sustainable production and harvest of marine resources and in ecosystem conservation efforts can have an exponential effect in simultaneously addressing ecosystem challenges and gender inequality. With ecosystems at an increased risk of destruction as a result of climate change, it is increasingly evident that women and men should equally be involved and included in efforts to develop resilient ecosystems.

Women's contributions in aqua- and mariculture are often overlooked, underestimated and/or undervalued, often resulting in women's marginalisation in the management of marine resources. Coastal activities are usually highly gendered, both in where and how women participate in value chains and how their contributions are valued and prioritized. Women mostly involved in pre- and post-harvest activities. However, gender blindness results from a focus on formal and paid fishing activities (traditionally male-dominated) in research, management and policies, disregarding informal and unpaid activities, usually dominated by women. Fisheries agencies are also commonly focused on the production segment of fish value chains, even though twice as many people may be employed in related activities, such as processing and marketing, which are often dominated by women. Such marginalization has often happened despite increasing recognition that women play a critical role at every link in small-scale fisheries value chains. In addition, gendered access barriers occur at several points along the fisheries value chain. These can include indirect barriers, such as gender norms, or more direct barriers including lack of access to fishing gear, fishing grounds, fishing markets or financial capital, including credit, as well as lack of education or alternative livelihoods. Policies on matters such as spatial management can also have a disproportionate impact on women and other marginalised groups that may not have access to boats or motors that would allow them to reach other fishing zones.^{xii}

Small-scale fisheries support the majority of the world's fisherfolk (47 million women and men in developing countries alone). Small-scale fishing communities, particularly indigenous and women subgroups, often have relatively limited political power compared to large-scale fisheries actors. In addition, representatives from coastal communities and groups often marginalised (e.g., women, indigenous groups, individuals with disabilities and poor people) are frequently not, or not adequately, included in decisions related to development (e.g., site selection of ports, energy and oil development, aquaculture) that will impact them. Inequities are apparent also within small-scale fish producing communities. These are often structured along intersecting social categories such as wealth, gender, age, religion, migrant status and ethnicity. Inequities in ocean resource benefits may reinforce existing inequities experienced by particular groups in access to healthcare, education and rights over land.^{xiii}

Specific Project Assessment

Scaling Community Seaweed Farming in Kenya^{xiv}

Project description:

Kenya started community seaweed farming in Kwale County on the South Coast in 2013, following feasibility studies undertaken by the Kenya Marine and Fisheries Research Institute. The initial funding was from a World Bank– funded project that targeted fishing communities along the Kenyan coast, but further funding has been provided by the Government of Kenya to build the farmers' capacity with the aim of developing the initiative into a robust industry to create jobs and income. The main objective of supporting the establishment of this new community-led industry was to offer an alternative livelihood to local fishing communities whose livelihoods had been challenged by reduced income due to the dwindling catches from artisanal fisheries.

Gender responsive activities of the project:

Before the project implementation, women typically grew crops in one-acre piece of land and the proceeds weren't enough to send children to school. The intervention specifically supported the creation of new jobs and economic opportunities for women—90% of seaweed farmers in Kenya are women. To date, this support has resulted in the employment of approximately 400 seaweed farmers in Kwale County, each with his or her own individual farm generating income that flows directly to the farmer. Initially, seaweed farming supplemented their income but has since become

their primary income-generating activity. For the women involved, this has meant financial independence from their husbands, with many using the income from their seaweed farms to educate their children up to the university level and constructing permanent house which also brought development to the village. Hence, women have also been able to bring development to the village as a result of the activity.

The seaweed farmers welfare group has also been registered as a cooperative to improve organization and collective bargaining power. The seaweed is also being used in local food products. Support is also being provided to diversify the farmers' income base through the development of soap and other cosmetic products, such as body creams, shampoos and hair treatment. This further supports women entrepreneurship. To date, community-led seaweed farming has generated over 300 metric tons of dry seaweed that has generated over US\$60,000 for the local village economies.

Getting organized for conservation in the Solomon Islands^{xv}

Project description:

In the Solomon Islands, the population lives mainly by fishing and harvesting shellfish. Faced with environmental deterioration and depletion of a number of species, WWF has intended to protect the shellfish resource (an important source of income for local women) and improving women's skills in managing, processing, and marketing the resource across the Solomon Islands.

Gender responsive activities of the project:

Several projects across the island included specific efforts to help women overcome barriers to their participation in the wider economy. These include improving the ability of women to access credit, undertake paid employment, and start their own businesses. The projects empowered women to defend their own interests and take more control over the financial aspects of their shellfish enterprises. It could be observed that women of Gizo in the Solomon Islands have taken the lead in raising awareness about destructive activities that are damaging their rich marine environment. The projects benefitted from wealth of knowledge on fishing areas, fishing seasons, and the use of resources of women. For example, the initial focus of the Gizo Womens Action Group (GWAG) has been to raise awareness about the need to protect the marine environment, and not dumping rubbish into Gizo harbour. The GWAG also undertook clean-ups around the waterfront and on local islands, and carried out testing of the water quality around Gizo town. Elsewhere in the Solomon Islands, women from two villages near Roviana Lagoon have helped design shellfish reserves for the protection of blood cockle and mud clams, and have played a key role in monitoring the effectiveness of the reserve. A valuable dialogue has been started between outside scientists and the women on the results of this monitoring.

Drivers of change and specific gender elements to be included in the project activities

From the first assessment above and based on the illustrated case studies, the GFCR intends to address the following issues:

- *Promote women entrepreneurship and business opportunities in sustainable ocean production:* As women are involved in the work of feeding, harvesting and processing of fish and shellfish, it is important to increase women's control over ponds and inputs for aquaculture to expand the entrepreneurship activities and support pre- and post-harvest activities where women are also represented. For example, it is essential that women and men equally benefit from any fishing project and from technical and financial inputs, such as boats, fridges and freezers (incl. shared business centres which are predominantly managed by women to enable access to fridges and freezers to preserve fish), educational materials, technical instruments and credits to ensure that women can equally participate and control business activities.

Since fishing is seasonal, it is also essential to support women in diversifying their business activities as mentioned in the case study above. Diversification is of particular importance in regions where cyclones, overfishing and rising seas threaten livelihoods. In Madagascar, for example, WWF piloted the development of beekeeping and ecotourism to generate alternative revenues to fishing and protect the mangrove by making it the cornerstone of the new activities.

- *Training on skills and awareness about conservation and restoration activities and business opportunities:* In aquaculture, it is necessary to provide women with training and formal education to improve the efficiency, profitability and sustainability of their business activities. This will support their enterprises, increase their income potential and reduce their marginalization. Education should focus on improving their positions in the post-harvest activities across the value chain since female traders still lack bargaining power. They must be provided with the know-how and access to education and information on fish preservation and marketing so they can receive better quality fish and keep it fresh.
- *Women empowerment across the ocean production sector:* Women can be empowered politically and socially by acknowledging their wealth of knowledge and including them in the broader community and civil society organizations. Given women’s important role in the post-harvest subsector, women must be allowed to participate in decision-making processes, and be provided with the access to physical and capital resources for developing their industry and meeting their needs and aspirations. It is also urgent to give women equal control in the value chain and profit margins. This is particularly relevant as women often still work in low-status, less-skilled and low-paid jobs, and on informal, casual and temporary contracts that disqualify them from receiving social benefits. To overcome this, more efforts are needed to include women in the most profitable markets and enterprises, and to provide them with more employment opportunities in fish processing factories. In this way, they may profit from increasing market globalization and become less vulnerable to decreases in fish catches and poor services.

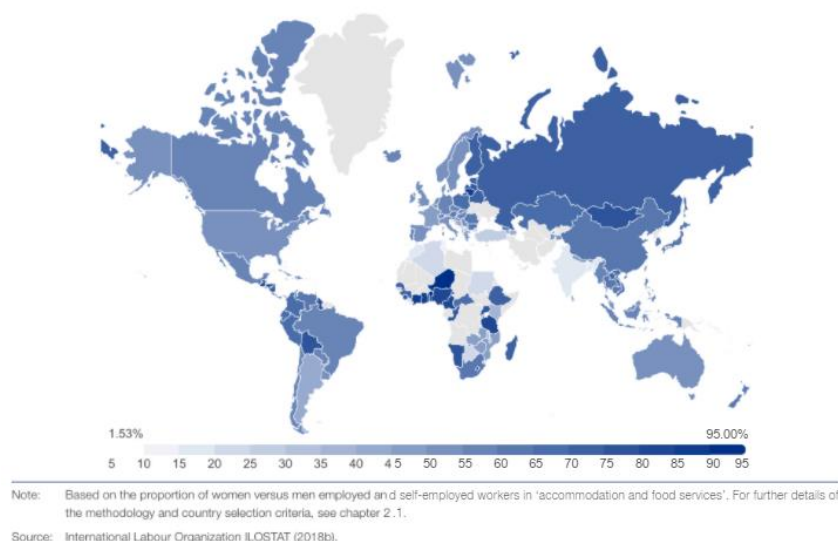
2.2 Ecotourism to address unsustainable tourism and create revenue streams to enhance coral reef protection and restoration

Table 1: - GCF Result Area Most vulnerable people and communities ^{xvi}

GCF - Result Area	GCF - Vulnerabilities	GCF - Capacities for Change
Most vulnerable people and communities	Share and number of women among vulnerable groups of population and communities	Roles of women in targeted communities
		Share of women and men in relevant labor markets and type of occupation
		Policies and institutional framework to address vulnerabilities

With women representing 54% of those working in the tourism industry, women make up a much higher proportion than in other sectors worldwide. However, tourism employment can be comparatively lower-paid for both men and women than average wages across the broader economy.^{xvii}

Figure ES.1: Percentage of people employed in tourism that are women, 2018 (%)



Similarly, while women are the majority of students in formal tourism education, they largely lack the high-level and soft skills training needed to ensure their career progression. A lack of education or formal training jeopardizes women's active participation in tourism. This is especially true for impoverished women and in the context of developing countries. Sexual harassment, gender-based violence and stereotyping pose serious risks for women in tourism as workers and travellers.^{xviii}

Tourism development can bring other challenges to women living in destinations. Women can be particularly affected because they continue to be primarily responsible for unpaid care and domestic work. Issues that may arise include conflicts over access to and use of water, sanitation and waste management, sexual harassment and violence in the community, increased cost of living for basic consumer goods, and increased rental and property prices. This can lead to other issues around alcohol, mental health and cultural traditions.^{xix}

It is essential that gender equality training is provided for the public and private tourism sector to ensure that awareness and skills are developed in order to maximize tourism's contribution to women's empowerment. Furthermore, traditional gender roles are often prioritized over roles as business women. Tourism is often supplementary or an additional form of labor, given the enduring responsibility for unpaid care and domestic work.

Specific Project Assessment

Entrepreneurship in Costa Rica^{xx}

Project description:

Between 2010 and 2018, Proyecto Emprende sought to understand the coordination of actions for women's empowerment, while developing the first real snapshot of the relation between women, gender and economic empowerment in Costa Rica. Funded by the European Commission, the project provided resources to more than 1,500 women entrepreneurs and their 900 businesses, focussing on rural women, networking between women, and forging a path between women entrepreneurs and the private and public sectors. Some 15% of the businesses that participated in the initiative were directly related to tourism, while many others were tangentially related to the sector – such as businesses engaged in handicraft production or the provision of food. The main reason why the project afforded particular attention to tourism stems from the sector's importance for Costa Rica, both in terms of policy and income generation opportunities.

Gender responsive activities of the project:

Proyecto Emprende offers a strong example of how initiatives can support women's entrepreneurship by providing resources, information, networking opportunities that offer women avenues to interact with the private and public sectors. It shed light on the many faces of women entrepreneurs, their needs, the options open to them and the ways in which they turn available resources into opportunities for themselves and their families. The kinds of tourism activities performed by women in the country allow them to remain close to their families. This is important, as many women are primarily responsible for caring for relatives, such as their parents or children, often requiring them to remain at home. To meet the needs of these women, Proyecto Emprende revived an initiative entitled Artesanía con identidad (literally 'handicrafts with an identity'). The initiative selected women artisans and honed their handicraft skills in accordance with Costa Rican culture, principles and materials. Challenges faced were tied to gender norms that perpetuate a lack of self-esteem among women entrepreneurs. Although tourism authorities provided women with information on tourism accreditation and certification, this had the effect of increasing women's insecurities, rather than facilitating their work in tourism. Women felt that the criteria and costs involved in attaining certification were beyond their reach. Since many women could not meet the criteria to turn their informal businesses into formal enterprises, the prospect of attaining tourism accreditation and certification was too far from women's immediate realities and needs. It demonstrates a gap between tourism's national importance, on the one hand, and the will to adapt tourism conditions to women's needs, on the other. While the project sought to better understand women's entrepreneurship in Costa Rica, the project brought women entrepreneurs closer to tourism, rather than bringing tourism closer to women entrepreneurs. As a result, for instance, women felt incapable of meeting tourism accreditation criteria – a challenge that could have been solved by adapting criteria to women's needs and lived realities, while offering them training and assistance to navigate requirements.

Community-based tourism in Giao Xuan Women Union, Viet Nam^{xxi}

Project description:

In collaboration with Oxfam and the Centre for Marine-Life Conservation and Development (MCD), Viet Nam's Giao Xuan Women Union worked on a community-based ecotourism project in the Xuan Thuy National Park Area. The 29-month initiative (January 2012 to December 2014) focussed on conservation, livelihoods and gender equality goals.

Gender responsive activities of the project:

To achieve its aims, the project supported the community by offering diverse training workshops such as capacity building (business skills, reception, food service, local environmental knowledge, among others) and pilot eco-tour workshops (environmental interpretation, services, businesses planning, marketing, etc.). The workshops allowed women to access high income and education, to have control/power in decision-making over factors of production such as labor, education and public services and equal distribution and to work as community eco-based tourism public spokespersons and media representatives. In addition, it aimed to support women in Viet Nam to present a stronger voice in political decision-making, challenge oppressive gender norms, gain greater respect, and foster changes in gender roles. Both men and women in Giao Xuan showed increased awareness of gender equality issues. The Lao Cai Province Department of Culture, Sport and Tourism, whose jurisdiction covers the Xuan Thuy National Park, is "determined to ensure women have the skills to thrive [by] offering training courses in tourism, families are being fined for pulling their children out of school, and financial rewards have been introduced to encourage further education." Many women, however, could not attend the project's workshops because of housework and child care. This issue needs to be considered in the future planning of any gender equality initiatives, particularly in Asia where childcare concessions are not as readily available as in more developed countries.

Drivers of change and specific gender elements to be included in the project activities

From the first assessment above and based on the illustrated case studies, the GFCR intends to address the following issues:

- *Support entrepreneurship:* The tourism sector can offer greater opportunities for women’s entrepreneurship than the broader economy and should be supported as a self-employed workforce in tourism. Investing in women-led tourism businesses and expanding as well as diversifying women’s market access and fair trade for their tourism products and services will support women entrepreneurship in tourism.
Promote decent work for women in tourism: Since women remain concentrated in low-paid and low-level employment in the tourism sector and can be exposed to sexual harassment, it is important to promote equal pay, tackling sexual harassment and recruiting women into high-level employment. In addition, measures shall be introduced to improve women’s work-life balance in tourism and encourage an equal division of unpaid care work in tourism communities.
- *Skills training for women:* Since there is segregation between men and women in their access to tourism-related education and training, which disadvantages women, training programmes shall be developed for women in tourism. This shall include training on soft skills, networking and high-level training for career progression.
- *Women empowerment across the tourism sector:* Since female leaders are underrepresented in tourism due to structural barriers, gender equality strategies and policies for the tourism sector shall increase women’s empowerment. Women should be supported to increase high-level women’s leadership in decision-making spaces in the private sector, public sector tourism bodies, agencies, and trade unions.
- *Support women’s needs in the community and civil society:* Since women play a key role in supporting their communities, it is important to facilitate women’s voice in community and household decision-making and implement appropriate policies and measures according to women’s needs through women’s tourism networks, NGOs and tourism cooperatives.

2.3 Sustainable infrastructure and waste management to address pollution

Table 3: GCF Results Area Infrastructure and the built environment^{xxii}

GCF Result Area	Vulnerabilities	Capacities for Change
Infrastructure and the built environment	Share and number of women lacking access to adequate infrastructure (water supply, sanitation, flood protection, housing, energy access, etc.)	Roles of women in the design and maintenance of infrastructure and the built environment
		Share of women and men in relevant labor markets and type of occupation
		Policies and institutional framework to promote equal access to adequate infrastructure

Coasts are becoming increasingly urban. This brings with it coastal development (including demands for fresh water and sewage treatment) and damage to coastal ecosystems.^{xxiii} People who live in coastal regions may suffer the cumulative burden of environmental stress from the activities on and overcrowding of the coast and from upstream and inland development. If not properly managed, development can result in pollution, deforestation, and inadequate management of soil and water. Chemicals and heavy metals found in pesticide runoff and industrial effluents also damage human and marine health. Damming rivers can also have negative environmental effects, such as soil erosion and destruction of ecosystems that support various fish and marine mammals.

When concentrated in small, confined, and overcrowded areas such as coastal zones, pollution and other problems pose great threats to human health.

Women and girls have specific needs and priorities for water and sanitation infrastructure, particularly in relation to menstrual hygiene management, pregnancy and birth. Poor quality and genderblind water and sanitation infrastructure can have significant and lasting adverse impacts on the health and educational and economic opportunities for women and girls. Furthermore, inadequate water and sanitation facilities for menstrual hygiene management can increase the risk of urinary tract infection among women and contribute to the spread of disease.^{xxiv}

As coastal communities grow, sewage can become a threat to local waterways. Demand often exceeds available sewage treatment, and much of the sewage is dumped without being treated.^{xxv} The right to water and sanitation is recognized as fundamental to attaining all other human rights. Globally, however, 2.1 billion people do not have access to safe drinking water at home, 2.3 billion do not have basic sanitation and 1 billion practice open defecation. Women and girls are disproportionately affected by the lack of access to basic water, sanitation and hygiene facilities, as they play a larger role relative to men in water, sanitation and hygiene activities, including in agriculture and domestic labor. This situation has implications for gender equality and empowerment. [World Health Organization^{xxvi}]

Mainstreaming gender-related actions for water and sanitation infrastructure identifies and responds to the needs of women and girls and increases education attainment rates and employment rates for all. Improving access to water and sanitation is critical to alleviate the time poverty of women and girls. Promoting the role of women in water governance and management, capacity building with women's involvement, and increasing women's participation in local institutions such as water users' organizations can also advance women's leadership and decision-making opportunities.

Another issue for coastal communities is land-based plastic waste in the oceans due to lacking solid waste management infrastructure. Coastal waters and shorelines in many regions are accumulation zones for marine plastic litter, being the receiving body for land-based plastics and the zone where fisheries, aquaculture, commercial shipping and other maritime activities are concentrated.

Women often work as recycling collectors either individually or alongside male family members. Later in the value chain, there are few waste businesses that are women-owned or operated. Much of female participation is limited to informal work/ unregulated employment. The nature of participation at processing and recycling factories is also unregulated and women are engaged primarily as daily wage workers. The formal waste collection process is dominated by men.

The waste sector is a largely unregulated sector facing social stigma and economic deprivation. In addition to these occupational challenges, women in the waste sector must deal with the competing demands from domestic and childcare responsibilities. The physical nature of some of the tasks involved as well as health and safety issues add another layer of concern for women engaged in waste management.^{xxvii}

Gender mainstreaming in the solid waste management sector can considerably improve women's well-being because of the associated impacts on health and time poverty. As in the case of the water and sanitation sector, solid waste management at the household level is a burden that often falls on women's shoulders. Furthermore, as primary caregivers, women are often responsible for family members who fall ill due to unsanitary. Due to the gendered responsibility of women for household work, women have been most burdened with the inadequacy of the municipal waste collection and management services, with the urgency of the problem increasing for those who live in poor and informal settlements. The rise of diseases linked to poor waste management also

further increases the care work of women who look after sick children and family members, giving them less time to spend in other work that generates income or other benefits for themselves and the community.^{xxviii}

Specific Project Assessment

Women's Activism around Plastic Marine Pollution in Coastal Yucatán, Mexico^{xxix}

Project description:

This case study draws from the experiences of the coastal town of Celestún in Yucatán, Mexico where increasing immigration from inland areas, unplanned urbanization, overfishing and unsustainable tourism have degraded and eroded much of the beach and disrupted the coastal wetlands ecosystems. The crisis has also driven the growth of women-led grassroots organizations which play an active role in local waste management and plastics recycling.

Gender responsive activities of the project:

These community-based organizations challenge exclusionary gender norms by increasing women's participation in sustainable urban development, and their efforts have significantly raised community awareness on the link between solid waste management, health, empowerment and wellbeing in the coastal wetlands.

The women's recycling group, Chen Kole 'Lob (meaning "only women" in Yucatec Maya) is a group in Celestún that emerged out of women's concern for public health, environmental protection, and urban sanitation. In 2002, a group of 17 women began to organize around waste issues following a lecture given at a bi-monthly meeting of Oportunidades, a national development program that gave small stipends to poor women with children who regularly attend school. The talk focused on the practice of throwing garbage in the wetlands, and the health risks linked to garbage in coastal environments. Every two weeks, women from the group collect bottles and other recyclable materials from individual residences, and bring them to the collection centre, where a truck picks them up and brings the items to a larger recycling facility in another town. The group gets the going rate for recyclables (about 2 pesos per kilogram), half of which they pay out to the individual residents. At least two tons of plastic containers are collected every two weeks, as well as increasing amounts of scrap metals, cardboard, and recyclable paper. This provides additional income for the families and supports children's education, more independence for women, and better health due to less pollution.

Enhancing climate resilience and water security in the Maldives^{xxx}

Project description:

The Maldives is considered one of the most vulnerable countries to the impact of climate change, and this is compounded by its dependence on climate-sensitive industries, such as agriculture, fisheries and tourism. Freshwater sources in the Maldives are increasingly jeopardized by population growth, erratic rainfall, salinity intrusion and contamination by human waste. To support the government of Maldives in fulfilling its major priority to provide safe drinking water and safe sewage disposal systems to its vulnerable communities, UNOPS was tasked with delivering the design, construction and construction management of a complete water treatment and distribution system on the island of Hinnavaru in Lhaviyani Atoll.

Gender responsive activities of the project:

The requirements for this system are that it is affordable, efficient, sustainable and compliant with the principles of integrated water resource management. In order to deliver the system and make it accessible to everyone, UNOPS carried out an extensive gender analysis, analyzing the rural context gender dynamics and women's time use on fresh water collection for drinking, bathing,

cooking and other purposes. Moreover, women were involved in both the consultation process and in the project workforce. This helped to better reflect women's needs in the project development and improved outcomes for women that are mostly responsible for fresh water collection.

Drivers of change and specific gender elements to be included in the project activities

From the first assessment above and based on the illustrated case studies, the GFCR intends to address the following issues:

- *Women entrepreneurship across the sustainable infrastructure sector:* Since female workers are underrepresented in the built infrastructure sector, it is important to empower female entrepreneurship and business opportunities in the infrastructure and waste management sector. This can include the promotion of indirect job creation for women through infrastructure projects. In waste processing activities or waste-to-energy projects, for example, sorting and recycling can generate business opportunities for women. For the waste sector, women shall be provided with more formalized work, implying the provision of the benefits and stability of formal employment but the flexibility of the entrepreneurship model.
- *Support gender-responsive infrastructure design:* Address gender inequalities and empower women and girls by responding to diverse needs in society during the project design phase of infrastructure projects as women specific needs or the impacts of infrastructure projects on women are often overlooked. Gender-responsive consultation and engagement can help identify such needs. Building awareness of social rights (access to education, legal recourse against crime, access to health care etc.) and a safe means to exercise such rights must be made available to women.
- *Promote gender mainstreaming actions in the sustainable infrastructure sector:* Consider gender aspects within the planning, delivery and management stages of the infrastructure life cycle to ensure that the infrastructure built is able to guarantee equal quality services.
- *Support the participation of women in waste management:* While addressing the needs of the sector as a whole also identify women-specific opportunities to improve the status quo and improve collection for recycling, promote a more empowered waste sector, with improved quality of life for the women engaged in waste management. Women can be a key target demographic for behaviour change especially with regard to household waste management. Recycling operations can be improved through capacity building, provision of equipment/ vehicles, training and awareness building, financial assistance and health insurance

2.4 Sustainable Development Goals

The Sustainable Development Goals (SDGs) make an explicit commitment to gender, both as a standalone goal on gender equality and women's empowerment (SDG 5) as well as a crosscutting theme across the SDGs. Among the 230 unique global SDG indicators, 53 explicitly reference women, girls, gender, or sex.^{xxxi} SDG 13 on combating climate change aims to promote mechanisms for raising capacity for effective climate change-related planning and management in least developed countries, including focusing on women, youth, and local and marginalised communities. The following qualitative and quantitative gender sensitive indicators will inform the Action Plan. They are derived from a preliminary Assessment of SDG 5 and SDG 13 targets (to reflect the Secretariat guidance regarding the GCF SDG 13 focus). In practice SDG 5 is cross cutting beyond just SDG 13.

SDG Targets, Category 1 - Economic:

- Recognize and value unpaid care and domestic work through the provision of public services, infrastructure and social protection policies and the promotion of shared responsibility within the household and the family as nationally appropriate.
- Ensure women’s full and effective participation and equal opportunities for leadership at all levels of decision making in political, economic and public life.
- Undertake reforms to give women equal rights to economic resources, as well as access to ownership and control over land and other forms of property, financial services, inheritance and natural resources, in accordance with national laws.
- Enhance the use of enabling technologies including information and communications technology, to promote the empowerment of women.
- Adopt and strengthen sound policies and enforceable legislation for the promotion of gender equality and the empowerment of all women and girls at all levels.
- By 2030, achieve full and productive employment and decent work for all women and men, including for young people and persons with disabilities, and equal pay for work of equal value.
- By 2030, empower and promote the social, economic and political inclusion of all (within a country), irrespective of age, sex, disability, race, ethnicity, origin, religion or economic or other status.

SDG Targets, Category 2 - Social:

- Eliminate all forms of violence against all women and girls in the public and private spheres, including trafficking and sexual and other types of exploitation.
- Eliminate all harmful practices, such as child, early and forced marriage and female genital mutilation.
- Ensure universal access to sexual and reproductive health and reproductive rights in accordance with the Programme of Action of the International Conference on Population and Development and the Beijing Platform for Action and the outcome documents of their review conferences.
- Protect labor rights and promote safe and secure working environments for all workers, including migrant workers, in particular women migrants, and those in precarious employment.

Table 2: Economic Empowerment Goals and Sample Indicators – SDG Assessment¹

Economic Empowerment Goals	Potential Project Action	Example of gender-responsive indicators
1) Income and equal pay	Closing of gender gaps in earnings and income generation opportunities	Qualitative increase in earning and income generation opportunities for both women and men expressed as income ratio of men to women

¹ Refer to the GFCR Gender Action Plan for applicable indicators

2) Economic assets	Closing of gender gaps in asset access, ownership and control; Absolute increase in women’s relative control and ownership of an asset	Number/proportion of women with improved access to financial mechanisms (equity investment, affordable loans, etc.) Evidence of the type of financial incentives used to encourage women’s entry into the market (e.g., finance packages, tax benefits and rebates, subsidies, pilot schemes, partnerships with financial institutions, the private sector or women’s associations)
3) Quality employment	Closing of gender gaps in labor market segregation and paid and unpaid employment	Quantifiable increase in targeted and diversified employment opportunities for women and men (expressed as a ratio) coupled with support for reproductive responsibilities

Table 3: Social Empowerment Goals and Sample Indicators – SDG Assessment²

Social Empowerment Goals	Potential Project Action	Example of gender-responsive indicators
1) Individual and community empowerment including meaningful participation and leadership, Increase in women networks and organizations and agency	Closing of gender gaps in women and men’s participations and leadership and access to networks Closing of gender gaps in leadership positions and decision making at the individual, household, community and political level	Quantitative indicators that measure targets and quotas for women’s participation and leadership in community, including their access to social networks Quantifiable increase in the percentage of women making decisions on behalf of their families, communities and government
2) Applied skills and training	Closing of gender gaps and stereotypes in women’s and men’s access to applied skills and training	Qualitative and verifiable increase in women’s and men’s relative confidence, skills and know-how, e.g., on appraising investments and developing projects Evidence of the type of incentives designed to recruit

² Refer to the GFCR Gender Action Plan for applicable indicators

		women, increase their capacity and provide career development in targeted sector agencies and service providers
3) Better health and safety	Improve health and safety outcomes	Number of beneficiaries, i.e., people with improved living and occupational safety conditions, including women and women-headed households
4) Access to infrastructure services and technologies	Closing of gender gaps in access to infrastructure services	Quantifiable increase in women's control over, decisions in, related skills development and access to infrastructure services

3. Fund Application

The Assessment provides a frame for the gender-related elements of the GFCR investment portfolio, as well as for the Fund itself. Specifically, the Assessment has been used to inform the following areas within the Fund:

- Governance – including roles and responsibilities to achieve GFCR gender equity targets;
- Competencies and capacity development – including ESMS Manager, gender specialist(s), SDG specialist, and related training;
- Resource allocation, accessibility and budget – at both GFCR and invested project level, the Gender Action Plan has dedicated budget allocated for its implementation;
- Operational procedures – at both GFCR and invested project level. This includes mandatory inclusion of a gender assessment as part of ESIA (Environmental & Social Impact Assessment) for each project, and gender-responsive stakeholder consultation requirements and safeguards, based on the Gender policy as well as monitoring and evaluation; and –
- Knowledge generation and communications.

Gender-related outputs at Fund level	GFCR Fund-level targets	Status 07-2021
Gender and social inclusion policies in place at fund level	Endorsement of gender and social inclusion policy by fund management committee	100%
Gender procedures and checklists incorporated in fund's ESMS	Comprehensive ESMS with updated gender procedures	100%
Recruitment of women in projects	Aspire for gender parity in GFCR project team, at least 40% of employees will be female including senior and decision-making positions	TBD

Recruitment of women in fund capacity-building, field and monitoring teams	Aspire for gender parity, at least 25% of project field / monitoring team members will be female	TBD
Ensure GFCR internal annual reporting includes requirements, targets and reportable progress	100% annual compliance with gender reporting at fund level	TBD
Dedicate necessary finances and human resources to implement the Gender Policy and Gender Strategy	ESMS Manager, gender specialist and SDG Specialists on GFCR team	
Dedicate resources required to build and strengthen staff capacity related to knowledge management, learning	Line item in budget for gender-related capacity building within GFCR team	
Appoint gender specialist/consultants as needed	Gender specialist available to GFCR team as needed, additional project consultants hired as needed	
Audit and verification teams have the expertise to review and assess project gender responsiveness and impact	Gender training programme for audit and verification teams	

Table 1: GFCR Fund-level Assessment

3.1 Safeguards and Consultation

All projects considered by GFCR must have mandatory gender-sensitive and gender-responsive procedures and strategies that adhere to the Gender policy which is aligned with internationally acknowledges standards and best practices. These guidelines, aligned with the GFCR ESMS, require project developers to complete gender-sensitive safeguards assessment and stakeholder consultations as part of initial project design and feasibility. This is a mandatory foundational requirement that applies to all GFCR projects, which includes:

Social Safeguarding Principles

3.1 Principle 1 – Human Rights

3.2 Principle 2 – Gender Equality and Women’s Rights

3.3 Principle 3 – Community Health, Safety and Working Conditions

3.4 Principle 4 – Indigenous Peoples, Displacement and Resettlement (not applicable, Cat B)

3.4.1 Sites of Cultural and Historical Heritage

3.4.2 Forced Eviction and Displacement

3.4.3 Land Tenure and Other Rights

3.4.4 Indigenous Peoples

3.5 Principle 5 – Corruption

Economic Safeguarding Principles

3.6 Principle 6 – Economic Impacts

3.6.1 Labor Rights

3.6.2 Negative Economic Consequences

The gender safeguards can be found in the GFCR Gender Policy (Annex 2) and are applicable for all projects. In addition, country and sector specific gender issues derived from gender analysis will be also assessed. These may vary from project to project.

The gender safeguards also addresses gender-based violence against women. Hence, as part of the safeguards assessment, risks of sexual harassment and/or any forms of violence against women will be assessed.

To prevent gender-based violence, the developer shall implement policies, measures, a grievance mechanism, and incident reporting. Incidents shall be monitored and reported on a regular basis. Remedial actions have to be taken immediately. To grant equitable and effective access to grievance redress mechanisms, the GFCR has multiple grievance mechanisms in place. The GFCR grievance mechanisms can be found in Annex 11 and 12 of the ESMS.

3.2 Gender-Responsive Stakeholder Engagement and Consultation

Stakeholder Consultation provides a critical opportunity for a project developer to engage with stakeholders in a gender sensitive manner and to share and promote understanding about and a sense of ownership of the project. This may include exchanging views on risks (and mitigation), impacts, benefits and opportunities. It provides a valuable entry point to improve the project design and outcomes and help the project developer to identify and control external risks.

Stakeholder engagement and consultation shall consider different gender relationships and roles. Women and men typically fulfill different roles and responsibilities depending on the context and the country. Virtually no role is always exclusively performed by just women or men. Because women often are assigned lower societal status relative to men, women tend to have lower confidence, less influence and less involvement in the design, decisions and engagement with projects. In developing a project, “taking gender issues into account would require that local stakeholder consultation processes reach a wide range of community representatives in ways that ensure equal and effective participation of women and men in consultation, and that gender issues are fully factored into comprehensive social and environmental impact assessments.”^{xxxii}

Engagement

Gender-responsive stakeholder engagement should take place before and throughout project implementation so it can inform the design of the project to ensure that women can participate in the design phase. In addition, engagement should be promoted throughout the implementation of the project to address gender needs on a continuous basis. Gender-responsive stakeholder engagement shall include the following activities:

1. Understand the gender context to identify engagement approaches:

- Engage with the community, in particular women, to determine the best way to communicate with them.
- Engage with women in focus group settings facilitated by a female to capture views and information.
- Use participatory techniques to capture gender specific information e.g. gender

matrices, seasonal calendars, ranking, community mapping/transect walks.

- Identify and engage with women's cooperatives/groups. Where they do not exist, support the establishment of such groups.

2. Undertake stakeholder mapping/analysis and determine gender context:

- Includes identifying the key stakeholders and mapping and prioritizing them based on level of impact, influence and interest.
- Data gathering through community leaders, government representatives and high-level online research to understand the gender context (e.g. gender indicators/data on education, labor force participation, health, agency/decision making and traditional and cultural practices).

3. Develop engagement methods for stakeholder groups:

- Establish culturally appropriate engagement methods (including on the grievance mechanism if relevant) for each stakeholder group with consideration for culture and gender, based on the gender context.
- Engage with stakeholder groups on approaches determined to gather feedback and suggestions.

4. Document approach in a Stakeholder Engagement Plan

- I. Develop a Stakeholder Engagement Plan that includes stakeholder mapping/analysis, gender context and engagement methods.

Consultation

The following considerations should be made that relate to gender equality in Stakeholder Consultation planning:

- What measures and actions need to be put in place to ensure equal gender participation in Stakeholder Consultations. How should inputs and insights from women and men be sought out, listened to, considered, addressed and documented?
- Is it necessary to make any specific arrangements to ensure that all constituencies are engaged in the consultation arrangements to not only foster inclusive participation of women but also avoid potentially negative consequences? (for example, speak to women and men separately; have focus groups for women and focus groups for men before gathering them together to ensure their meaningful participation; adapt timing schedule to men's and women's working schedules)

Examples of gender-sensitive consultation approaches are:

- FAO: SEAGA (Socio-economic and Gender Analysis): An approach based on an analysis of socio-economic patterns and participatory identification of women's and men's priorities. The objective of the SEAGA approach is to close the gaps between what people need and what development delivers.
- CARE Canada: Stakeholder and institution mapping.
- USAID: When to use a Gender stakeholder analysis. Integrating Gender into climate change projects ENERGIA: Elizabeth Cecelski; Soma Dutta (2011); Mainstreaming Gender in Energy Projects: A Practical Handbook

3.3 Gender-Responsive Project Design

It is impossible to integrate gender equality into projects or activities without clearly understanding gender issues within the targeted population. Gender-responsive design requires a gender analysis to understand the social, economic and political factors underlying climate change-exacerbated gender inequality, and the potential contribution of women and men to

mitigate and adapt to climate change in the project. The analysis also allows project developers to identify strategies, action and indicators to better assess how initiatives have engaged with or impacted different groups.

Building on the safeguards and consultations, GFCR will require prospective projects to establish and commit to the following mandatory, minimum gender-responsive requirements:^{xxxiii}

- Collect, analyze and apply sex-disaggregated data and using gender indicators to inform gender-responsive monitoring, evaluation, reporting and learning on programmatic activities;
- Conduct gender analyses and applying key issues and recommendations identified to inform gender-responsive project design, budgeting, staffing, implementation, monitoring and evaluation;
- Analyze risks that the project may experience or pose, putting measures in place to ensure activities do not exacerbate existing gender-related inequalities, including gender-based violence, and seize opportunities to address gender gaps and support empowerment of women;
- Structure inclusive and gender-sensitive project teams that demonstrate appropriate capacities and technical expertise to support gender-responsive action;
- Ensure women and men have equal opportunities in terms of participation, decision-making and benefits, throughout the identification, design, implementation, monitoring and evaluation of activities;
- Allocate sufficient resources for specific activities, technical support and/or other actions to improve gender equality considerations, including the meaningful engagement of diverse stakeholders and beneficiaries;

GFCR may direct and/or support should an expert stakeholder opinion (with a specific emphasis on gender and environment expertise) be required to support the gender safeguards assessment or project design process, depending on project type, scale and context.

3.4 Monitoring and Evaluation (M&E)

The GFCR has a M&E framework and processes in place. All GFCR projects must include mandatory impact targets, a gender-sensitive framework, mandatory, and minimum gender-responsive elements. The project's monitoring framework includes gender-responsive targets and indicators to monitor gender equality results against the established baseline.

M&E occurs at every stage of the project, from initial feasibility, project design, preliminary design review, implementation and ongoing performance review. Monitoring is led by the ESMS Manager and external consultants if appropriate.

4. Sources and Endnotes

- [ACDI/VOCA- Gender Analysis, Assessment, and Audit Manual & Toolkit](#)
- [Harvard- Gender Roles Framework or Gender Analysis Framework](#)
- [FAO- Socio-Economic and Gender Analysis Field Handbook](#)
- [Gender Analysis in Natural Resource Management | Land Portal](#)
- <https://www.pacificclimatechange.net/document/gender-analysischecklist-food-security-and-climate-change-within-programme-or-project>
- How to Conduct a Gender Analysis | [USAID ASSIST Project](#)
- The World Bank's PPP website with collated resources across the following sectors: Agriculture, Education, Energy, Health, Information and Communications Technology (ICT), Transport, Water and Sanitation. See: <http://ppp.worldbank.org/public-private-partnership/ppp-sector/genderimpacts-ppps/sector-specific-materials/sector-specific-materials>
- Asian Development Bank (2013) Tool Kit on Gender Equality Results and Indicators <https://www.adb.org/documents/tool-kit-gender-equality-resultsand-indicators>
- The Gender Data Portal for the latest sex-disaggregated data and gender statistics covering demography, education, health, economic opportunities, public life and decision-making, and agency, see <http://datatopics.worldbank.org/gender/>
- GACC tool see <http://cleancookstoves.org/resources/490.html>
- UN Women (2020). COVID-19 and gender: What do we know; what do we need to know? <https://data.unwomen.org/features/covid-19-and-gender-what-do-we-know-what-do-we-need-know>
- UN Women COVID-19: Emerging gender data and why it matters <https://data.unwomen.org/resources/covid-19-emerging-gender-data-and-why-it-matters>
- WHO 2019, data from National Health Workers Accounts for 91 countries for physician data and 61 countries for nursing data. <https://apps.who.int/iris/bitstream/handle/10665/311314/WHO-HIS-HWF-Gender-WP1-2019.1-eng.pdf?sequence=1&isAllowed=y>
- UN Women (2020). Gender equality: Women's rights in review 25 years after Beijing. <https://www.unwomen.org/-/media/headquarters/attachments/sections/library/publications/2020/gender-equality-womens-rights-in-reviewen.pdf?la=en&vs=934>
- World bank estimates based on International Labor Organization, ILOSTAT database. Data retrieved in March 1, 2020.

ANNEX 1 GFCR GENDER ACTION PLAN

GFCR Gender Action Plan

Impact Statement: The Global Fund for Coral Reefs – Investment Window (GFCR) seeks to enhance the resilience and adaptive capacity of coral reef ecosystems, communities, productive systems and business that depend on them by investing in (i) sustainable ocean production, (ii) ecotourism and (iii) sustainable infrastructure, while maintaining a gender-responsive framework throughout project design, implementation, monitoring and evaluation. The model of the fund is intended to lead to greater resilience and adaptive capacity of women and girls living in coral reef-dependent communities through the attainment of three main impacts:

1. Empowerment of women and girls to promote independence and enable them to become agents of change;
2. Better health outcomes and improved physical and emotional safety of women and girls;
3. Sustainable livelihoods for women and girls.

Outcome Statement: By demonstrating how to de-risk investment (through blended finance, rigorous safeguards, and purposeful gender-responsive planning and integration) for private capital in additional, high-integrity projects, GFCR seeks to achieve the following gender-responsive outcomes:

- *Empowerment* from active inclusion of women in consultation processes and positions of leadership, explicit consideration of gender disaggregated-needs in project design, capacity building of women and girls to enable greater roles in environmental stewardship, and greater financial independence.
- *Formal employment and improved livelihoods* for women and girls through \$500 million in blended public/private capital, improved working conditions and greater gender parity in pay, and additional incomes that increase the diversity of household incomes, thereby reducing dependence on individual livelihood activities and enhancing financial resilience which is then less susceptible to periodic shocks.
- *Improved health and reduced disease prevalence* from sustainable infrastructure limiting exposure to pollution and waste and improved nutrition from enhanced food security and increased protein availability.
- *Improved capacity of communities to adapt to and cope with shocks to reduce safety risks to women and girls and gender violence.*
- *Increased gender equity*, through the GFCR Environmental and Social Management System (ESMS), mandatory project safeguards, gender-responsive project consultation framework (including expert consultation on including gender-based violence safeguards throughout projects, particularly those engaging in high-risk communities), and mandatory gender-responsive project design (SDG 5).
- *Strengthened institutional and regulatory frameworks* on regional and national level through alignment of GFCR projects with national NDCs and prevailing gender policies.

Activities	Indicators and Targets ³	Timeline	Responsibilities and Costs
Output(s) Statement: M&E analysis confirms gender-responsive program design and projects improve empowerment of women and girls to promote independence and enable them to become agents of change. (NOTE: project-level assessments, and hence specific indicators and targets, can only be established once the GFCR host countries and projects are identified. Thus, indicators and targets have been identified where known, or if not, are exemplars.)			
Promote women entrepreneurship through capacity building This may be directly related to: • Enhance livelihoods connected to coral reefs (e.g. technology for cold storage in coral reef fisheries, shared business centers, etc.) • Support coral reef communities that seek to shift livelihoods to be less dependent on coral reefs (e.g. alternative livelihood projects) • Build adaptive capacity through enhancing assets (e.g. savings groups or microcredit) and agency, networks, learning, and address broader interrelated vulnerabilities (e.g. health), or connect to strategies to cope with or adapt to risks and threats related to coral reefs (e.g. strategies to cope with salt water intrusion) • Provide capacity building for women-led tourism businesses and expansion activities (e.g. support diversification of women's market access and fair trade for tourism products and services) • Promote a more empowered waste sector, with improved quality of life for the women engaged in waste management through capacity building, provision of equipment/ vehicles, training and awareness building, financial assistance and health insurance	Quantifiable participation of women in all capacity building activities, at least 40% Quantifiable participation of women in capacity building activities related to coral reef environments, at least 60% Quantifiable participation of women in capacity building activities related to entrepreneurship, at least 60%	Years 1-6 (the duration of the investment cycle of projects), plus any follow-on investment period permitted under the fund's LPA	Project Developers with support from EEs Costs included as part of project budgets
Expand business opportunities for women across different sectors This may be directly related to:	Quantifiable increase in targeted and diversified business opportunities for	Years 1-6 (the duration of the	Project Developers with support from EEs

³ Targets will be rationalized by baseline data collected prior to implementation of projects.

• Support women in diversifying their business activities (of particular importance in regions where cyclones, overfishing and rising seas threaten livelihoods) and/ or expand business activities vertically across the supply chain (e.g. from pre-harvest, harvest, to post-harvest in fishing) to generate alternative revenues to fishing • Support women-led tourism businesses and expansion activities (e.g. support diversification of women's market access and fair trade for tourism products and services) • Promote expansion of business opportunities for women through infrastructure projects (e.g. agricultural activities around the built infrastructure to generate additional income)	women and men, at least an annual increase of 10%	investment cycle of projects), plus any follow-on investment period permitted under the fund's LPA	Costs included as part of project budgets
Create employment opportunities for women across different sectors This may be directly related to: • Create job opportunities for women in the sustainable fishing industry • Create direct and indirect job opportunities for women in ecotourism (e.g. ecotourism or hospitality activities and services such as diving schools, restaurants, eco lodges, etc.) • Create direct and indirect opportunities for women through infrastructure projects (e.g. sorting and recycling as part of the waste processing activities or waste-to-energy projects)	Percentage of women in direct and indirect jobs created, 50%	Years 1-6 (the duration of the investment cycle of projects), plus any follow-on investment period permitted under the fund's LPA	Costs included as part of project budgets
Provide training on skills and awareness entrepreneurship, self-confidence and business opportunities This may include interventions that seek to: • Conserve coral reef resources that may directly impact livelihood options for women and men (e.g., Marine Protected Areas) • Enhance sustainable management of marine and land activities (e.g., fishing, farming) to ensure the sustainability of livelihoods and of resources	Qualitative and verifiable increase in women's and men's relative confidence, skills and know-how, e.g., on appraising investments and developing projects, at least an annual increase of 10%	Years 1-6 (the duration of the investment cycle of projects), plus any follow-on investment period permitted	Project Developers with support from EEs Costs included as part of project budgets

• Provide women with training and formal education to improve the efficiency, profitability and sustainability of their business activities in the fishing sector and to improve their positions in the post-harvest activities to increase their bargaining power (e.g. education on fish preservation, marketing, etc.). • Offer education and training in the tourism sector to promote women into high-level employment (incl. training on soft skills, networking and high-level training for career progression) • Provide training on waste materials for better sorting and recycling in the waste sector • Promote women's participation in investment appraisal and project design through providing project-specific skills and know-how		under the fund's LPA	
Include women in the broader community, civil society organizations, and at project level This may include women's participation in decision-making spaces in the private sector, public sector tourism bodies, agencies, and trade unions, for instance, in the fishing or tourism industry. This may include activities that seek to: • Strengthen women's role to participate in decision-making processes and increase control in the value chain and profit margins in the fishing sector • Promote gender equality strategies and policies for the tourism sector through women's involvement in the private sector, public sector tourism bodies, agencies, trade unions, tourism networks and cooperatives.	Quantitative indicators that measure targets and quotas for women's participation and leadership in community and at project level, at least 20%	Years 1-6 (the duration of the investment cycle of projects), plus any follow-on investment period permitted under the fund's LPA	Project Developers with support from EEs Costs included as part of project budgets
Promote decision-making of women and financial independence This may include activities that seek to:	Quantifiable increase in the percentage of women making decisions on behalf of their families and	Years 1-6 (the duration of the investment	Project Developers with support from EEs

• Offer competence training for financial decision-making and educate women on their rights • Build networks and connections between women to provide sources of peer support	communities, at least an annual increase of 10% Qualitative increase in earning and income generation opportunities for both women and men expressed as income ratio of men to women, at least an annual increase of 10%	cycle of projects), plus any follow-on investment period permitted under the fund's LPA	Costs included as part of project budgets
Provide access to financial services, infrastructure services and technologies to communities and stakeholders This may include activities that seek to: • Promote gender-responsive consultation and engagement on fund and project level (incl. promoting GFCR across women networks)	Number/proportion of women with improved access to financial mechanisms (equity investment, affordable loans, etc.) , at least 50%	Years 1-6 (the duration of the investment cycle of projects), plus any follow-on investment period permitted under the fund's LPA	Project Developers with support from EEs Costs included as part of project budgets
Output(s) Statement: M&E analysis confirms gender-responsive program design improves health outcomes and improved physical and emotional safety of women and girls. (NOTE: project-level assessments, and hence specific gender indicators and targets, can only be established once the GFCR host countries and projects are identified. Thus, indicators and targets are identified where known, or if not, are exemplars.)			
Improved conditions for better health and the reduction of diseases This may include activities that seek to: • Create awareness and educate on health, safety, and disease prevention to empower individuals and communities to make changes that reduce the risk of developing chronic diseases and	(Water borne) disease prevalence (gender-disaggregated), at least an annual decrease of 10% Rates of childhood stunting (gender-disaggregated), at	Years 1-6 (the duration of the investment cycle of projects), plus any follow-on investment	Project Developers with support from EEs Costs included as part of project budgets

other morbidities (e.g. awareness campaigns that are aimed to reduce open defecation, promote personal hygiene, support healthy nutrition for child growth and development, etc.) Interventions that address women's vulnerability related to health and safety risks in a participatory approach, involving the women concerned and based on an examination of the local situation to define gender-responsive solutions	least an annual decrease of 10%	period permitted under the fund's LPA	
Reduction of gender-based violence among project stakeholders This may include activities that seek to: Create awareness of sexual harassment and gender-based violence (particularly in the tourism industry) and develop appropriate instruments to reduce harassment and violence	Number of reported gender-based violence incidents (gender-disaggregated) (e.g. through grievance mechanism), below 10% of incidents reported shall be gender-related	Years 1-6 (the duration of the investment cycle of projects), plus any follow-on investment period permitted under the fund's LPA	Project Developers with support from EEs Costs included as part of project budgets
Provide healthy and safe (work) environment This may include activities that seek to: Develop gender-responsive measures (e.g. Personal Protective Equipment for women)	Number of health and safety incidents (gender-disaggregated), at least an annual decrease of 10%	Years 1-6 (the duration of the investment cycle of projects), plus any follow-on investment period permitted under the fund's LPA	Project Developers with support from EEs Costs included as part of project budgets
Implement stakeholder outreach and engagement activities related to the above supported by proper safeguards and expert input	Qualitative assessment of engagement activities results, at least medium	Years 1-6 (the duration of the	Project Developers with support from EEs

This may include activities, such as: • Gender-responsive consultation and engagement can help identify project design needs • Consider gender aspects within the planning, delivery and management stages of the infrastructure life cycle to ensure that the infrastructure built is able to guarantee equal quality services	satisfaction from stakeholder participants	investment cycle of projects), plus any follow-on investment period permitted under the fund's LPA	Costs included as part of project budgets
Output(s) Statement: M&E analysis confirms gender-responsive program design and projects to enhance sustainable livelihoods for women and girls. (NOTE: project-level assessments, and hence specific indicators and targets, can only be established once the GFCR host countries and projects are identified. Thus, indicators and targets have been identified where known, or if not, are exemplars.)			
Provide capacity building and applied skills and training for project developers and project stakeholders to include women in the workforce This may include activities that seek to: • For the waste sector, women shall be provided with more formalized work, implying the provision of the benefits and stability of formal employment but the flexibility of the entrepreneurship model. • Build awareness of social rights (access to education, legal recourse against crime, access to health care etc.) and a safe means to exercise such rights. • Provide skills training and equipment to increase the female workforce	Number of gender related trainings held, at least one per project per year Percentage of women employed, at least 20%	Years 1-6 (the duration of the investment cycle of projects), plus any follow-on investment period permitted under the fund's LPA	Project Developers with support from EEs Costs included as part of project budgets
Promote training and leadership among women This may be directly related to activities that: • Provide women with training and formal education to improve the efficiency, profitability and sustainability of their business activities in the fishing sector and to improve their positions in the post-	Percentage of women that participated in a training, at least 20%	Years 1-6 (the duration of the investment cycle of projects), plus	Project Developers with support from EEs Costs included as part of project budgets

harvest activities to increase their bargaining power (e.g. education on fish preservation, marketing, etc.). • Offer education and training in the tourism sector to promote women into high-level employment (incl. training on leadership skills, soft skills, networking and high-level training for career progression) • Provide leadership training on waste materials for better sorting and recycling in the waste sector	Percentage of women in leadership positions, at least 20%	any follow-on investment period permitted under the fund's LPA	
Enable conciliation of family and working life This may include activities that seek to: • Improve women's work-life balance in tourism and encourage an equal division of unpaid care work in tourism communities through awareness building • Identify child care opportunities that can support conciliation of family and working life	Percentage of contractual relationships (temporary vs. permanent and full-time vs. part-time), at least 70% of female employees shall have a permanent contract that is either full or part-time	Years 1-6 (the duration of the investment cycle of projects), plus any follow-on investment period permitted under the fund's LPA	Project Developers with support from EEs Costs included as part of project budgets
Demonstrate through gender-responsive program design and resulting data that livelihoods can be improved for women This may include activities that seek to: • Create awareness on the gender pay gap and support women network to address the issue	Wages (gender-disaggregated data), 80% women shall have a wage above the minimum wage Percentage of gender pay gap, less than 10%	Years 1-6 (the duration of the investment cycle of projects), plus any follow-on investment period permitted under the fund's LPA	Project Developers with support from EEs Costs included as part of project budgets

Output(s) Statement: Establish GFCR fund-level gender equity process and outcomes			
Gender and social inclusion policies in place at fund level	Endorsement policy by fund management committee, including a gender-responsive results framework	Years 1-12 (the duration of the GFCR fund)	ESMS Manager, Accredited Entity, Executing Agency Costs included in GFCR fund level budget
Recruitment of women in projects; recruitment of women in development and implementation of fund capacity-building, field and monitoring teams	Aspire to parity, at least 40% of fund (including project planning and design teams) and 25% of field employees will be female	Years 1-12 (the duration of the GFCR fund)	ESMS Manager, Accredited Entity, Executing Agency Costs included in GFCR fund level budget
Recruitment of women in projects; recruitment of women in development and implementation of fund capacity-building, field and monitoring teams	Aspire to parity, at least 40% of fund (including project planning and design teams) and 25% of field employees will be female	Years 1-12 (the duration of the GFCR fund)	ESMS Manager, Accredited Entity, Executing Agency Costs included in GFCR fund level budget
Ensure GFCR internal annual reporting includes indicators with corresponding requirements, gender-disaggregated data and targets to ensure reportable progress	Annual compliance with gender reporting at fund level	Years 1-12 (the duration of the GFCR fund)	ESMS Manager, Accredited Entity, Executing Agency Costs included in GFCR fund level budget

Hire dedicated human resources to implement the Gender Action Plan, with allocated additional funds provided to ensure flexibility and security as new learning comes up within implementation	ESMS Manager, gender and SDG specialists in GFCR team	Years 1-12 (the duration of the GFCR fund)	ESMS Manager, Accredited Entity, Executing Agency Costs included in GFCR fund level budget
Dedicate resources to build and strengthen staff capacity related to knowledge management, learning; Appoint gender specialist/consultants as needed to respond to new capacity needs. The gender special can support GFCR with gender analysis, assessment, engagement, defining measures, monitoring key indicators against targets, and to engage with stakeholders on gender-related topics.	Line item in budget for gender-related capacity building within GFCR team	Years 1-12 (the duration of the GFCR fund)	ESMS Manager, Accredited Entity, Executing Agency Costs included in GFCR fund level budget
If appropriate and deemed necessary, audit and verification teams to review and assess project gender responsiveness and impact	TBD	Years 1-12 (the duration of the GFCR fund)	ESMS Manager, Accredited Entity, Executing Agency Costs included in GFCR fund level budget
Output(s) Statement: Implement project-level gender assessments and action plans (NOTE: project-level assessments, and hence specific gender indicators and targets, can only be established once the GFCR host countries and projects are identified. Thus, indicators and targets are identified where known, or if not, are exemplars.)			
Refer to the GFCR Gender Policy to comply with the requirements and guidelines. The following steps should be implemented on project level: 1. Understand the GFCR Policy, its scope, and application 2. Apply gender related safeguarding principles 3. Conduct gender-responsive stakeholder consultation 4. Conduct gender analysis and baseline determination	100% of projects in the fund have to comply with the GFCR Gender Policy	Years 1-6 (the duration of the investment cycle of projects), plus	Project Developers with support from EEs Costs included as part of project budgets

5. Develop gender commitment statement 6. Define goals and measure change 7. Establish gender actions In addition: • Reference and align with country NDC and prevailing gender policy • Develop the Monitoring and Evaluation mechanism and process		any follow-on investment period permitted under the fund's LPA	
Output(s) Statement: Gender-sensitive safeguarding and stakeholder consultation is implemented, leading to gender-responsive project design and development.			
Gender-responsive considerations (Gender Equality and Women's Rights) will be assessed during project design and stakeholder consultation in addition to other project safeguarding, including the following categories: • Human Rights • Community Health, Safety and Working Conditions • Indigenous Peoples, Displacement and Resettlement • Corruption • Economic Impacts • Climate and Energy • Water • Environment, ecology and land use	100% of projects under consideration for investment % women in project design and development consultations, target 50%	Years 1-6 (the duration of the investment cycle of projects), plus any follow-on investment period permitted under the fund's LPA	Project Developers with support from EEs Costs included as part of project budgets

Timeline

Gender Action Plan Milestones	2021	Prior to First Close of Fund	2022	2023	2024	2025	2026
GFCR gender and social inclusion policies in place	X	Gender training at fund level	X	X	X	X	X
ESMS Manager and gender framework – including safeguards – in place	X	ESMS revisions	X	X			
Revise Gender Action Plan and conduct country/ sector/ project specific gender analysis and action plans for financed activities	X	Revise Gender Action Plan and conduct country/ sector/ project specific gender analysis and action plans for financed activities	x				
Project-level gender sensitive and gender-responsive methodologies	X	Refine methodologies as/if needed for GFCR implementation	X	X			
Fund-wide implementation of gender safeguarding methodologies • Human Rights • Community Health, Safety and Working Conditions • Indigenous Peoples, Displacement and Resettlement • Corruption • Economic Impacts • Climate and Energy • Water • Environment, ecology and land use	X	Methodology modification, as /if needed for GFCR implementation	X	X	X	X	X
Monitoring, Verification and Reporting (MRV) methodologies	X	Refine MRV methodology as/if needed for GFCR implementation	X				
Gender-related resource development			X	X			
Gender-related training development			X	X			

Gender-disaggregated project data, reporting and fund-level reporting					X	X	X
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Process and content for developing gender analysis and action plans

Activities	Implementation
Process during the development of country level gender analysis and action plans	Country level gender analysis and action plans will seek to align the project to achieve the gender related objectives of the GFCR Action Plan. An analysis of the gender equality landscape and data relevant to the host country and in the targeted sector(s), will be conducted and shall include the following activities: • <u>Desk research and review of existing literature</u>: Initial research will help to understand the country context and existing gender-related issues in the country and sector. • <u>Gender-responsive Stakeholder Engagement</u>: Stakeholder engagement shall further help understand the local context and project specific gender issues that should be addressed. In addition, it can serve to identify measures to achieve the intended outcomes included in the GFCR Gender Action Plan. Gender-responsive stakeholder engagement shall include the following activities: <u>Understand the gender context to identify engagement approaches:</u> • Engage with the community, in particular women, to determine the best way to communicate with them. • Engage with women in focus group settings facilitated by a female to capture views and information. • Use participatory techniques to capture gender specific information e.g. gender matrices, seasonal calendars, ranking, community mapping/transect walks. • Identify and engage with women's cooperatives/groups. Where they do not exist, support the establishment of such groups. <u>Undertake stakeholder mapping/analysis and determine gender context:</u> • Includes identifying the key stakeholders and mapping and prioritizing them based on level of impact, influence and interest. • Data gathering through community leaders, government representatives and high-level online research to understand the gender context (e.g. gender indicators/data on education, labor force participation, health, agency/decision making and traditional and cultural practices). <u>Develop engagement methods for stakeholder groups:</u> • Establish culturally appropriate engagement methods (including on the grievance mechanism if relevant) for each stakeholder group with consideration for culture and gender, based on the gender context. • Engage with stakeholder groups on approaches determined to gather feedback, suggestions, and measures to achieve the outcome objectives of the GFCR Gender Action Plan.

	<u>Document approach in a Stakeholder Engagement Plan</u> • Develop a Stakeholder Engagement Plan that includes stakeholder mapping/analysis, gender context and engagement methods. • <u>Gender-responsive Project Design and Action Plans:</u> The gender analysis, engagement, and safeguards assessment allows project developers to identify strategies, action and indicators to better assess how initiatives have engaged with or impacted different groups to inform the action plan. The following activities shall be part of this process: • Collect, analyze and apply sex-disaggregated data and using gender indicators to inform gender-responsive monitoring, evaluation, reporting and learning on programmatic activities; • Address results derived from the gender analyses and apply key issues and recommendations identified to inform gender-responsive project design, budgeting, staffing, implementation, monitoring and evaluation; • Analyze risks that the project may experience or pose, putting measures in place to ensure activities do not exacerbate existing gender-related inequalities, including gender-based violence, and seize opportunities to address gender gaps and support empowerment of women; • Structure inclusive and gender-sensitive project teams that demonstrate appropriate capacities and technical expertise to support gender-responsive action; • Ensure women and men have equal opportunities in terms of participation, decision-making and benefits, throughout the identification, design, implementation, monitoring and evaluation of activities; • Allocate sufficient resources for specific activities, technical support and/or other actions to improve gender equality considerations, including the meaningful engagement of diverse stakeholders and beneficiaries; • All project-level gender action plans shall support the drivers of change and specific gender elements derived from the gender assessment (see Gender Assessment for sector specific elements). This includes on a high-level: ○ Support women empowerment and entrepreneurship ○ Skills training and capacity building for women ○ Promote decent work for women ○ Support women's needs in the community and civil society • <u>Monitoring and Evaluation:</u> All GFCR projects must include mandatory impact targets, a gender-sensitive framework, mandatory, and minimum gender-responsive elements. The project's monitoring framework includes gender-responsive targets and indicators to monitor gender equality results against the established baseline.
Envisaged stakeholder consultations (who will be	Gender-responsive stakeholder engagement should take place before and throughout project implementation so it can inform the design of the project to ensure that women can participate in the design phase. In addition, engagement should be promoted throughout the implementation of the project to address gender needs on a continuous basis. The following considerations should be made that relate to gender equality in Stakeholder Consultation planning: - What measures and actions need to be put in place to ensure equal gender participation in Stakeholder Consultations. How should

engaged and how)	inputs and insights from women and men be sought out, listened to, considered, addressed and documented? - Is it necessary to make any specific arrangements to ensure that all constituencies are engaged in the consultation arrangements to not only foster inclusive participation of women but also avoid potentially negative consequences? (for example, speak to women and men separately; have focus groups for women and focus groups for men before gathering them together to ensure their meaningful participation; adapt timing schedule to men's and women's working schedules) Potential stakeholders with gender perspective that shall participate during stakeholder consultation: - Women from local communities directly or indirectly affected by a project - Ministry of Gender, similar government bodies - NGOs/CSOs working on gender issues - Agri- /aquaculture and fishing organizations - Women's organization - Research institutions/universities. ○
Key information that is expected to be collected	The gender analysis and engagement allows project developers to collect information on: - Information on gender country, sector and project specific context (e.g. gender indicators/data on education, labor force participation, health, agency/decision making and traditional and cultural practices - Feedback, suggestions, and measures to achieve the outcome objectives of the GFCR Gender Action Plan and make - Strategies, actions and indicators to achieve the gender related outcomes outlined in the GFCR Action Plan and to make context-specific amendments to the Action Plan - Gender indicators to inform gender-responsive monitoring, evaluation, reporting and learning on programmatic activities Culturally appropriate engagement methods (including on the grievance mechanism if relevant) for each stakeholder group with consideration for culture and gender, based on the gender context.
Key issues that will be expected to be addressed	Through the country and sector specific gender analysis, the following issues shall be addressed: - Gender imbalance and misinformation of gender-equality issues - Overcome the misconnect between women and other stakeholders including the project developers - Potential risks to achieving programme goals (which is important for effective risk mitigation strategies) - Address stakeholders who are blind to, or oppose, gender equality - Accountability when it comes to gender mainstreaming and equality on project level

Role of the AE and indicative budget to implement the Gender Action Plan

‘The Accredited Entity will make sure to dedicate enough resources to conduct country and sector specific gender analysis and implement the Gender Action Plan. All activities are supervised by the ES Manager. If appropriate, external gender specialists are engaged.

The costs are included in the budget provided in the ESMS (line items capacity building services, fund’s E&S team, engaging external experts). The planned total budget for the implementation of activities outlined in the Gender Action Plan amounts to USD 300’000 (excl. travel and logistics costs or ES Manager salary) for all projects throughout the entire fund life. The budget will be adjusted with the revision of the Gender Action Plan.

The timing of country- and sector-specific gender analysis will be determined prior to project implementation as part of the broader ESG and impact due diligence (see ESMS), which will include gender safeguards to ensure that project design and implementation can be aligned.’

GFCR Gender Policy

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SCOPE AND APPLICATION OF THE GENDER POLICY*

The main objective of the Gender Policy is to strengthen stakeholders’ responsiveness to the multiple, culturally-derived principles of gender equality and women’s empowerment and to address and account for the links between gender equality, natural resources management and environmental sustainability.

The Gender Policy will apply to all projects in the Global Fund for Coral Reefs (GFCR) and supports the GFCR Gender Action Plan and the Environmental Social Management System (ESMS).

**Please note that the Gender Policy is closely aligned with the Gold Standard Gender Equality Requirements & Guidelines as this is considered to be best practice and sets rigorous standards.*

DEFINITIONS

Term	Definition*
Agency	The capacity to make decisions about one’s own life and act on them to achieve a desired outcome, free of violence, retribution, or fear.
Empowerment	The ability and agency of every woman to shape her own destiny, exercise her rights and make her own choices. Women's empowerment has five components: women's sense of self-worth; their right to have and to determine choices; their right to have access to opportunities and resources; their right to have the power to control their own lives, both within and outside the home; and their ability to influence the direction of social change to create a more just social and economic order, nationally and internationally.
Gender	Gender refers to the social, behavioural, and cultural attributes, expectations, and norms associated with being male or female.
Gender equality	As enshrined in international and national constitutions and other human rights agreements, refers to equal rights, power, responsibilities and opportunities for women and men, as well as equal consideration of the interests, needs and priorities of women and men.
Gender equity	Refers to the process of being fair to women and men. To ensure equity, measures often need to be taken to compensate (or reduce) disparity for historical and social disadvantages that prevent women and men from otherwise operating on an equitable basis. Equity leads to equality.(UNDP 2017)
Gender responsive	Refers to the consideration of gender norms, roles and relations and to addressing inequality generated by unequal norms, roles and relations through remedial action beyond creating gender awareness.
Gender sensitive	Refers to raising awareness and consideration of gender norms, roles and relations but does not necessarily address inequality generated by unequal norms, roles or relations through remedial action beyond creating gender awareness.
Man	Male human being; a person assigned a male sex at birth, or a person who defines himself as a man. (European Institute for Gender Equality)
Sex	Biological and physiological characteristics that define humans as female or male. (European Institute for Gender Equality)
Social inclusion	Refers to the process of improving the terms for individuals and groups to take part in society, and the process of improving the ability, opportunity, and dignity of those disadvantaged on the basis of their identity to take part in society.(World Bank)
Woman	Female human being; a person assigned a female sex at birth, or a person who defines herself as a woman. (European Institute for Gender Equality)

** If not otherwise indicated, relevant definitions are drawn and adapted from the GCF gender policy or the Annex to the GEF Gender Equality Action Plan (GEAP)*

REQUIREMENTS AND GUIDELINES

STEP 1: BASIC CONTEXT

REQUIREMENTS

The Gender Policy applies to all projects, serves as a technical guidance on gender, and solidifies the operational requirements for stakeholder involvement and partnership in the design, implementation, and evaluation of projects.

ASSESSMENT QUESTIONS:

1. Does the project reflect the key issues and requirements of Gender Sensitive design and implementation as outlined in this document? Explain how.
2. Does the project align with existing country policies, strategies and best practices? Explain how.

Suggestions include:

- Ensure that the project aligns with the national gender strategy (if host country has one) or other public policy for gender equality and women's empowerment;
- Align the project with other national development strategies that promote equal opportunities, whether in the intervention region or the sector;
- Refer to lessons learned from comparable development projects or programmes in the region that provide useful context on gender issues, risks and opportunities;
- Refer to the national report to The Committee on the [Elimination of Discrimination against Women](#) (CEDAW) for data or context relevant to the project.
- Refer to the [World Economic Forum Global Gender Gap Report](#)

STEP 2: APPLY SAFEGUARDING PRINCIPLES

REQUIREMENTS

Apply the gender-related Safeguarding Principles & Requirements outlined in this policy. Country-level safeguards shall supersede the Gender Policy's Requirements if they go beyond these requirements.

ASSESSMENT QUESTIONS:

3. Does the project address the questions raised in this document? Explain how.

This may direct/support whether an expert stakeholder opinion (with a specific emphasis on gender and environment expertise) is required to support the gender safeguards assessment process depending on project type, scale and context.

The gender-related Safeguarding Principles & Requirements include the following:

- The Project shall not directly or indirectly reinforce gender-based discrimination and shall not lead to/contribute to adverse impacts on gender equality and/or the situation of women. Specifically, this shall include (not exhaustive):
 - a) Sexual harassment and/or any forms of violence against women – address the multiple risks of gender-based violence, including sexual exploitation or human trafficking.
 - b) Slavery, imprisonment, physical and mental drudgery, punishment or coercion of women and girls.
 - c) Restriction of women's rights or access to resources (natural or economic).

- d) Recognize women's ownership rights regardless of marital status – adopt project measures where possible to support to women's access to inherit and own land, homes, and other assets or natural resources
- Projects shall apply the principles of non-discrimination, equal treatment, and equal pay for equal work, specifically:
 - a) Where appropriate for the implementation of a Project, paid, volunteer work or community contributions will be organised to provide the conditions for equitable participation of men and women in the identified tasks/activities.
 - b) Introduce conditions that ensure the participation of women or men in Project activities and benefits based on pregnancy, maternity/paternity leave, or marital status.
 - c) Ensure that these conditions do not limit the access of women or men, as the case may be, to project participation and benefits.
- The project shall refer to the country's national gender strategy or equivalent national commitment to aid in assessing gender risks.
- Based on the responses to assessment questions above, it may be required that the project seek the input of an Expert Stakeholder(s) and to include their recommendations in the project design.

STEP 3: CONDUCT STAKEHOLDER CONSULTATION REQUIREMENTS

Apply Stakeholder Consultation & Engagement Procedure, Requirements & Guidelines in accordance with the GFCR Stakeholder Consultation & Engagement Policy and take note of the gender guidelines.

ASSESSMENT QUESTIONS:

4. Does the project apply a Stakeholder Consultation & Engagement Procedure, Requirements & Guidelines in accordance with the GFCR Stakeholder Consultation & Engagement Policy? Explain how.

Steps 2 and 3 together provide the Project Developer with a consolidated assessment of the Project's purpose, who the Project will engage with and ensures against the project contributing to any further harm.

STEP 4: PROJECT GENDER ANALYSIS AND BASELINE DETERMINATION

Integrate Steps 1-3 into the gender analysis and establish project baseline. Inputs from Steps 1-3 notably the stakeholder consultations and safeguards assessment will feed into the Gender analysis.

Gender analysis is a systematic way to identify context-specific key issues and factors that contribute to gender inequalities. It may consist of primary or secondary research, or a combination of both. It is impossible to integrate gender equality into projects or activities without clearly understanding gender issues within the targeted population. A gender analysis enables project developers to understand the implications of gender on climate change mitigation, adaptation and disaster risk reduction interventions (and vice-versa), and design appropriate interventions that can benefit all members of a community. It also allows the project developers to develop indicators to better assess how initiatives have engaged with or impacted different groups.

Gender analysis explores individual, relational and structural factors, within both public and private spheres, as individuals are likely to experience gender differently, or hold different roles,

within different groups or relationships. Gender analysis attempts to answer at least three key sets of questions:

- What are the gender-based inequalities, discriminations and rights denials in each context? How do these issues intersect with other discrimination factors such as age, ethnicity, disability, class, etc.?
- How will gender relations influence the effectiveness and sustainability of the project activity or result? How will project processes and activities be designed to reduce inequalities and increase equality?
- How will the proposed results affect the relative status of women and men? Will they exacerbate or reduce inequalities?

Step 4.a Develop an applied gender analysis to gather evidence for the project baseline, design and development

REQUIREMENTS

Gender-responsive projects require a gender analysis to understand the social, economic and political factors underlying climate change-exacerbated gender inequality, and the potential contribution of women and men to mitigate and adapt to climate change.

ASSESSMENT QUESTIONS:

Conduct a gender analysis that should, at minimum, explain the following considerations:

5. How does the project concept and description actively contribute to climate security and sustainable development in gender-responsive ways? Refer Step 4 (b) below to answer this question.
6. How does the project gender analysis effectively differentiate how men and women, separately and together, contribute to and benefit from climate security and sustainable development? Towards adaptation and mitigation or both?
7. Is there a baseline description which includes both gender equality and women's economic empowerment factors? Please provide. This will help in identifying relevant SDG target in step 4(b) below.

Examples of questions to guide Gender Analysis:

- Are there gaps in development outcomes that males and females experience in the areas of human endowment, formal employment, ownership and control of assets and voice and agency?
- Are there design and implementation gaps relevant to the project goals and/ or key issues such as safety, security, employment and entrepreneurship that affect men and women differently?
- Are there gaps between males and females, especially in light of the relevant country and sector?
- Are the results of stakeholder consultations with men and women and/or NGOs that work with these groups included in the gender analysis?
- Does the gender analysis draw on available and current quantitative and qualitative data?
- Does the analysis consider the potential negative/adverse impact of project activities, for instance on women's unpaid work, time use, access to income or assets, and risk of gender-based violence?
- Does the gender analysis consider which specific measures can be or have been identified to address gaps?

- Are men and women equally involved in making decisions and participation processes about the project actions and goals? Can women and men equally make their voice heard?
- Are women and men / girls and boys taken equally into account in the target group? How can it be ensured that they derive equitable benefits from the interventions?
- Do measures need to be taken to ensure equitable access to resources and impacts by disadvantaged groups (women or men)?
- *Are the actions explicitly broken down as such (for women versus men)? How are they distinguished?*

RESOURCES:

To help guide your Gender Analysis and development of Gender Indicators – consider the following:

- ACDI/VOCA- [Gender Analysis, Assessment, and Audit Manual & Toolkit](#)
- Harvard- [Gender Roles Framework or Gender Analysis Framework](#)
- FAO- [Socio-Economic and Gender Analysis Field Handbook](#)
- [Gender Analysis in Natural Resource Management | Land Portal](#)
- [Gender Analysis for Sustainable Livelihoods and Participatory Governance in Rwanda](#)
- <https://www.pacificclimatechange.net/document/gender-analysischecklist-food-security-and-climate-change-within-programme-or-project>
- How to Conduct a Gender Analysis | USAID ASSIST Project
- Resourced dashboard: <https://start.me/p/ELEn9p/inclusive-think-tanks>
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Step 4.b Align the Project with SDG targets

The Sustainable Development Goals (SDGs) make an explicit commitment to gender, both as a standalone goal on gender equality and women's empowerment (SDG 5) as well as a crosscutting theme across the SDGs. SDG 13 on combating climate change aims to promote mechanisms for raising capacity for effective climate change-related planning and management in least developed countries and small island developing states, including focusing on women, youth, and local and marginalized communities.

REQUIREMENTS

SDG 5 seeks to achieve gender equality and empower all women and girls. It is expected that SDG 5 will be one of the SDGs that projects align with. Projects can also consider gender related targets under SDG 8 and SDG 10:

- SDG 8: Promote sustained, inclusive and sustainable economic growth, full and productive employment and decent work for all.
- SDG 10: Reduce inequality within and among countries.

ASSESSMENT QUESTIONS:

8. Can the project address at least one SDG target each from category 1 and category 2? Explain how.

SDG Targets, Category 1:

- Recognize and value unpaid care and domestic work through the provision of public services, infrastructure and social protection policies and the promotion of shared responsibility within the household and the family as nationally appropriate.

- Ensure women's full and effective participation and equal opportunities for leadership at all levels of decision making in political, economic and public life.
- Undertake reforms to give women equal rights to economic resources, as well as access to ownership and control over land and other forms of property, financial services, inheritance and natural resources, in accordance with national laws.
- Enhance the use of enabling technologies including information and communications technology, to promote the empowerment of women.
- Adopt and strengthen sound policies and enforceable legislation for the promotion of gender equality and the empowerment of all women and girls at all levels.
- By 2030, achieve full and productive employment and decent work for all women and men, including for young people and persons with disabilities, and equal pay for work of equal value.
- By 2030, empower and promote the social, economic and political inclusion of all (within a country), irrespective of age, sex, disability, race, ethnicity, origin, religion or economic or other status.

SDG Targets, Category 2:

- Eliminate all forms of violence against all women and girls in the public and private spheres, including trafficking and sexual and other types of exploitation.
- Eliminate all harmful practices, such as child, early and forced marriage and female genital mutilation.
- Ensure universal access to sexual and reproductive health and reproductive rights as agreed in accordance with the Programme of Action of the International Conference on Population and Development and the Beijing Platform for Action and the outcome documents of their review conferences.
- Protect labour rights and promote safe and secure working environments for all workers, including migrant workers, in particular women migrants, and those in precarious employment.

Step 4.c Raise the bar: gender commitment statement

The project design, goals and outcomes can now build on available evidence of the gender gaps in markets (formal and informal), institutions and households and apply the country-driven approach to close persistent gender gaps. This raises the bar beyond limiting the assessment to re-stating key gender equality gaps. The project, in understanding and articulating key gender constraints as well as opportunities, will seek to narrow gaps, lift constraints, support opportunities and feed into a more active and engaged dialogue with stakeholders on key levers for sustainable change. The project goals may also go beyond conventional treatment of gender as pertaining to average women in the country to consider the full diversity of constraints facing women and men as affected by their age, marital status, income levels, ethnicity, physical abilities, locations and mobility.

ASSESSMENT QUESTIONS:

9. Can the project articulate the statement on gender outcomes? This shall be further reflected in the final project claim detailed in Step 6. The project statement can include the following:
 - Define which measures are in the overall project design and development to achieve gender equality results including the mitigation of negative impacts like reinforcing gender inequalities of traditional perceptions of what is male and female.

- Outline whether and how the project reduces gender inequalities and/or reinforces gender empowerment, and how this affects the achievement of overall project objectives. Refer to the chosen SDG target in Step 4 (b) above.
- List gender indicators pertinent to the project scope by which project results will be measured. Refer to Step 5 (a) below to identify gender indicators.

Examples of indicators are given under Step 5.

STEP 5: ESTABLISH AN ACTION PLAN, GOALS AND MEASURE CHANGE

Step 5.a Establish and Action Plan and Project gender goals (actions):

Based on the gender analysis and actions taken under 4.c, project developers shall develop a project-level gender action plan, which can address the following:

- Collect, analyze and apply sex-disaggregated data and using gender indicators to inform gender-responsive monitoring, evaluation, reporting and learning on programmatic activities;
- Address results derived from the gender analyses and apply key issues and recommendations identified to inform gender-responsive project design, budgeting, staffing, implementation, monitoring and evaluation;
- Analyze risks that the project may experience or pose, putting measures in place to ensure activities do not exacerbate existing gender-related inequalities, including gender-based violence, and seize opportunities to address gender gaps and support empowerment of women;
- Structure inclusive and gender-sensitive project teams that demonstrate appropriate capacities and technical expertise to support gender-responsive action;
- Ensure women and men have equal opportunities in terms of participation, decision-making and benefits, throughout the identification, design, implementation, monitoring and evaluation of activities;

The project-level action plans shall be formulated in accordance with the GFCR Gender Action Plan and corresponding impact, outcome and output statements. The same output indicators shall be measured and reported. A template will be provided to the project developers. The ES Manager will ensure alignment and report on identified gaps.

It is also possible to select at least one Gender Project Action from tables below to demonstrate compliance to the Category 1 SDG Targets given in Step 4(B) above.

Refer to the economic Empowerment Goals and Social Empowerment Goals in the Tables below.

The economic empowerment goals and social empowerment goals tables below provide guidance to project developers on potential gender goals, actions and indicators. Projects will need to demonstrate close alignment to gender goals and choose relevant gender indicators. The list of gender responsive indicators given in tables below is not exhaustive and project developers can propose their own indicators. Realistic project goals need to be set against baselines identified in Step 4 (a) above.

Economic Empowerment Goals Table:⁴

ECONOMIC EMPOWERMENT GOALS	PROJECT ACTION	EXAMPLE OF GENDER-RESPONSIVE INDICATORS
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⁴ Refer to the GFCR Gender Action Plan for applicable indicators

1) Income and equal pay	Closing of gender gaps in earnings and income generation opportunities	Qualitative increase in earning and income generation opportunities for both women and men expressed as income ratio of men to women
2) Economic assets	Closing of gender gaps in asset access, ownership and control; Absolute increase in women’s relative control and ownership of an asset	Number/proportion of women with improved access to financial mechanisms (equity investment, affordable loans, etc.) Evidence of the type of financial incentives used to encourage women’s entry into the market (e.g., finance packages, tax benefits and rebates, subsidies, pilot schemes, partnerships with financial institutions, the private sector or women’s associations)
3) Quality employment	Closing of gender gaps in labour market segregation and paid and unpaid employment	Quantifiable increase in targeted and diversified employment opportunities for women and men (expressed as a ratio) coupled with support for reproductive responsibilities

Social Empowerment Goals Table:⁵

SOCIAL EMPOWERMENT GOALS	PROJECT ACTION	EXAMPLE OF GENDER-RESPONSIVE INDICATORS
1) Individual and community empowerment including meaningful participation and leadership, Increase in women networks and organizations and agency	Closing of gender gaps in women and men’s participations and leadership and access to networks Closing of gender gaps in leadership positions and decision making at the individual, household, community and political level	Quantitative indicators that measure targets and quotas for women’s participation and leadership in community, including their access to social networks Quantifiable increase in the percentage of women making decisions on behalf of their families, communities and government
2) Applied skills and training	Closing of gender gaps and stereotypes in women’s and	Qualitative and verifiable increase in women’s and men’s relative confidence,

⁵ Refer to the GFCR Gender Action Plan for applicable indicators

	men's access to applied skills and training	skills and know-how, e.g., on appraising investments and developing projects Evidence of the type of incentives designed to recruit women, increase their capacity and provide career development in targeted sector agencies and service providers
3) Better health and safety	Improve health and safety outcomes	Number of beneficiaries, i.e., people with improved living and occupational safety conditions, including women and women-headed households
4) Access to infrastructure services and technologies	Closing of gender gaps in access to infrastructure services	Quantifiable increase in women's control over, decisions in, related skills development and access to infrastructure services
1) Individual and community empowerment including meaningful participation and leadership, Increase in women networks and organizations and agency	Closing of gender gaps in women and men's participations and leadership and access to networks Closing of gender gaps in leadership positions and decision making at the individual, household, community and political level	Quantitative indicators that measure targets and quotas for women's participation and leadership in community, including their access to social networks Quantifiable increase in the percentage of women making decisions on behalf of their families, communities and government

Step 5.b Establish meaningful gender performance indicators for the Project

Gender performance indicators and gender-disaggregated targets can now be incorporated into the project results framework.

Indicators play a crucial role in the gender responsive process throughout the policy cycle. Quantitative and qualitative indicators must enable ongoing monitoring and evaluation of whether the project's gender equality objectives are being met and assessing the gender effect of project activities. If objectives are not being met, it could be essential to re-assess the project strategy and make amendments to ensure improvements. Gender indicators usually express how distant a certain situation is from gender equality and are usually expressed as gaps, ratios and generally as measures of 'gender inequalities'. Gender-blind indicators are those that do not allow the evaluator to uncover gender differences and gender relations in a society because they are not collected or cannot be collected in a gender-disaggregated way. For example "community participation" is a gender-blind indicator but if collected separately for men and for women, can become a gender indicators.

Economic and social indicators framed by ecological systems need to systematically integrate gender-disaggregated and gender-sensitive data throughout – from needs assessments and baseline indicators to program and project outcome targets, process, results and impact assessments.

- Projects may consider how their gender indicators go beyond economic equity and socio-political empowerment indicators to include climate-relevant environmental and ecological factors, including access to public commons.
- Projects should indicate if any indicators were developed at the ground level in close and continued consultation with communities and women, describing where and how.

As part of project design, determining which indicators to use from social and economic empowerment goal charts above can have profound implications for project outcomes. Establishing quantitative criteria alone, for instance, can have the unintended effect of excluding entire constituencies of project beneficiaries.

The following questions can guide the project developer to focus on selecting appropriate indicators.

- Will the project positively or negatively engage women and men?
- Will it impose increased time or care burdens on women relative to men?
- Is there a process in place to track and verify gender impacts? (positive and/or negative)
- Is there an improvement in the ratio of women to men engaging in the project decisions and on-the-ground monitoring?
- Is there an increased sense of confidence and empowerment among the project beneficiaries?

REQUIREMENTS

Define Monitoring Parameters for each of the above Gender Responsive Indicators chosen in Step 5(a) above.

Project developers will need to identify relevant monitoring parameters to monitor and evaluate the progress towards equality enabled by the project as reflected in chosen indicator.

RESOURCES: To help guide development of Gender monitoring indicators –consider the following resources:

- The World Bank's PPP website with collated resources across the following sectors: Agriculture, Education, Energy, Health, Information and Communications Technology (ICT), Transport, Water and Sanitation. See: <http://ppp.worldbank.org/public-private-partnership/ppp-sector/genderimpacts-ppps/sector-specific-materials/sector-specific-materials>
- Asian Development Bank (2013) Tool Kit on Gender Equality Results and Indicators <https://www.adb.org/documents/tool-kit-gender-equality-resultsand-indicators>
- The Gender Data Portal for the latest gender-disaggregated data and gender statistics covering demography, education, health, economic opportunities, public life and decision-making, and agency, see <http://datatopics.worldbank.org/gender/>
- GACC tool see <http://cleancookstoves.org/resources/490.html>

EXAMPLE from [ADB \(2013\)](#) Gender Equality Dimension: Voice and Rights

SAMPLE INDICATORS	SAMPLE MONITORING PARAMETERS
Women's participation, leadership, and decision making are supported in water supply and sanitation (location, selection of technology, management, operation, and maintenance - Targets met for women's participation and decision making in consultation processes, user groups, and committees	- Number and percentage of women and men who attend participatory planning and consultation meetings - Number and percentage of women and men involved in the selection of technology, location, operation, and management of improved water supply and sanitation - Number and percentage of women and men in water user groups - Number and percentage of women in leadership positions in water management committees and on boards of water utilities - Number and percentage of women involved in decision making on revenue and tariff arrangements (including identification of poor and vulnerable households for free or subsidized facilities) - Number and percentage of women in charge of operation, maintenance, and repair of facilities - Number and percentage of male and female facilitators and field staff working with water committees and community groups on design, planning, and consultation processes - Changes in the location or type of water supply or sanitation technology due to consultation with women - Changes to design, construction, management, cost recovery, or maintenance practices due to consultation with women - Views of women and men on changes in women's household or community decision making due to their involvement in water supply and sanitation committees or activities - Number of materials distributed to women or women's organizations on entitlements to water and sanitation facilities, and number of mass campaigns with information on entitlements

REQUIREMENTS

Project developers should consider these aspects and establish the project's key gender indicators. There are a few cross-cutting qualitative and quantitative issues that gender indicators can address:

- At the monetary level: How much money, dollar for dollar, reaches women and girls at the local levels of consultation and how are decisions made around disbursement, use, investment and reinvestments?
- At the empowerment level: How many women and how many men are actively involved and engaged in reaching those decisions (about money disbursement, use, investment, and reinvestment) and in acting on those decisions? How many women participate in determining a valid indicator that best captures change for them?
- At the environmental/ecological level: How are access points to natural resources that poor men and women depend protected? How are men and women involved in the decisions and actions around stewarding natural resources for future generations?
- At the gender-differentiated level: What kinds of gender-differentiated evidence, perspectives, narratives and realities are captured, recorded and learned from as a direct result of their own measurements of progress?

REQUIREMENTS

Track and record changes that the project can support both in terms of gender-equitable processes and in terms of Gender-Responsive performance.

STEP 6: PROJECT CLAIM - GENDER ACTIONS

REQUIREMENTS

Describe how the project delivers on its commitment statement (end of step 4) and the proposed project gender goals, actions and commitments (from step 5).

10. What gender outcomes can this project realistically claim? Describe in one or two succinct and clear paragraphs.

GENDER RESPONSIVE CHECKLIST:

- 1) The gender analysis of the project examines:
 - i. The different situations of women and men
 - ii. The impacts the project will have on different groups
- 2) The project collects and uses gender-disaggregated data and qualitative information to analyse and track gender issues
- 3) Project is designed to meet the different needs and priorities of women and men
- 4) The project monitoring framework includes gender-responsive targets and indicators to monitor gender equality results against the established baseline
- 5) Women/gender focused groups, associations or gender units in partner organisations are fully engaged and consulted with.

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